2011 Annual Report and Financial Statements

BARCLAYS

Barclays Bank of Kenya Limited | 2011 Annual Report & Financial Statements

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Kenya Review

Barclays Bank of Kenya Limited, a subsidiary of Barclays Plc, is one of the top banks in Kenya. Our business units fall under Retail, Corporate, Treasury and Card Services with cross functional relationships to support the segments of local business and small to mid-sized enterprises (SME).

Barclays financial strength coupled with extensive local and international resources have positioned Barclays as the top provider of financial services in the market for the past several years. Moreover, Barclays consistent financial performance has built confidence in our leadership and management among our Bank's shareholders, as well as the industry overall.

We have operated in Kenya for 95 years, and currently have an extensive network of 119 branches and 229 ATM's countrywide. Our network is supported by Internet and mobile banking channels as well as a Customer Service Centre that operates 24 hours a day, 7 days a week.

OUR GOALS

- To remain a leading retail and corporate bank in Kenya
- To be recognised as a trusted, innovative, customer-focused company that delivers products and services of superior quality to customers
- To be the best place where the best people want to work
- To be associated by all stakeholders as a corporate partner who contributes towards the welfare of the communities in which we work
- To deliver value to our shareholders through positive growth

OUR GUIDING PRINCIPLES

Barclays five guiding principles are key to the way the business operates:

Winning together – achieving collective and individual success across the business

Best people – developing talented colleagues to reach their full potential, to ensure Barclays retains a leading position in the global financial services industry

Customer and client focus – understanding customers, serving them brilliantly and treating them fairly

Pioneering – driving new ideas, adding diverse skills and improving operational excellence

Trusted – acting with the highest integrity to retain the trust of customers, external stakeholders and colleagues

Industry leadership

Over the years, Barclays has contributed to the development of the banking industry, the financial services sector, as well as the economy overall.

Industry recognition we have received for leadership include: World's Best Emerging Market Bank (2011); Best Bank in Kenya, Asian Banker (2011); Best in Technology (2011 Banking Awards); Employer of Choice - Institute of Human Resource Management (2011); Best Commercial Bank (2010 Banking Awards); Best Bank in Kenya - Global Finance (2008, 2009 & 2010); Company of the Year Award for Human Resource Management Practices: Kenya Institute of Management (2008); Best Retail Bank (2009 Banking Awards); and Company that best complies with the International Fianncial Reporting Standards - Fire Awards (2009).

Recognition from Higher Education Loans Board, Kenya Revenue Authority & Capital Markets Authority

Best in Technology, Employee Retention & Customer Sponsorship

Board of Directors

Francis Okomo–Okello (MBS) (62) - Chairman

Francis Okello joined the Board in August 2003 and was elected Chairman in April 2005. He holds a Bachelor of Laws (LL.B) degree from the University of Dar- es-Salaam. He is an Albert Parvin Fellow of the Princeton University, Woodrow Wilson School of Public and International Affairs. He is also a Fellow of the Kenya Institute of Bankers (FKIB). He is a member of the Advisory Board of the Strathmore Business School, Strathmore University and is currently the Executive Director in charge of Legal and Corporate Affairs at the Industrial Promotion Services Group.

Adan Mohamed (EBS) (48) - Managing Director

Adan Mohamed joined the Board in December 1999. He is a member of the Institute of Chartered Accountants in England and Wales and a graduate of Harvard Business School (USA). He is currently the Managing Director of Barclays Kenya and the Regional Managing Director responsible for Barclays businesses in Uganda, Tanzania and Ghana.

Ashok Shah (63) - Non- Executive Director

Ashok Shah joined the Board in July 2011. He holds a Bachelors degree in Applied Chemistry from Kingston University (UK) and is a Chartered Insurer by profession. He is a member of the Chartered Institute of Arbitrators and is currently the Group Chief Executive of Apollo Investments Limited.

Brown M. M. Ondego (MBS) (61) - Non-Executive Director

Brown Ondego joined the Board in August 2003. He is an alumni of the London Business School and the University of New Orleans Port Planning Development Program. He is currently the Group Chief Executive of Rift Valley Railways (Kenya) Limited and Rift Valley Railways (Uganda) Limited.

Jane W. Karuku (49) - Non- Executive Director

Jane Karuku joined the Board in August 2003. She holds a Masters in Business Administration (MBA) from the National University of California (USA). She is currently the President of the Alliance for a Green Revolution in Africa.

Eng. John Waweru (59) - Non- Executive Director

Eng. John Waweru joined the Board in July 2011. He holds a Bachelor of Science degree in Electrical Engineering from the University of Nairobi. He is currently the Chief Executive Officer of MIS Solutions Limited.

Judy Nyaga (39) - Company Secretary

Judy Nyaga was appointed in December 2007. She holds a Bachelor of Laws (LL.B) degree from the University of Nairobi and a Master of Laws (LL.M) degree from the University of Nottingham. She is also an Advocate of the High Court of Kenya and a Member of the Institute of Certified Public Secretaries of Kenya.

Nick Mbuvi (42) - Executive Director

Nick Mbuvi joined the Board in December 2007. He holds a Bachelor of Commerce degree from the University of Nairobi and a Masters degree in Business Administration (MBA) from the IESE Business School, University of Navarra (Spain). He is currently the Corporate Banking Director.

Paul Chemng'orem (62) - Non-Executive Director

Paul Chemng'orem joined the Board in March 1998. An expert winer, he has extensive experience in the wines and spirits industry and has served as Managing Director of the Kenya Wine Agencies Limited (KWAL). He is currently the Chief Executive of Domaine Kenya Limited.

Rose Ogega (MBS) (51) - Non- Executive Director

Rose Ogega joined the Board in April 2002. She is a Bachelor of Commerce graduate from the University of Nairobi as well as a Fellow of the Institute of Certified Public Accountants of Kenya. She is currently the Managing Director of Bloom Consultancy Limited.

Yusuf Omari (38) - Executive Director

Yusuf Omari joined the Board in July 2009. He holds an Economics Degree from the University of Nairobi and a Masters degree in Business Administration (MBA) from Strathmore Business School, Strathmore University (Nairobi). He is a Certified Public Accountant as well as a Certified Internal Auditor and is currently the Chief Financial Officer.

Notice of the Annual General Meeting

Notice is hereby given that the Thirty-third Annual General Meeting of the Shareholders of Barclays Bank of Kenya Limited will be held in the Tsavo Ballroom, Kenyatta International Conference Centre, Harambee Avenue, Nairobi on Wednesday 6 June 2012 at 11:00 a.m. to transact the following business:

1. To confirm the Minutes of the Thirty-second Annual General Meeting held on 27 May 2011.

2. To receive, consider and if thought fit, adopt the Annual Report and Financial Statements for the year ended 31 December 2011 together with the Directors' and Auditors' reports thereon.

3. To declare a dividend.

4. To elect Directors:

(i) In accordance with Articles 94, 95 and 96 of the Company's Articles of Association, the following Directors are due for retirement by rotation and being eligible, individually offer themselves for re-election:

Francis Okomo-Okello
Rose Ogega
Yusuf Omari

(ii) In accordance with Article 101 of the Company's Articles of Association, Ashok Shah and John Waweru are due for retirement this being the first Annual General Meeting to be held since their appointments as Directors and being eligible, offer themselves for re-election.

(iii) Paul Chemng'orem who has served as a Director of the Board since March 1998 has advised the Company of his intention to retire at the forthcoming Annual General Meeting. Consequently, he will not offer himself for re-election under Article No. 96 of the Company's Articles of Association

5. To authorise the Board to fix the remuneration of the Directors.

6. To appoint Auditors and to authorise the Board to fix the remuneration of the Auditors.

7. Special Business:

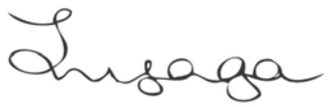
(a) To consider and if deemed appropriate, to pass the following as a special resolution to amend the Company's Articles of Association:

(i) THAT the Articles of Association of the Company be amended by adding a new Article 141 to read as follows:

"The Company may, if required by law, deliver or pay to any prescribed regulatory authority any unclaimed assets including but not limited to shares in the Company presumed to be abandoned or unclaimed in law and any dividends or interest thereon remaining unclaimed beyond prescribed statutory periods. Upon such delivery or payment, the unclaimed assets shall cease to remain owing by the Company and the Company shall no longer be responsible to the owner or holder or his or her estate, for the relevant unclaimed assets."

8. To transact any other business of the Company of which due notice has been received.

By order of the Board



Judy Nyaga
Company Secretary
30 April 2012

Note 1:
A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend on his or her behalf. A proxy need not be a member of the Company. To be valid, a form of proxy which is provided with this report must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Monday 4 June 2012.

Note 2:
Registration of members and proxies for the Annual General Meeting will commence at 8.00 a.m. on 6 June 2012. Members and proxies should carry their national ID cards and a copy of a relevant Central Depository and Settlement Corporation (CDSC) account statement for ease of the registration process.

Tangazo la Mkutano Mkuu wa Mwaka

Tangazo linatolewa hapa kuwa Mkutano Mkuu wa Mwaka wa thelathini na tatu wa wenyehisa wa benki ya Barclays Bank of Kenya Limited utafanyika katika ukumbi wa Tsavo katika Jumba La Mikutano La Kimataifa, KICC, lililoko katika barabara ya Harambee Avenue, Nairobi siku ya Jumatano tarehe 6 Juni, 2012 saa 5 asubuhi ili kutekeleza shughuli zifuatazo:

1. Kuidhinisha kumbukumbu za mkutano mkuu wa mwaka wa thelathini na mbili uliofanyika tarehe 27 Mei, 2011.

2. Kupokea, kuthibitisha na ikikubaliwa, kuidhinisha Ripoti ya mwaka na taarifa za fedha za mwaka uliomalizika tarehe 31 Disemba, 2011 pamoja na taarifa za wakurugenzi na za wakaguzi wa mahesabu.

3. Kutangaza mgao.

4. Kuchagua wakurugenzi:

(i) Kulingana na vifungu 94, 95 na 96 vya sheria za kampuni, wakurugenzi wafuatao ambao wanastaafu kwa zamu na kwa vile wanastahili, wanajitolea kuchaguliwa tena:

Francis Okomo-Okello
Rose Ogega
Yusuf Omari

(ii) Kulingana na kifungu 101 cha sheria za kampuni, Ashok Shah na John Waweru wamekaribia kustaafu. Na huu ukiwa mkutano mkuu wa mwaka wa kwanza kwao tangu wateuliwe kama wakurugenzi na kwa vile wanastahiki wamejitolea kuchaguliwa tena.

(iii) Bw. Paul Chemng'orem ambaye amehudumu kama Mkurugenzi wa halmashauri tangu Machi 1998 ameiarifu kampuni kuhusu nia yake ya kustaafu katika Mkutano Mkuu wa Mwaka uliokaribu kufanyika. Na hivyo hatajitolea kuchaguliwa tena kuambatana na kifungu 96 cha sheria za kampuni.

5. Kuipa idhini halmashauri kuamua malipo ya wakurugenzi.

6. Kuteua wakaguzi wa mahesabu na kuiruhusu halmashauri kuamua malipo ya wakaguzi hao.

7. Shughuli Maalum

(a) Kuangalia na kama inafaa, kupitisha azimio maalum lifuatalo la kurekebisha sheria za kampuni:

(i) KWAMBA sheria za kampuni zirekebishwe kwa kuongeza kifungu kipya cha 141 ambacho kitasomeka kama ifuatavyo:

"Kampuni huenda, ikiwa itahitajika kisheria, kulipa au kuwasilisha kwa mamlaka yoyote ya udhibiti iliyoagizwa mali yoyote isiyodaiwa ikiwemo lakini isiyokuwa na ukomo wa hisa za Kampuni ambazo zinakisiwa zimeachwa au hazijadaiwa katika muda unaokubalika kisheria. Kufuatia malipo hayo au uwasilishaji huo, mali isiyodaiwa haitakuwa tena chini ya mikono ya Kampuni na Kampuni haitawajibika tena kwa mmiliki au mwenye mali, ama mali yake, kuhusu mali hiyo ambayo haikudaiwa."

8. Kufanya shughuli nyengine yoyote ya kampuni ambayo ilani yake imepokewa.

Kwa amri ya halmashauri

Lnyaga

Judy Nyaga
Katibu wa Kampuni
30 April 2012

Fahamu 1:
Mwenyehisa anayeruhusiwa kisheria kuhudhuria mkutano mkuu na kupiga kura ana haki ya kumchagua mwakilishi atakayehudhuria kwa niaba yake. Mwakilishi huyo si lazima awe ni mwenyehisa wa kampuni. Ili ikubalike, fomu ya mwakilishi ambayo imeambatanishwa na ripoti hii ni lazima ikamilishwe kujazwa na mwenyehisa na lazima iwasilishwe kwa msajili wa hisa za kampuni, Custody and Registrars Services, ghorofa ya sita Jumba la Bruce, barabara ya standard,Nairobi au itumwe kwa Custody and Registrars Services kupitia posta, S.L.P. 8484-00100 Nairobi ili imfikie msajili kabla ya saa tano asubuhi, siku ya Jumatatu tarehe 4 Juni, 2012.

Fahamu 2:
Uandikishaji wa wenyehisa na waakilishi wa wenyehisa katika Mkutano Mkuu wa Mwaka utaanza saa mbili asubuhi tarehe 6 Juni, 2012. Wenyehisa na waakilishi watahitajika kubeba vitambulisho vyao pamoja na nakala husika ya taarifa ya akaunti ya shirika kuu la amana na mapatano (CDSC) ili kurahisisha utaratibu wa uandikishaji.

Chairman's Statement

CHAIRMAN'S STATEMENT

The year 2011 marked our 95th anniversary and was yet another year in which we boldly embraced opportunities and confronted the challenges presented by macro economic conditions. All the while, we pushed forward, reinforcing our position as a solid, stable bank which customers and clients can count on to be there for them, generation to generation.

OPERATING ENVIRONMENT

Despite the fact that Kenya continued to grow its Gross Domestic Product (GDP), our economy faced a myriad of challenges - all of which dampened the positive economic growth sentiments that emerged from the signing of the new Constitution, ongoing investments in infrastructure development, and other Government-led initiatives (including fiscal and monetary policy reforms, legal reform and regional integration) aimed to improve the business climate.

Weighing on the operating environment were challenges associated with the current account deficit; the weakening of the Kenya Shilling against major currencies; high inflation; high energy costs; and the rise in international commodity prices, including oil. Further exacerbating the situation were drought-related challenges that dominated a significant part of the year.

All things considered, the resiliency of our people and the soundness of our leadership, within both the public and private sectors, shone through and had a strong bearing on the overall performance of the economy.

BANKING SECTOR DEVELOPMENTS

Great strides were made in deepening the financial sector: faster cheque clearing times; increased use of credit reference bureaus by banks; high industry productivity leading to improved financial performance; and increased use of agency outlets by banks, to name a few.

The Government also took some concrete steps to support the drive towards greater access to credit. Some of the measures included: continued licensing of microfinance institutions and reviewing the legal, regulatory and supervisory frameworks for the financial sector to improve them.

The crowning issue facing the sector was in no doubt the upward trend in interest rates in response to tightening of monetary policy following the Government's move to reign in on the devalued Kenya Shilling and high inflation.

At Barclays, we continued to play our role by working closely with our customers during this period and made significant investments in technology and product development to improve our service offering.

BARCLAYS PERFORMANCE

The Board and Management continued to work towards creating more shareholder value through the year. We are proud that the business posted another solid year in terms of profitability.

Following the Bank's solid performance, the Board of Directors recommends to shareholders a special dividend of Shs. 0.60 per share and a final dividend of Shs. 0.70 per share. Including the previously announced interim dividend of Shs. 0.20 per share, the total dividend payout for the year increased by 10% to Shs. 1.50 per share.

We are confident in the Bank's proven strategy and well diversified business, which is supported by well trained, skilled and experienced employees.

Barclays Chairman, Francis Okello meets with customers during a branch visit.

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BOARD CHANGES

I would like to welcome Mr. Ashok Shah and Mr. John Waweru as Non-Executive Directors of the Board. They were both appointed in July 2011 after a rigorous process of identifying individuals with skills that would complement those of the existing Directors on the Board. Mr. Shah's broad commercial experience as a chartered insurer and Mr. Waweru's experience in the information and telecommunications sector will be an invaluable addition to the Board.

As we welcome in the new Directors, I would like to take this opportunity to sincerely thank Mr. Paul Chemng'orem, whose tenure is coming to an end, for his tremendous contribution to the Board. As the longest serving member of the Board, Paul has been a symbol of continuity and has been instrumental in shaping the Bank's customer focus agenda. He has served diligently during his tenure. We thank him for his support and wish him the very best.

RESPONSIBLE BANKING

Provision of financial services to customers and clients is not only our core business but also a key part of being a good corporate citizen. I'm proud to report that our financial inclusion and literacy investments continue to unfold the most compelling success stories.

The Banking on Change initiative which we fund and is implemented by CARE International and Plan International has so far reached more than 78,000 clients in Kenya. Following this success, we initiated a pilot program which is linking more than 90 groups to

A Barclays employee teaches book-keeping skills to small-scale businesswomen in Homa Bay.

Corporate Banking Director Nick Mbuvi with speakers at the Barclays Economic Forum.

formal banking services. We thank our partners, as well as our many Barclays employees who coach and mentor the Banking on Change groups, for their support.

During the year, we also partnered with the World Bank's International Finance Corporation (IFC) to conduct energy audits in an effort to bridge our corporate clients to sustainable energy finance. Participating clients are undertaking some of the efficiency proposals as they cut energy costs and operate more environmentally sustainable businesses.

One of our key activities during the year was the Bank's response to the national drought appeal. Collectively, Barclays and its employees contributed more than Shs. 45 million towards sustainable interventions in this area.

You can read more about our social investments within the Citizenship section of this report.

2012 OUTLOOK

There are views that the challenges we experienced in 2011 will lean into 2012, at least for the short to medium term. Market players will be keen to see to what extent the political environment will influence growth prospects. It is our hope and prayer that the Kenyan people will learn from the lessons of the past and help our country gain its rightful role as a key player within the East Africa region and Africa overall. The ongoing Government led reforms under the new constitutional dispensation are promising, and will lay firm foundations for greater political, economic and social stability. Looking forward, we will continue to forge partnerships

Barclays marked its 95th year during the annual shareholders meeting.

with our valuable stakeholders to deliver superior performance, strengthen our presence in Kenya through relentless focus on customer needs and contribution to economic development through our citizenship agenda.

In conclusion, I salute Barclays shareholders, customers, employees and partners, for their unwavering support and dedication to the Bank and for their confidence in the Board and Management.

I laud the Government and the Central Bank of Kenya for their invaluable support and contribution to the development of a sound banking sector.

Francis Okomo–Okello
Chairman

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Taarifa ya Mwenyekiti

Mwaka wa 2011 ambao ulikuwa ni wa maadhimisho yetu ya miaka 95, ulikuwa mwaka mwengine ambao tulitumia vyema fursa pamoja na changamoto zilizotokea katika biashara kubwa. Wakati huo wote tulipiga hatua na kuimarisha nafasi yetu kama benki madhubuti ambayo wateja wanaweza kuitegemea kutoka kizazi hadi kizazi.

MAZINGIRA YA BIASHARA

Licha ya pato la taifa la Kenya, GDP, kuendelea kukua, uchumi wetu ulikabiliwa na changamoto tofauti-changamoto hizo ziliathiri matumaini ya kukua kwa uchumi yaliyotokana na kutiwa saini kwa katiba mpya, uwekezaji wa muundomsingi unaoendelea na miradi mingine inayoongozwa na serikali (ikiwemo mabadiliko ya sera za fedha, na muungano wa nchi za Afrika Mashariki) yaliyolenga kuboresha mazingira ya biashara.

Kilichoathiri zaidi mazingira ya biashara ni changamoto zilizohusiana na nakisi katika akaunti za hundi; kuporomoka kwa thamani ya shilingi dhidi ya sarafu za kimataifa; mfumuko mkubwa wa bei; gharama kubwa za kawi; na ongezeko la bei za bidhaa za kimataifa yakiwemo mafuta. Na kilichoathiri hali zaidi ni

Kibanda cha La Riba lilkifunguliwa katika tawi la Eastleigh, Nairobi.

changamoto zilizohusiana na ukame ambazo zilidumu kwa kipindi kikubwa cha mwaka.

Yote hayo yakitiliwa maanani, uimara wa watu wetu na uangalifu wa uongozi, katika sekta za umma na binafsi, ulionekana na ulichangia sana matokeo ya jumla ya uchumi.

Kombe la Ligi Kuu la Barclays lilizuru Kenya kama njia mojawapo ya shughuli za shukrani kwa wateja wa Benki.

MAENDELEO KATIKA SEKTA YA BENKI

Hatua kubwa zilipigwa katika sekta ya fedha. Muda mfupi wa kushughulikia hundi; ongezeko la matumizi ya kumbukumbu za wanaoomba mikopo kwa benki; uzalishaji mkubwa ulioboresha matokeo ya fedha; na Ushughulikiaji haraka wa hundi; na ongezeko la matumizi ya huduma za mawakala wa benki, hizo ni miongoni mwa chache tulizozitaja.

Serikali pia ilichukua hatua madhubuti kusaidia upatikanaji zaidi wa mikopo. Baadhi ya hatua hizo zinajumuisha: kuendelea kutoa leseni kwa taasisi ndogo ndogo za fedha; na kuangalia upya sheria, mfumo wa usimamizi wa sekta ya fedha ili kuziboresha zaidi.

Suala kuu lililozonga sekta hii bila shaka ni ongezeko la viwango vya riba kufuatia udhibiti wa sera ya fedha, na kufuatia hatua ya serikali ya kuukabili mporomoko wa thamani ya shilingi ya Kenya na mfumuko mkubwa wa bei.

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Chajio kwa ajili ya wateja kiliandaliwa mjini Eldoret na halmashauri ya Barclays.

Katika Barclays, tuliendelea kutekeleza jukumu letu kwa kushirikiana zaidi na wateja wakati huu wote na kufanya uwekezaji mkubwa katika teknolojia na uimarishaji wa bidhaa zetu ili kuboresha utoaji wa huduma zetu.

MATOKEO YA BARCLAYS

Halmashauri pamoja na usimamizi ziliendelea kuimarisha thamani ya mwenyehisa katika kipindi chote cha mwaka. Tunafurahi kuwa benki ilikuwa na mwaka mwengine thabiti kuhusiana na faida.

Kufuatia matokeo hayo thabiti ya Benki, halmashauri ya wakurugenzi imependekeza mgawo maalum kwa wenyehisa wa senti sitini (Shs. 0.60) kwa kila hisa na mgawo wa mwisho wa senti sabini (Shs. 0.70) kwa kila hisa. Na pamoja na mgawo wa awali uliotangazwa wa senti ishirini (Shs. 0.20) mgawo wa jumla wa mwaka tunaoangazia uliongezeka kwa asilimia kumi hadi shilingi moja na senti hamsini (Shs. 1.50) kwa kila hisa. Tuna imani kuwa mkakati wa Benki uliothibitishwa pamoja na biashara anuwai, inayoungwa mkono na kusaidiwa na wafanyikazi waliofunzwa vyema kabisa, wenye ujuzi na uzoefu.

MABADILIKO YA HALMASHAURI

Ningependa kuwakaribisha Bw. Ashok Shah na Bw. John Waweru kama wakurugenzi wasiokuwa na utendaji wa halmashauri. Wote wawili waliteuliwa mwezi wa Julai mwaka wa 2011 baada ya mchakato wa kuwatambua watu wenye ujuzi utakaoshamirisha ujuzi wa wakurugenzi walioko katika halmashauri. Uzoefu mkubwa wa kibiashara wa Bw. Shah kama mtoaji bima ya mkopo na uzoefu wa Bw. Waweru katika sekta ya habari na mawasiliano ya simu vitakuwa ongezeko kubwa la thamani katika halmashauri.

Huku tukiwakaribisha wakurugenzi wapya, ningependa kuchukua fursa hii kumshukuru kwa dhati Bw. Paul Chemng'orem ambaye muda wake kuhudumu unamalizika, kwa mchango wake mkubwa katika halmashauri. Paul ambaye ni mwanachama wa muda mrefu zaidi katika halmashauri amekuwa kielelezo cha uendelevu na alikuwa nguzo muhimu katika kuishughulikia ajenda ya Benki ya kumjali zaidi mteja na amekuwa na bidii katika muda aliohudumu. Tunamshukuru kwa mchango wake na tunamtakia kila la heri.

UWAJIBIKAJI KATIKA SHUGHULI ZA BENKI

Utoaji wa huduma za kifedha kwa wateja sio tu ni kiini cha shughuli yetu bali pia ni sehemu muhimu ya kuwa shirika zuri la wananchi. Ni fahari yangu kutangaza kuwa uwekezjai wetu wa kifedha na ufahamu wa elimu ya kifedha unaendelea kutuletea ufanisi mkubwa.

Mpango wa kubadilisha shughuli za benki ambao tunaufadhili na kutekelezwa na shirika la CARE na Plan International umefikia zaidi ya wateja 78,000 nchini Kenya. Kufuatia ufanisi huu, tumeanzisha mpango wa majaribio ambao unahusisha zaidi ya makundi 90 katika shughuli rasmi za benki. Tunawashukuru wabia wetu pamoja na wafanyikazi wetu wengi wa Barclays ambao hutoa mafunzo na nasaha kwa makundi hayo, kwa msaada wao.

Katika mwaka huu wa 2011, pia tulishirikiana na shirika la kimataifa la fedha la Benki ya Dunia kufanya ukaguzi wa kawi katika juhudi za kusaidia wateja wetu ambao ni mashirika kuwa na fedha za kawi za kudumu. Wateja wanaoshiriki tayari wanatekeleza baadhi ya mapendekezo huku wakipunguza gharama za kawi na

kutekeleza shughuli katika mazingira mazuri ya biashara. Moja ya shughuli zetu muhimu katika mwaka tunaoangazia ni hatua zilizochukuliwa na Benki kusaidia kukabiliana na ukame nchini. Kwa pamoja, Barclays na wafanyikazi wake walitoa mchango wa zaidi ya shilingi milioni 45 katika kuanzisha miradi ya kutoa suluhisho la kudumu.

Unaweza kusoma zaidi kuhusu uwekezaji wetu kwa jamii katika sehemu ya mambo yampasayo raia bora katika ripoti hii.

MTAZAMO WA 2012

Kuna maoni kuwa changamoto tulizozipata mwaka wa 2011 zitaendelea kuweko katika mwaka wa 2012 angalau kati ya muda mfupi na kati. Wadau katika soko watakuwa na hamu ya kuona kwa kiasi gani hali ya kisiasa itaathiri matarajio ya ukuaji. Ni matarajio na maombi yetu kuwa wakenya watajifunza kutokana na yaliyopita na kusaidia nchi yetu kuwa katika mahali pake kama mdau muhimu katika kanda ya Afrika Mashariki na Afrika kwa ujumla. Mageuzi yanayoendelea ambayo yanaongozwa na serikali chini ya katiba mpya ni ya kutia moyo, na yanaweka misingi thabiti ya uthabiti wa kisiasa, kiuchumi na kijamii.

Na kuendelea mbele, tutazidi kuwa na ubia na wadau wetu tunaowathamini ili kuwa na utendaji bora,kuimarisha kuwepo kwetu nchini Kenya kupitia mtazamo usiochosha kuhusu mahitaji ya wateja na mchango katika ustawi wa kiuchumi kupitia ajenda ya mambo yampasayo raia bora.

Kwa kuhitimisha, ninawapongeza wenyehisa wa Barclays, wateja, wafanyikazi na wabia kwa mchango wao usioyumba na kujitolea kwao katika Benki na kuwa na imani na halmashauri na usimamizi. Ninaihimidi serikali na Benki Kuu kwa msaada wao na mchango wao katika kustawisha sekta bora ya benki.

Francis Okomo-Okello
Mwenyekiti

Managing Director's Report

MANAGING DIRECTOR'S REPORT

We are pleased with our overall business performance which is in line with our growth plans and focus on building a solid, resilient business. We are especially pleased with the operational efficiencies that will see the Bank pass on more benefits to customers and clients.

We ended the year on solid footing, being more than adequately capitalised with a good quality lending book. All this positions us well for growth in a dynamic albeit challenging economic environment that is characterised by high inflation, high interest rates and currency volatility.

PERFORMANCE REVIEW

Barclays underlying profit before tax, which excludes proceeds from the sale of the custody business in 2010, increased by 11% to Shs. 12 billion. We maintained our capital strength at Shs. 29 billion. Total assets and customer deposits were stable at Shs. 167 billion and Shs. 124 billion respectively.

Our overall financial performance was driven by positive improvement in income, costs efficiency and better impairment charge levels.

Growth in income was influenced mainly by excellent management of interest rate margins as competition for high deposit rates and low borrowing rates soared throughout the markets. We also saw net growth of customer assets by Shs. 12 billion.

During the period under review, we also maintained a first-class credit profile through strong risk management. We witnessed better than planned performance in our overall impairment charge with corporate loans reporting minimal loan impairments and consumer loan recovery rates improving compared to the previous year.

On the cost front, we have seen tremendous improvement spurred by our commitment to improve the Bank's cost to income ratio through automation of key business processes and increased productivity. Bank operating expenses of Shs. 13.6 billion reduced by Shs. 0.5 billion, compared to the previous year.

RISK MANAGEMENT

Excellent risk management has made Barclays to be one of the strongest and most favoured banks for customers to put their money, and one of the most valuable stocks in the banking sector through the delivery of stable, consistent returns to shareholders.

Barclays signs a $13.5 million credit facility to finance Kenya Petroleum Refinery's 10 megawatt power plant in Mombasa.

During the year, we saw increased pressure in the global markets on account of heightened regulation to contain the fall out from the Euro zone debt crisis. With threats of a double-dip recession across Europe hanging over global markets, Barclays continued to rely on its proven risk management framework to steer the business both globally and locally.

Some risk initiatives implemented during the period included the adoption of a new, online customer loans sanctioning technology platform. We also enhanced security and controls to reinforce our credit and debit card system. We also worked with our clients and customers to help them manage risks associated with increasing commodity costs, higher energy costs, foreign exchange volatility and rising interest rates.

TECHNOLOGY INVESTMENT

The Bank continued to accrue benefits from the investment in a robust and dynamic technology platform which has enabled us to provide enhanced products and services to customers. Barclays was the first bank to offer free Internet Banking services, free mobile banking services, and free ATM withdrawals to all customers.

The new technology platform also made it possible for Barclays to launch Mpesa and airtime integration onto our mobile banking platform - Hello Money - as well as introduce tailor-made propositions to suit different customer segments.

In addition, the Bank launched an Interactive Voice Response service which enables customers to transact on phone as they would at the branch. With our Call-in Contact Centre operating 24 hours a day, seven days a week, these services have transformed Barclays into one of the most accessible banks in the market.

CORPORATE BANKING
Barclays is one of the leading corporate and investment banks in the world. Our award-winning Corporate business in Kenya has grown from strength to strength as we have established ourselves as a reliable financial partner for all corporate clients and multi-national corporations.

Helping clients steer through the prevailing local and global economic conditions, we put together the inaugural Barclays Economic Forum; a discussion facilitated by colleagues from different parts of the Group and external consultants. During the Economic Forum, clients got an expert view on the status of the global markets and the impact this has on their businesses.

In Investment Banking, we won a number of advisory mandates through harnessing our global capabilities across the Barclays Group to deliver complete solutions to our Corporate clients.

TREASURY SERVICES

Foreign Exchange Market
During the year we saw the Kenya Shilling slump to a record low having opened the year at Shs. 80.60 to the dollar and weakening rapidly to trade at Shs. 106.80 (a 32% decline against the US dollar) in October 2011. The weakness was attributed to the rising inflation pressure amidst an easing monetary policy.

Kenya's Central Bank responded aggressively to defend the local unit by tightening the liquidity situation. In the fourth quarter of 2011, the Monetary Policy Committee

Local Business Club international trip destinations.

Barclays Treasury remains at the forefront of developing unique treasury solutions.

pushed the Central Bank Rate to a record high of 18% leading to a strong recovery of the Kenya Shilling to close the year at Shs. 88.90.

Money Markets
The credit easing stance adopted by the Monetary Policy Committee in the first half of the year saw interest rates subdued enabling the industry to record an average credit expansion of 34% each quarter. However, money markets equally responded dramatically to the tight monetary policy stance in the last three months of the year pushing the inter bank overnight rates to as high as 30.50% in November 2011 and increasing competitive pressure on our customer liability book.

Overall, the year 2011 presented an exciting environment for the treasury business. The unique market conditions saw us work closely with the Banking Industry, the Treasury team in the Ministry of Finance and the Central Bank of Kenya Financial Markets team to structure solutions that eventually brought stability in the volatile financial markets.

CONSUMER BANKING
Barclays Consumer Banking is comprised of Retail Banking, Local Business and Credit Cards business. Our goal is to become the "go to" bank whose overarching aim is to help make customers' lives much easier.

Retail Banking
In addition to intelligent use of technology to make services more affordable and convenient, we also revamped our products and reviewed our tariff structure to make it simpler to bank with Barclays.

We introduced the Ultimate Account; a bundled account providing a wide range of benefits and services for

a single fee. We also introduced the Barclays Direct proposition, a truly revolutionary suite of products and services, targeting employees of our corporate clients.

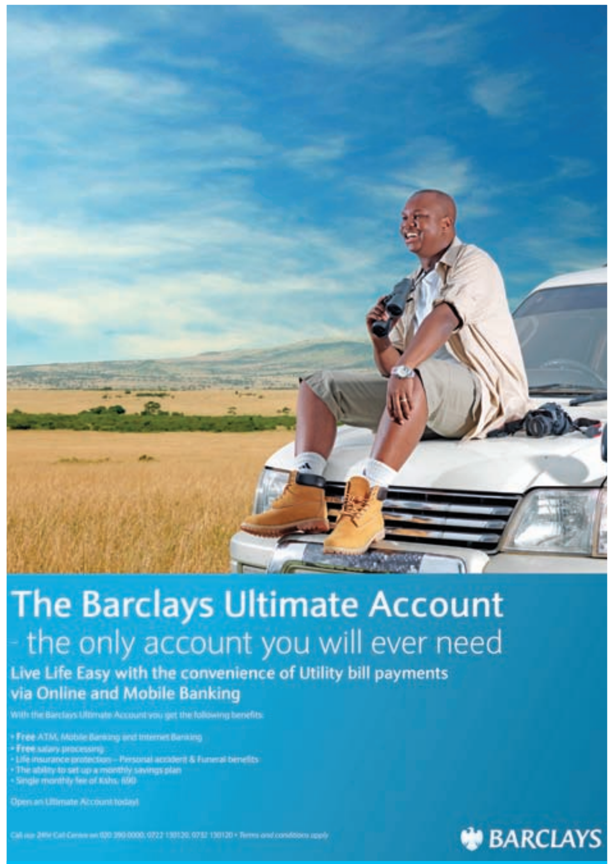
We cater to the mass affluent segment through Barclays Premier, which is a banking experience unlike any other, providing a highly personalized approach and exceptional relationship management and access to Barclays global products.

The Barclays Premier flagship branch along Waiyaki Way in Westlands, Nairobi.

We continue to balance our customer channel preference with cost to serve. Accordingly, we introduced free banking services for use of all our electronic channels: ATM, Hello Money and internet banking. We will continue to fill gaps in our branch network. To this end we opened a second branch in Eastleigh to meet the increased needs of our customers in this area.

Local Business
The Barclays Business Club continued to grow this year. We launched an insurance cover (Key Man Insurance) to enable our customers to guard against the risk of the unlikely demise of the proprietors of their businesses. We also launched a secured credit card for Club customers who are self employed and usually in need of high credit card financing.

We also saw more customers reach more destinations as part of our renowned trip calendar. The Club undertook four trips and approximately 250 members joined the trips, attending international trade fairs to source for stock and ideas for their various business ventures. The most well attended trip of the year was to the United Kingdom where we hosted more than 140 entrepreneurs. We thank the British High Commission's UK Trade & Investment Section for their partnership towards making this trip a success.



Barclays launched new products during the year, including the Ultimate Account for retail customers.

Since the inception of the Club, more than 3,500 members have been assisted by Barclays to visit more than 22 countries. These customers have transacted businesses worth in excess of Shs. 3 Billion.

Credit Card business
Our Barclaycard business deals with both the process of issuing credit cards and acquiring of merchants. Barclaycard also processes merchant payments for clients who do not have a material presence in Kenya or other Africa markets; these clients include VISA, MasterCard and American Express.

We are proud of our leading card position as well as the diverse products we offer. Innovation plays a significant role in determining the direction of this card business and we will continue to invest as the use of plastic increases in the modern economy.

HUMAN RESOURCES
We operate in a highly competitive environment, and it is increasingly important to operate a business that not only attracts, but also develops and retains top talent. As an employer of choice, we provide ongoing opportunities for career growth and mobility.

During the year, we invested in additional world-class employee programmes, namely: an online training system which includes modules developed by Harvard

H.E. President Mwai Kibaki walks the course at Muthaiga Golf Club during the Barclays Kenya Open.

Business School; and Career Path, a structured scheme which incorporates out-of-country attachment opportunities. As a result of this, a number of employees got the opportunity to work in other countries such as Seychelles, Egypt, Tanzania and India.

While fostering career growth, the Bank supports a culture of celebrating our differences through various diversity and inclusion initiatives, including the Barclays Womens Network Forum (WNF). Since 2010, WNF has provided numerous mentoring and career development activities for female employees from across the country.

I am thankful that our leadership team is actively involved in staff development activities, with all serving as mentors to both WNF participants as well as the Bank's wider talent pool.

I should note that our focus on talent development extends beyond our employee population and into the community. As detailed in our Social Responsibility Report, Barclays employees are keen to partner with several community organisations to mentor and develop the next generation of business leaders, and future employee pipeline.

INDUSTRY RECOGNITION

Barclays' leadership position in the market has been confirmed over the years through the recognition we receive. Our several industry and business awards include: Worlds Best Emerging Market Bank (Global Finance Magazine), Best Bank in Kenya (Asian Banker Magazine Awards), Best in Technology (2011 Banking Awards), Overall Distinguished Taxpayer 2011 Top Ten Category, Employer of Choice (Institute of Human Resource Management), Sponsorship of the Year Award (Barclays Kenya Open), and Special Recognition: Higher Education Loans Board (HELB) for outstanding support in refinancing higher education loans.

CONCLUSION

As we enter 2012, I am optimistic that the foundation we have laid through appropriate investments in technology infrastructure, talent and customer acquisitions, we are well positioned to take advantage of opportunities ahead and well prepared to overcome any short term challenges in the business environment.

I would like to thank Barclays colleagues for their significant contribution towards our overall performance during 2011. I would also like to thank the Board and Regulators especially the Central Bank of Kenya, for their support and guidance. Special thanks also goes to our customers and shareholders for their loyalty and support.

Adan Mohamed
Managing Director

Taarifa ya Meneja Mkurugenzi

Tumefurahia matokeo ya biashara yetu kwa ujumla ambayo yako sambamba na mipango yetu ya ukuaji na malengo ya kuwa na biashara imara. Kilichotufurahisha zaidi ni utendaji bora wa shughuli ambao utawezesha Benki kuwanufaisha zaidi wateja.

Tulimaliza mwaka katika hali madhubuti, tukiwa na mtaji wa kutosha wenye rekodi bora. Hiyo yote inatuwezesha kukua katika mazingira anuwai ya uchumi yenye changamoto zinazohusisha mfumuko mkubwa wa bei, viwango vikubwa vya riba na kubadilika kwa thamani ya sarafu.

UCHAMBUZI WA UTENDAJI

Faida ya Barclays kabla ya kutozwa ushuru, ambayo haijumuishi mauzo ya biashara ya huduma ya utunzaji ya mwaka wa 2010, iliongezeka kwa asilimia 11 hadi shilingi bilioni 12. Tulidumisha uthabiti wa mtaji wetu ambao ni shilingi bilioni 29. Jumla ya thamani ya mali na uwekaji amana wa wateja ulikuwa thabiti katika kiwango cha shilingi bilioni 167 na shilingi bilioni 124 mtawalia.

Matokeo yetu ya fedha kwa ujumla yalitokana na uboreshaji wa mapato, utendaji bora uliopunguza viwango vya gharama na uharibifu.

Ukuaji wa mapato halisi ya riba ulitokana zaidi na usimamizi bora wa faida na upanuzi huku ushindani wa viwango vya juu vya kuweka amana na viwango vya chini vya riba ya mikopo vikipanda sana katika masoko yote. Pia tulishuhudia ukuaji halisi wa mali ya wateja kwa shilingi bilioni 12.

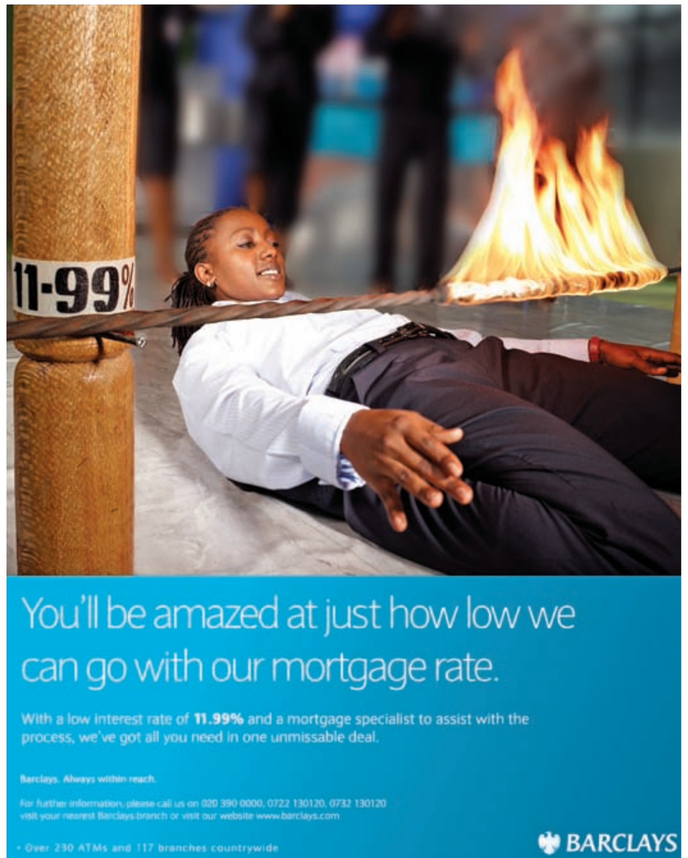
Katika kipindi hiki tunachokichambua, pia tulidumisha sifa safi kabisa ya mkopo kupitia mfumo thabiti wa kufidia hasara. Tulipata matokeo bora kuliko yaliyopangwa katika hasara yetu ya jumla huku mikopo kwa mashirika ikiwa na hasara ya kiwango cha chini ya mkopo na viwango vya ulipaji wa mkopo wa mteja viliimarika ikilinganishwa na mwaka uliopita.

Kwa upande wa gharama, tumeona tumefanya vizuri kutokana na kujitolea kwetu kuboresha uwiano wa gharama za benki na mapato kupitia utumiaji wa mitambo inayojiendesha katika michakato ya biashara muhimu na ongezeko la tija. Gharama za Benki za shilingi bilioni 13.6 zilipungua kwa shilingi bilioni 0.5 ikilinganishwa na kipindi kilichotangulia.

MFUMO WA KUDHIBITI HASARA

Mfumo bora sana wa kudhibiti hasara umesababisha Barclays kuwa moja ya benki madhubuti na inayopendelewa zaidi na wateja kuweka pesa zao, na moja ya hisa zenye thamani kubwa katika sekta ya benki kupitia faida thabiti kwa wenyehisa.

Katika kipindi hiki cha mwaka, tuliona ongezeko la shinikizo katika masoko ya ulimwengu kufuatia taratibu za kudhibiti kusambaratika kwa eneo la kiuchumi la Uropa kutokana na mgogoro wa madeni. Huku kukiwa na tishio la mporomoko maradufu wa kiuchumi kutoka Uropa katika masoko ya ulimwengu, Barclays



Barclays ilizindua bidhaa mpya mwaka 2011, pamoja na Akaunti ya Msingi ya wateja rejareja.

Meneja Mkurugenzi Bw. Adan Mohamed anaikagua miradi ya kijamii ya Eldoret iliyofadhiliwa na Barclays.

iliendelea kutegemea mfumo wake wa kudhibiti hasara uliothibitishwa kuiongoza biashara kimataifa na humu nchini.

Baadhi ya hatua za kudhibiti hasara zilizotekelezwa katika kipindi hicho zinajumuisha matumizi ya teknolojia mpya ya intaneti ya kuidhinisha mikopo kwa wateja. Pia tuliimarisha usalama na uhakiki ili kuimarisha mfumo wetu wa kadi za mkopo. Vilevile tulishirikiana na wateja wetu katika kuwasaidia kusimamia hasara inayotokana na ongezeko la gharama za bidhaa, gharama kubwa ya kawi, mabadiliko ya thamani ya fedha na ongezeko la viwango vya riba.

UWEKEZAJI KATIKA TEKNOLOJIA

Benki iliendelea kunufaika na uwekezaji mkubwa na anuwai wa teknolojia ambayo imetuwezesha kutoa bidhaa na huduma zilizoimarishwa kwa wateja wetu. Barclays ilikuwa benki ya kwanza kutoa huduma za bure za utekelezaji wa shughuli za benki kupitia intaneti, huduma za bure za shughuli za benki kupitia simu, na utoaji pesa bila malipo katika mitambo ya ATM kwa wateja wetu wote.

Teknolojia hiyo mpya pia iliwezesha Barclays kuzindua ujumuishaji wa huduma za mpesa na ununuzi wa kadi ya muda wa maongezi katika huduma yetu ya njia ya simu –Hello Money- pamoja na kuanzisha shughuli ambazo zinatosheleza mahitaji ya wateja wa vitengo tofauti.

Pamoja na hayo, benki ilianzisha huduma ya kuwasiliana katika utekelezaji shughuli kupitia sauti - ni huduma ambayo inawawezesha wateja kufanya shughuli zao kwa simu kama vile ambavyo wangekuwa katika tawi lolote lile. Kutokana na kuhudumu kwa kituo chetu cha mawasiliano saa 24 kwa siku, siku saba kwa wiki, huduma hizi zimeibadilisha Barclays na kuwa moja ya benki ambazo zinapatikana kwa urahisi zaidi katika soko.

SHUGHULI ZA BENKI ZA USHIRIKA

Barclays ni moja ya benki zinazoongoza katika mashirika na uwekezaji duniani. Shughuli zetu za shirika ambazo zinatuzwa nchini Kenya zimezidi kukua huku tukijitokeza kama wabia wa fedha wa kutegemewa katika wateja wetu ambao ni mashirika pamoja na mashirika makubwa ya kimataifa.

Kuwasaidia wateja kutoathirika na hali zilizoko za kiuchumi humu nchini na kimataifa, tuliandaa kwa mara ywa kwanza kongamano la kiuchumi la Barclays; mjadala ulisimamiwa na wenzangu kutoka idara tofauti za shirika pamoja na washauri kutoka nje. Katika kongamano hilo la uchumi wateja walipata maoni ya wataalamu kuhusu hali halisi ya masoko duniani na athari zake katika biashara zao.

Katika uwekezaji wa shughuli za benki, tulipata majukumu kadhaa ya utoaji ushauri kupitia watu wetu wenye vipaji duniani walioko katika Barclays Group ili kutoa suluhisho kamili kwa wateja wetu ambao ni mashirika.

HUDUMA ZA HAZINA KUU

Katika kipindi hiki cha mwaka 2011 tuliona thamani ya shilingi ya Kenya ikiporomoka hadi kiwango kidogo zaidi katika historia baada ya kuanza mwaka ikibadilishwa kwa shilingi 80.60 kwa kila dola ya Marekani na kufikia shilingi 106.80 kwa kila dola mwezi wa Oktoba 2011 (mporomoko wa asilimia 32 dhidi ya dola ya Marekani). Mporomoko huo wa thamani ulihusishwa na shinikizo la ongezeko la mfumuko wa bei na sera nyepesi ya pesa.

Benki Kuu ya Kenya ilichukua hatua madhubuti kuokoa shilingi kwa kupunguza mzunguko wa pesa nyingi. Katika robo ya nne ya 2011, kamati kuhusu sera ya fedha iliongeza viwango vya riba vya Benki Kuu hadi asilimia 18, hatua ambayo iliokoa thamani ya shilingi na mwaka ulipomalizika thamani ilikuwa shilingi 88.90 kwa kila dola.

MASOKO YA PESA

Sera ya kurahisisha utoaji wa mikopo iliyotumiwa na kamati ya sera ya fedha katika nusu ya kwanza ya mwaka ilisababisha viwango vya riba kupungua na kuwezesha sekta hii kupata ongezeko la wigo wa mikopo kwa asilimia 34 kila robo. Hatahivyo masoko ya pesa yaliathirika na ushauri wa sera ya fedha iliyobana utoaji mikopo katika miezi mitatu ya mwisho wa mwaka na kusababisha viwango vya riba baina ya benki kupanda hadi asilimia 30.50 katika mwezi wa Novemba 2011 na hivyo kuongeza shinikizo la ushindani kwa dhima ya daftari la wateja wetu.

Kwa ujumla mwaka wa 2011 ulikuwa na mazingira ya kusisimua kwa biashara ya hazina kuu. Mazingira ya kipekee ya soko yalifanya tushirikiane zaidi na sekta ya benki, wafanyikazi wa hazina kuu ya serikali katika Wizara ya Fedha na Benki Kuu ya Kenya, kundi la masoko ya fedha kutafuta suluhu ambazo hatimaye zilileta udhibiti katika mabadiliko ya masoko ya fedha.

SHUGHULI ZA BENKI KWA MTEJA

Shughuli za benki za Mteja za Barclays zinajumuisha, Huduma za reja reja, Biashara za humu nchini na Biashara ya kadi za mkopo. Lengo letu ni kuwa Benki ya kukimbiliwa na wengi ambayo azma kuu ni kufanya maisha ya wateja kuwa rahisi zaidi.

SHUGHULI ZA BENKI ZA REJA REJA

Pamoja na matumizi mazuri ya teknolojia ili kurahisisha upatikanaji wa huduma, pia tumeimarisha bidhaa zetu na kufanyia mabadiliko mfumo wa ada zetu ili kurahisisha kuweka amana na Barclays.

Tulianzisha akaunti ya Ultimate; akaunti ambayo ina manufaa na huduma zaidi kwa aina moja tu ada ya huduma. Pia tulianzisha mashauri ya moja kwa moja na Barclays, mageuzi halisi ya bidhaa na huduma, yanayolenga wafanyikazi wa wateja wetu ambao ni mashirika.

Tunahudumia wale wenye uwezo zaidi katika jamii (mabwanyenye) kupitia Barclays Premier, ambayo inatoa fursa ya kipekee ya shughuli za benki, inamhusisha zaidi mtu binafsi kuhusiana na usimamizi na upatikanaji wa bidhaa za Barclays duniani.

Tunaendelea kuleta usawa wa njia wanazopendelea wateja wetu kuhusiana na gharama ya kutoa huduma. Kwa mujibu wa hayo, tulianzisha huduma za bure za shughuli za benki katika njia zetu zote za eletroniki: ATM, Hello Money na utekelezaji wa shughuli za benki kupitia intaneti. Tutaendelea kuziba mapengo yaliyoko katika mtandao wetu wa matawi. Katika hilo tulianzisha tawi la pili Eastleigh ili kutosheleza mahitaji ya wateja wetu katika eneo hili.

Mwajiriwa Anthony Kiiru akitambuliwa kwa tuzo la Barclays Eagle.

BIASHARA YA HUMU NCHINI

Klabu ya biashara ya Barclays iliendelea kukua mwaka huu. Tulizindua bima (Bima ya Key Man) ili kuwawezesha wateja wetu kujilinda dhidi ya hasara ya uwezekano wa kusambaratika kwa biashara zao. Pia tulizindua kadi salama ya mkopo kwa wateja wetu wa Klabu ambao wamejiajiri na ambao huwa wanahitaji kadi yenye kuwaruhusu kukopa pesa nyingi.

Pia tulishuhudia wateja zaidi wakifika maeneo zaidi tofauti kama sehemu ya Kalenda yetu ya safari inayojulikana sana. Klabu ilifanya ziara nne na wanachama wasiopungua 250 walishiriki na walihudhuria maonyesho ya kimataifa ya biashara kutafuta bidhaa na mawazo mapya ya biashara zao tofauti. Safari ambayo ilikuwa na wanachama wengi zaidi ilikuwa ile ya Uingereza; tulikuwa na zaidi ya wajasiriamali (wafanyibiashara) 140. Tunaushukuru ubalozi wa Uingereza hasa kitengo cha biashara na uwekezjai kwa ubia wao katika kufanikisha safari hii.

Tangu klabu ianzishwe, zaidi ya wanachama 3,500 wamesaidiwa na Barclays kuzuru zaidi ya nchi 22. Wateja hawa wamefanya biashara za thamani ya zaidi ya shilingi bilioni tatu.

BIASHARA YA KADI YA MKOPO

Biashara yetu ya Barclaycard inashughulika na utaratibu wa utoaji wa kadi za mkopo na kupata wafanyibiashara. Barclaycard pia inashughulika na ulipaji wa huduma za biashara za wateja ambao hawana makao nchini Kenya au katika masoko mengine ya Afrika; Wateja hawa ni wale wenye huduma za: VISA, Mastercard, na American Express.

Tunajivunia uongozi wetu katika utoaji wa kadi za mikopo pamoja na bidhaa na huduma anuwai. Uvumbuzi unachangia pakubwa katika kuamua mwelekeo wa biashara hii ya kadi za mkopo na tutaendelea kuwekeza kadiri matumizi ya plastiki yataendelea katika uchumi wa kisasa.

MLIMBI WA WAFANYIKAZI

Tunahudumu katika mazingira yenye ushindani mkali, na inaendelea kuwa muhimu kufanya biashara ambayo haivutii tu bali pia inaendelea na kuvutia wenye vipaji. Kama muajiri wa chaguo la wengi, tunatoa fursa za ukuaji wa kitaaluma na hamasisho.

Katika kipindi hiki cha mwaka, tuliwekeza zaidi katika mipango ya kuwa na mfanyikazi bora duniani,ambayo ni pamoja na: mfumo wa kufundishia kupitia intaneti ambao unajumuisha masomo yaliyoandaliwa na chuo cha biashara cha Harvard; ukuaji kikazi na kitaaluma, mpango unaohusisha fursa za watu kwenda nje kufanya kazi. Kufuatia hiyo, wafanyikazi kadhaa walipata fursa ya kufanya kazi katika nchi nyengine kama Ushelisheli, Misri, Tanzania na India.

Huku ukuaji kikazi na kitaaluma ukikuzwa, Benki inaunga mkono utamaduni wa kufurahia tofauti zetu kupitia mipango anuwai na ushirikishaji, ukiwemo mtandao wa wanawake wa Barclays (WNF). Tangu mwaka wa 2010, WNF umekuwa na shughuli tofauti za ukuaji na utoaji nasaha kwa wafanyikazi wa kike kote nchini.

Ninashukuru kikosi chetu cha uongozi kinajihusisha zaidi na shughuli za ustawi wa wafanyikazi, wote wakihudumu kama washauri kwa washiriki wa WNF pamoja na ugo mpana wa vipawa katika Benki. Ningependa kufahamisha kuwa mtazamo wetu wa ukuzaji wa vipawa sio tu ni kwa wafanyikazi pekee bali pia kwa jamii. Kama ilivyoelezwa katika ripoti ya uwajibikaji katika jamii, wafanyikazi wa Barclays wana hamu kubwa ya kushirikiana na mashirika tofauti ya jamii ili kutoa nasaha na kukuza kizazi kijacho cha viongozi wa kibiashara, na wafanyikazi wa siku za usoni.

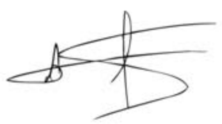
UTAMBUZI KATIKA SEKTA YA BENKI

Uongozi wa Barclays katika soko umetambuliwa kwa miaka mingi kupitia zawadi unazopokea. Zawadi zetu kadhaa katika sekta hii na biashara ni pamoja na: Benki bora ya dunia katika soko linalochipuka (Jarida la Global Finance), Benki bora nchini Kenya (Jarida la zawadi la Asian Banker), Benki bora katika teknolojia (Zawadi za Banking 2011), kwa jumla benki ilitambuliwa katika kitengo cha kumi bora cha ulipaji ushuru, Muajiri wa chaguo la wengi (Taasisi ya usimamizi wa mlimbi wa wafanyikazi), zawadi ya mwaka ya udhamini (Barclays Kenya Open), na utambuzi maalum kutoka kwa halmashauri ya utoaji mikopo ya elimu ya juu (HELB) katika kusaidia kufadhili mikopo ya elimu ya juu.

HITIMISHO

Huku tukiwa tumeuanza mwaka wa 2012, nina matumaini kuwa msingi tulioweka kupitia kwa uwekezaji unaofaa katika teknolojia, watu wenye vipawa na wateja tuliopata, unatuweka katika nafasi nzuri ya kutumia fursa zillizoko pamoja na kukabiliana na changamoto zozote za muda mfupi katika mazingira ya biashara.

Ningependa kuwashukuru wafanyikazi wenzangu wa Barclays kwa mchango wao mkubwa kuhusu matokeo yetu ya jumla katika mwaka wa 2011. Vilevile ningependa kutoa shukurani kwa halmashauri na wadhibiti hasa Benki Kuu ya Kenya kwa msaada wao na mwongozo. Shukurani za dhati ziwaendee wateja na wenyehisa wetu kwa uaminifu wao na kutuunga mkono.



Adan Mohamed
Meneja Mkurugenzi

INNOVATING *generation to generation*

Mambo Interiors last year participated in the Barclays Business Club Expo at which they won the best stand of the exhibition. The company is owned and operated by John Paul "JP" Otieno (35 years) and his wife. JP is a former Barclays employee who has been banking with us for 10 years.

The young couple have since been profiled in many magazines, including Homes Kenya, and have been featured by Citizen TV as a "mover and shaker".

The made-to-order furniture company that specialises in modern and contemporary designs currently employs 15 artisans.

Barclays Citizenship Agenda

Our social responsibility extends from the bank's 4,400 plus employees to Barclays customers and the communities in which we operate.

How we define Citizenship

- Community & social investments
- Serving & supporting customers
- Supportive workplace
- Responsible sourcing supplier diversity

1. SOCIAL INVESTMENT

Every year Barclays invests in communities through timely and strategic interventions that are aimed at providing economic opportunities to the marginalized.

Through our Citizenship Agenda, we commit resources (time and money) to engage in different projects under three broad pillars:

a. Financial Inclusion
b. Youth and Entrepreneurship
c. Environmental Sustainability

In addition, Barclays empowers employees to make a difference through community schemes, including:

d. Shilling for Shilling Fundraising Campaigns
e. Make a Difference Day

a) Financial Inclusion

With a view to reducing the number of people who lack access to basic financial services, Barclays invested Pounds Sterling 10 million through partnership with CARE International and Plan International to launch the Banking on Change programme in several countries including Kenya, Tanzania, Ghana, Uganda and Egypt.

The programme is aimed at helping reduce poverty in villages and diversifying household incomes through a model based on group savings and loans. Following comprehensive financial skills training, Banking on Change clients form groups through which they pool their resources to create an asset base from which loans are granted to members of the groups.

During the period under review, the Kenya programme reached more than 75,000 clients, surpassing our goal for the year. In addition, we initiated a pilot where 52 groups with an average asset base of Shs. 600,000 each were transitioned to formal banking services. These groups opened Barclays Uwezo Group Savings Accounts and are now in a position to grow their economic impact even further.

b) Youth and Entrepreneurship

Barclays recognizes its role in spurring economic growth through the provision of financial services as well as its investments in society.

We value the role entrepreneurs and micro and small business owners play in driving Kenya's long-term economic growth, and therefore we form partnerships with a view to offering guidance and economic opportunities to the youth.

125,000
People trained on financial literacy through the Banking on Change and Juniour Achievement programmes

11 Houses
Built in partnership with Habitat for Humanity for families displaced following post election violence

90 Groups
Village groups transitioned to formal banking

45 Mn
Donated by Barclays towards drought relief, focusing on sustainable projects

4.3 Mn
Towards the PEAH drought initiative

Such initiatives have been realized through training in crucial fields such as business plan development, cash flow management and the application of ICT in business.

Barclays takes pride in helping nurture secondary school students and out of school youth at the crucial point at which they are choosing their careers.

With one of our partners, Junior Achievement (JA), we have been able to train about 50,000 students on critical business skills and have provided the opportunity for more than 100 secondary school students to be mentored by Barclays employees in their work environment (at a Barclays branch or office). Through the JA programme, employees similarly devote their time and skills to help the students adopt and develop their business ideas.

c) Environmental Sustainability

Barclays has always been involved in environmental conservation. Employees are also encouraged to participate in tree planting exercises all year round as their contribution towards increasing the country's forest cover.

Our commitment is underpinned by the recognition that without safeguarding the environment, the long term sustainability of our society is at risk.

It is against this backdrop that Barclays has on an annual basis committed Shs.15 million to activities geared towards investing in the environment.

At the core of these activities is the Barclays Eco-Champ programme that targets 16 public primary schools spread across the country. Through the programme implemented by the Center for Environmental Action,

"Companies that encourage their employees in such service (environmental activities) is a great contribution to society... I am very happy to see my bank involved in this kind of an initiative, it is an investment into the future and that is where Barclays should be."

The late Prof. Wangari Maathai

the pupils are taught at an early stage ways to conserve the environment while turning “trash” into “treasure”.

One of the outstanding showcase projects has been at the Cheleta Primary School, which borders the Karura Forest. The pupils have on a continuous basis been planting trees, cleaning the nearby river, recycling paper and generating their own compost manure for agricultural purposes.

Cheleta’s success has been replicated in other Eco-Champs schools across the country. During the year, these schools were provided with an opportunity to share best practices during a week long workshop in Nairobi. At the conference, the students had the opportunity to be recognized by Barclays Chairman, Francis Okomo-Okello.

d) Shilling for Shilling Fundraising Campaign

In the wake of the failed rains and subsequent drought in 2010- 2011, Barclays pioneered efforts aimed at raising funds for the introduction of long term and sustainable initiatives aimed at eradicating human suffering caused by drought.

Barclays employees coined the term PEAH (Partnership and Empowerment Against Hunger) and set out to raise funds towards the goal of breaking the hunger cycle. They skipped lunches and engaged in activities such as polishing shoes and selling thematic T-shirts to raise more than Shs. 4.3 million towards the purchase of green houses.

Through the Barclays Shilling-for-Shilling employee scheme, the Bank doubled the amount before formally handing the donation to the Kenya Red Cross, which is the implementing partner in the green house project. It is estimated by the Kenya Red Cross that 27 green

houses will be purchased and set up in 25 schools in targeted drought affected communities.

e) Make a Difference Day

Every October, Barclays employees roll up their sleeves to participate in Make a Difference Day (MADD). This year, more than 4,500 employees, customers, shareholders and supporters joined in the day, volunteering at various schools and community organizations.

Many helped schools set up income generating activities, such as bee keeping, while others mentored on basic financial skills at local markets and rural community groups.

As a tribute to the work of the Late Professor Wangari Maathai, who was also a much loved Barclays customer, employees planted a record 20,000 trees during the Day.

Make a Difference Day at Barclays is unique in that it is the single biggest corporate volunteerism exercise in Kenya, involving employees, customers, shareholders and other stakeholders.

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2. SERVING AND SUPPORTING CUSTOMERS

Barclays and IFC Partner towards Sustainable Energy Finance

Barclays and International Finance Corporation’s (IFC) Climate Change Investment Program implemented a pilot that began in May 2010, designed to demonstrate how Sustainable Energy Finance products can be applied to actual projects among Barclays Bank’s existing clients. Through a portfolio review process, the partners jointly identified clients in the manufacturing sector who would, potentially, benefit from financing geared towards cleaner production, energy efficiency and renewable energy projects.

The process was overseen by energy experts who carried out operational audits. The energy audits identified energy efficiency opportunities requiring total investments that would pay back within a two year period. These findings were shared with the clients in detail, presenting the business growth opportunities they would gain while operating a more environmentally friendly business. Some of the clients have already begun implementing measures recommended in the energy audit reports, both as part of routine systems maintenance and through behavior change that results in energy-saving practices across their operations.

Customer Relationship Building

Throughout the year, Barclays employees undertake various initiatives to engage and appreciate their customers. Whether it is branch teams in Embu, Karatina or Garissa or corporate relationship managers in various parts of the country, employees take it upon themselves to give their clients more reasons to smile.

In recognition of the international Customer Service month, employees undertook a series of weekly initiatives throughout the month of October. This initiative was aimed at deepening relationships with our existing customers in line with our key service pillar of developing and maintaining sustainable partnerships with our customers.

All colleagues in the business, both customer-facing at the branches and non-customer facing including back-office teams, actively participated to make the theme a resounding success as evidenced by the excitement, creativity, innovation and genuine positive customer feedback received.

The scope of this initiative included recognising and appreciating both our internal and external customers.

Outstanding creativity was exhibited by Barclays colleagues in branches countrywide in driving this initiative. Activities included letters of appreciation that were delivered to many customers. Care calls and visits to customers were also made. In addition, exciting gift tokens were given to recognise and appreciate loyal customers.

In Naivasha one customer commented during the visit done by Naivasha branch staff:

> *“I not only have a business partner in Barclays but a valuable friend too”.*

And from Nyeri , one delighted customer couldn’t hide his joy when the branch visited his Business premises with gift tokens and exclaimed:

> *“I feel humbled that a big bank like Barclays recognises me and my business.”*

On the sales front, great value was realized during the month as the initiatives boosted business activities across the Bank.

Employees also took the time to recognise and appreciate each other in creative unique ways within branches and supporting back office processing units.

Better Customer Service

Over the year, Barclays effected a revised complaints policy which saw an exceptional improvement in service delivery with a significant decrease in service related issues. Through the commitment of the Bank towards making lives much easier for customers, and supported by the Bank's network of customer service representatives and a 24-hour, 7 day a week Contact Centre, Barclays saw a dramatic drop in the turn around time (TAT) in which customer complaints are resolved. Moreover, the percentage of customer complaints compared to the current account population also declined.

3. SUPPORTIVE WORKPLACE

Principles such as integrity in all we do, as well as the areas of employee development and health and safety are critical dynamics that affect our overall organisational effectiveness.

Integrity at Work

We take great pride in that Barclays has a rich legacy and reputation for integrity spanning over 95 years. We have the responsibility of safeguarding our brand and preserving the highest ethical standards in our business behaviour and practices.

As a global financial institution, Barclays recognizes that bribery and corruption undermine the rule of law and adversely affect the societies and economies where they occur. It is for this reason that we have procedures and processes in place which are aimed at enhancing integrity at work and are regularly reviewed and communicated and commonly applied to all employees.

Diversity and Inclusion

We value the unique characteristic, skills and experiences that employees bring to the work place. We believe that the broad diversity of work force, customer base and the communities we serve provides the Bank with a clear opportunity to create competitive advantage.

Barclays Kenya remains an employer of choice in the market and we have managed to attract female talent with professional experience which is at par with their male counterparts.

To support our diversity and inclusion agenda, we launched a formal mentoring programme in conjunction with the Barclays Kenya Women Network Forum (WNF). Through mentoring workshops and small groups chaired by Board members and senior

Non-Executive Director, Jane Karuku speaks during a Barclays Women Network Forum event.

management, women employees were provided with a platform to learn and explore their career advancement opportunities.

WNF Accomplishments to Date:
The Barclays Kenya Women Network Forum accomplishments to date include:

- **Better Workplace Initiative**
  The establishment of the 'Baby Eagle' Lactation Room at the Bishops Gate Building. This achievement was recognised during the Barclays Plc Women of Achievement Awards.

- **WNF Mentoring Programme:**
  More than 90 women were engaged in the 2011 mentoring programme. Speed Mentoring events were launched in 2012, targeting 300 participants.

- **Leadership Conferences & Events**
  In 2011 Barclays sponsored the Women in Leadership Conference which had more than 150 women leaders from the private and public sector (including BBK employees) who learnt from notable speakers, including Prof. Susan Vinnicombe from the School of Management at Cranfield University (UK).

Employee Recognition and Rewards

In addition to providing employees with a competitive employee value proposition, Barclays provides ongoing opportunities for top performers to not only get rewarded for their performance but also to receive bank wide recognition.

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Barclays employee Ngina Gatheca is recognized in London for her contribution to the Bank.

The "Eagle Awards" scheme is one example. Through spot awards, quarterly awards and an annual awards gala, employees nominate their colleagues who they feel best embody the Bank's five guiding principles: Winning Together; Best People; Customer and Client Focus; Pioneering; and Trusted.

During the year, Eagle Awards winners were recognized by top management, including Barclays Group CEO, Bob Diamond, as well as the Managing Director and Country Management Committee.

Workplace Health & Counselling

Through the employee assistance programme (EAP), staff are provided with a host of counseling and support services, including stress management and work life balance management.
In addition, Barclays provides employees with one of the best quality healthcare plans which includes routine counseling, disease maintenance and prevention, and vaccinations.

HIV & Aids

Barclays is a member of the Global Business Coalition of enhancing business health at the work place. A focus of the Coalition is to eradicate the threat of HIV/AIDS, TB and Malaria in businesses and communities. Under this initiative, Barclays goal is to:

- Conduct an annual Voluntary Counseling and Testing (VCT) exercise where each and every employee has access to testing and counseling services.

- To support our employees and dependants to know their HIV status and thus prevent its spread and adverse effects by accessing a confidential clinical disease management programme (we estimate that 90% of the people who infect others do not know their status).

- To completely eliminate stigma and discrimination of those infected or affected by HIV and AIDS

- To improve the health of all workers so they may have a better, happier and longer working life.

- To educate and provide all employees and their dependants with correct and up to date information on HIV and AIDS which includes provision of both preventive and therapeutic opportunities.

So far the programme has:

- Reported No HIV related deaths since 2006.
- Tested more than 15,000 employees and dependants.
- Recorded a 87% testing VCT uptake rate (2010: 69%).
- Reduced the overall programme cost from Shs. 50 million a year to about Shs. 15 million a year.
- Reduced the cost of managing one HIV infected person from an annual average cost of over Shs. 1.2 million in 2006 to an average cost of less than Shs. 200,000 per year today.

Cervical Cancer

Cancer is the third leading cause of death in Kenya. According to Cancer Experts in Kenya,

"Almost a third of cancer incidences are preventable, while another third of local cases could be treatable if early diagnosis and sufficient resources were available."

During the year, Barclays sensitized female and male colleagues about the growing trends of Cancer in the country. A key area of focus was cervical cancer which is known to be the biggest killer of all cancers affecting women, and is the second most common cancer after breast cancer.

In addition to vaccinating an average of 2,000 employees, the Bank was able to reach several hundred dependants. Through this vaccination

exercise at the workplace, Barclays was able to save Shs. 4 million in healthcare costs.

4. RESPONSIBLE SOURCING & SUPPLIER DIVERSITY

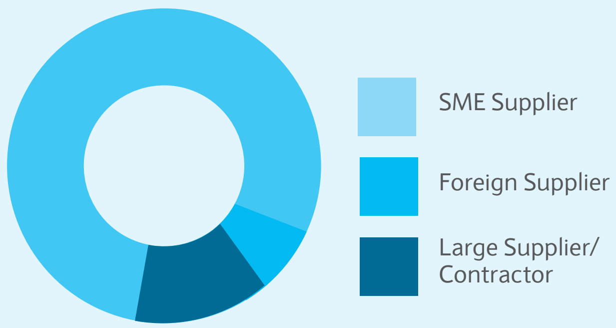
Out of Barclays Kenya's 300 plus suppliers, the majority of the firms awarded contracts by the Bank fall within the SME (small and medium sized enterprises) with a number being young entrepreneurs.

All Barclays suppliers are vetted and required to comply with the Bank's policies, including the accounts payable, single sourcing, gifts and entertainment and anti bribery and corruption policies.

Responsible Sourcing

In support of the Bank's environmental sustainability strategy and environmental policy, the Management has approved an exercise which will see a refurbishment of Barclays branches that will incorporate environmentally-friendly upgrades, including energy efficient lighting, and water efficient cisterns in washrooms. Moreover, the refurbished branches will have improved access for disabled persons.

Supplier Diversity at Barclays



In addition to "hardware" enhancements, Barclays employees in these branches will be trained on environmental responsibility and how to better conserve energy and other resources thereby cutting costs while protecting the environment.

IN BUSINESS *generation to generation*

Mrs. Elizabeth Lebo at her farm. She opened her first Barclays account while working for the Kenya Seed Company. Over the years she branched out into dairy, horticulture and maize farming and today is a supplier to the Cereals Board and top dairy products companies.

Mrs. Lebo has installed a biogas system to save on the farm's lighting and cooking expenditure.

She is a Barclays Business Club member and currently benefits from Barclays Financing.

REPORT OF THE DIRECTORS FOR THE YEAR ENDED 31 DECEMBER 2011

The Directors have pleasure in presenting their report together with the audited financial statements for the year ended 31 December 2011 which disclose the state of affairs of Barclays Bank of Kenya Limited and its subsidiaries.

Incorporation and registered office

The company is incorporated in Kenya under the Companies Act (Cap 486) and is domiciled in Kenya. The address of its registered office is:

Barclays Plaza
Loita Street
PO Box 30120 code 00100
Nairobi

Principal activities

The Bank provides in its own name and through subsidiary companies an extensive range of banking, financial and related services, and is licensed under the Banking Act (Cap 488).

Results

The results for the year are set out on pages 48 to 103 and were approved by the Directors on 16 February 2012.

Dividends

One interim dividend of Shs. 20 cents per share totaling Shs. 1,086 million was paid in 2011 (2010: Shs. 0.19 cents per share (restated after the share split) totaling Shs. 1,018 million). Subject to the approval of the shareholders, the Directors recommend a final dividend for the year of Shs. 1.30 per share totaling Shs. 7,061 million (2010: Shs. 1.18 per share (restated after the share split) totaling Shs. 6,382 million). This will be paid on or about 6 June 2012 to shareholders registered at close of business on 23 March 2012. This distribution would leave a balance of retained group profit for the year of Shs. 8,073 million (2010: Shs.10,599 million) which is carried to group revenue reserves.

Financial statements

At the date of this report, the Directors were not aware of any circumstance, which would have rendered the values attributed to the assets in the financial statements of the group misleading.

Directors

The members of the Board of Directors who served during the year and to the date of this report were:

Francis Okomo-Okello	**Chairman**
Adan Mohamed	**Managing Director**
Yusuf Omari	**Chief Financial Officer**
Nick Mbuvi	**Corporate Banking Director**
Paul Chemng'orem	
Rose Ogega	
Jane Karuku	
Brown Ondego	
Ashok Shah	**Appointed 21 July 2011**
John Waweru	**Appointed 21 July 2011**

The following Directors are due to retire from the Board by rotation under Articles 94, 95 and 96 of the Company's Articles of Association at the forthcoming Annual General Meeting and are eligible for re-election:-

Francis Okomo-Okello
Rose Ogega
Yusuf Omari

In accordance with Article 101 of the Company's Articles of Association, Ashok Shah and John Waweru are due for retirement this being the first Annual General Meeting to be held since their appointments as Directors and being eligible, offer themselves for re-election.

Paul Chemng'orem who has served as a Director of the Board since March 1998 has advised the Company of his intention to retire at the forthcoming Annual General Meeting. Consequently, he will not offer himself for re-election under Article No. 96 of the Company's Articles of Association

Directors Benefits

Since the last Annual General Meeting of the Company to the date of this report, no Director has received or become entitled to receive any benefit other than Directors' fees and amounts received under employment contracts for Executive Directors.

The aggregate amount of emoluments for Directors' services rendered in the financial year is disclosed in Note 33.

Auditors

The auditors, PricewaterhouseCoopers have indicated their willingness to continue in office in accordance with the provisions of Section 159(2) of the Companies Act (Cap 486) and Section 24(1) of the Banking Act (Cap 488).

By order of the Board

Judy Nyaga
Company Secretary
16 February 2012

RIPOTI YA WAKURUGENZI YA MWAKA ULIOMALIZIKA TAREHE 31 DISEMBA, 2011

Wakurugenzi wanafurahia kuwasilisha ripoti yao pamoja na taarifa za kifedha zilizokaguliwa za mwaka uliomalizika tarehe 31 mwezi wa Disemba, 2011 ambazo zinaonyesha hali ya mambo yalivyo katika benki ya Barclays Kenya na makampuni yake tanzu.

Ushirikishaji na ofisi iliyosajiliwa

Kampuni hii imeshirikishwa nchini Kenya chini ya sheria ya makampuni (Cap 486) na iko Kenya. Anwani ya ofisi yake iliyosajiliwa ni:

Barclays Plaza
Barabara ya Loita
S.L.P. 30120-00100
Nairobi

Kanuni za shughuli

Benki hii kupitia jina lake na makampuni tanzu inatoa huduma nyingi anuwai za benki na za kifedha pamoja na zinazohusiana nazo, na imeidhinishwa chini ya sheria ya Benki (Cap 488).

Matokeo

Matokeo ya mwaka 2011 yamechapishwa kuanzia ukurasa wa 48 hadi wa 103 na yaliidhinishwa na wakurugenzi tarehe 16 Februari, 2012.

Mgawo

Mgawo wa senti 20 (shilingi 0.20) kwa kila hisa wa jumla ya shilingi milioni 1,086 ulilipwa mwaka wa 2011 (mwaka wa 2010: mgawo wa senti 19 kwa kila hisa (umetajwa tena baada ya hisa kugawanywa) wa jumla ya shilingi milioni 1,018). Kwa kutegemea idhini ya wenyehisa, Wakurugenzi wamependekeza mgawo wa mwisho wa mwaka huo wa shilingi 1.30 kwa kila hisa wa jumla ya shilingi milioni 7,061 (2010: mgawo wa Shilingi 1.18 kwa kila hisa (uliotajwa upya baada ya hisa kugawanywa) wa jumla ya shilingi milioni 6,382). Mgawo huu utalipwa kabla au ifikiapo tarehe 6 Juni, 2012 kwa wenyehisa ambao walikuwa wamesajiliwa kufikia mwisho wa siku ya Machi 23, 2012. Mgawo huo utaacha salio la faida ya shilingi milioni 8,073 (2010: Shilingi milioni 10,599) ambazo zitapelekwa katika akiba ya mapato ya kampuni.

Taarifa za Fedha

Wakati wa toleo la ripoti hii,wakurugenzi hawakuwa na habari yoyote kuhusu hali yoyote ambayo ingeathiri thamani ya rasilimali kama ilivyo katika taarifa za fedha ionekane inapotosha.

Wakurugenzi

Wanachama wa halmashauri ya wakurugenzi ambao walihudumu mwaka wa 2011 hadi tarehe ya kutolewa kwa ripoti hii walikuwa:

Francis Okomo-Okello	**Mwenyekiti**
Adan Mohamed	**Meneja Mkurugenzi**
Yusuf Omari	**Afisa Mkuu wa Fedha**
Nick Mbuvi	**Mkurugenzi wa Biashara ya Benki**
Paul Chemng'orem	
Rose Ogega	
Jane Karuku	
Brown Ondego	
Ashok Shah	**Aliteuliwa tarehe 21 Julai, 2011**
John Waweru	**Aliteuliwa tarehe 21 Julai, 2011**

Wakurugenzi wafuatao wamefikisha muda wao wa kustaafu kwa zamu katika halmashauri kuambatana na vifungu 94, 95 na 96 vya kanuni za kampuni katika Mkutano Mkuu wa Mwaka uliokaribu kufanyika na wanaweza kuchaguliwa tena.

Francis Okomo-Okello
Rose Ogega
Yusuf Omari

Kulingana na kifungu 101 cha sheria za kampuni, Ashok Shah na John Waweru wamekaribia kustaafu. Na huu ukiwa mkutano mkuu wa mwaka wa kwanza kwao tangu wateuliwe kama wakurugenzi na kwa vile wanastahiki wamejitolea kuchaguliwa tena.

Bw.Paul Chemng'orem ambaye amehudumu kama Mkurugenzi wa halmashauri tangu Machi 1998 ameiarifu kampuni kuhusu nia yake ya kustaafu katika Mkutano Mkuu wa Mwaka uliokaribu kufanyika. Na hivyo hatajitolea kuchaguliwa tena kuambatana na kifungu 96 cha sheria za kampuni.

Mafao ya wakurugenzi

Tangu Mkutano Mkuu wa Mwaka uliopita hadi tarehe ya ripoti hii, hakuna mkurugenzi ambaye amepokea au anaruhusiwa kupokea mafao yoyote isipokuwa ada za ukurugenzi na malipo chini ya mikataba ya uajiri wa wakurugenzi wakuu.
Jumla ya mafao ya huduma za wakurugenzi katika mwaka huu wa kifedha imechapishwa katika ukurasa wa Fahamu 33.

Wakaguzi wa mahesabu

Wakaguzi wa mahesabu, PricewaterhouseCoopers wamejitolea kuendelea kuhudumu kuambatana na kifungu cha 159(2) cha Sheria ya Makampuni(cap 486) na kifungu 24(1) cha sheria za Benki (Cap 488).

Kwa amri ya halmashauri

Judy Nyaga
Katibu wa Kampuni
16 February 2012

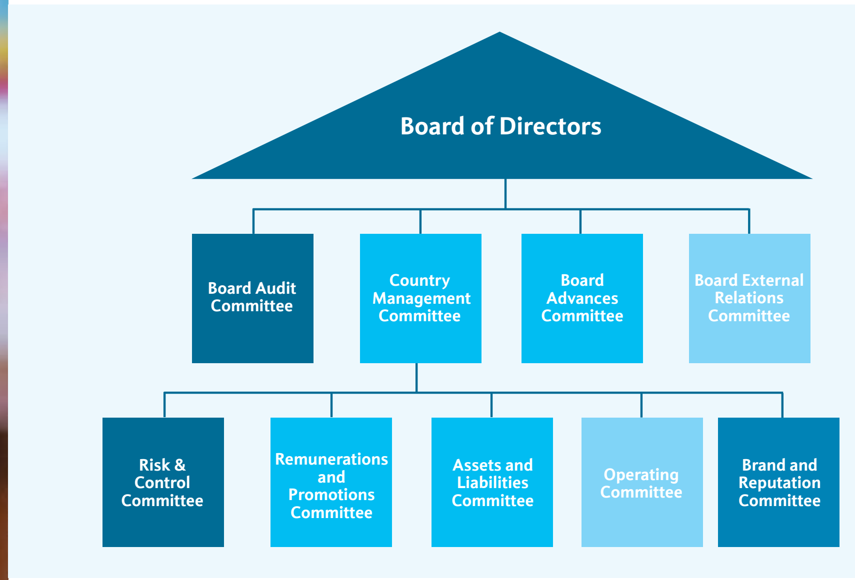
CHAIRMAN'S REPORT ON CORPORATE GOVERNANCE

This year as Chairman I would like to expound on the Bank's Corporate Governance environment in view of the volatile macro economic environment we operate in.

Given the governance challenges that have plagued some listed companies in the recent past it is the Board's collective responsibility to ensure that the Bank's shareholders, regulators and other stakeholders fully understand and appreciate our corporate governance framework. It is also important for shareholders to appreciate how the Board exercises its oversight role and how it administers itself so that critical matters such as conflict of interest are properly addressed.

The macroeconomic environment prevailing in Kenya in 2011 was characterised by a rise in inflation, interest rates and weakening of the Kenya Shilling against the major currencies. The Board's governance framework was therefore tested to ensure that in this challenging macroeconomic environment the Bank retained adequate capital levels, employed sound risk assesment methodologies in lending and that customers continued to be treated fairly in their dealings with the Bank.

Corporate Governance Framework



(1) Statement of Compliance

The Board and Management of the Bank continue to comply with the Corporate Governance Guidelines and Codes of Conduct prescribed by the Central Bank of Kenya as its primary regulatory authority. By virtue of being a listed entity the Bank is also guided by the Corporate Governance Guidelines of the Capital Markets Authority and complies with the Continuing Listing Obligations of the Authority as required by the Nairobi Securities Exchange. In addition, the Board has its own stringent standards of governance in line with Barclays Group standards.

(2) Board Composition

During the year the Board sought to improve its balance of skills and experience by appointing Ashok Shah and John Waweru to the Board with effect from 21 July 2011. In making new appointments the Board not only considers complementary skills and experience but also considers diversity, geographical mix and representation from different industry sectors.

The Board constituted a special Nomination Committee comprising 2 independent Non-Executive Directors (including myself as Chairman) and the Managing Director to identify and interview possible candidates for non-executive directorship. Ashok Shah was selected for his background in insurance and vast board experience and John Waweru was selected for his experience in the information and telecommunications sector in view of the fact that the Bank is moving towards new banking channels such as mobile and internet banking.

The Board now consists of ten (10) Directors, seven (7) of whom are independent Non-Executive Directors (including the Chairman). The industry experience of Board members is as follows:

Name	Industry Experience
Francis Okello*	Financial Services, Tourism and Media
Rose Ogega*	Audit and Financial Consulting
Brown Ondego*	Public Sector and Logistics
Jane Karuku*	Retail, Marketing, Operations and Telecommunications
Paul Chemng'orem*	Public Sector and Retail
Ashok Shah*	Financial Services, Capital Markets and Auto
John Waweru*	Public Sector and Telecommunications
Adan Mohamed**	Financial Services
Nick Mbuvi**	Financial Services
Yusuf Omari**	Financial Services

* Independent Non-Executive Directors ** Executive Directors

(3) Board Independence and Conflicts of Interest

The Central Bank of Kenya Prudential Guidelines prescribe the minimum ratio of independent to executive directors for licensed banks as three-fifths. The Bank is in compliance with this requirement.

The independence criteria for Directors set out by the Board in its corporate governance guidelines is that he or she:

(a) Provides objective challenge to Management;
(b) Is prepared to challenge others' assumptions, beliefs or viewpoints as necessary for the good of the organisation;
(c) Questions intelligently, debates constructively, challenges rigorously and decides dispassionately;
(d) Is willing to stand up to defend their own beliefs and viewpoints in order to support the ultimate good of the organisation; and
(e) Has a good understanding of the Bank's businesses and affairs to enable them properly evaluate information and responses provided by management.

The Directors are required to disclose their areas of conflict of interest at least once a year and to refrain from contributing to or voting on matters on which they have such conflict. On an ongoing basis directors are required to notify the Company Secretary in advance of any potential conflicts through other directorships or shareholdings or conflicts arising from specific transactions. A register of interests is maintained by the Company Secretary.

It should be noted that the decision to undertake external activities is a matter for individual Directors to decide, bearing in mind their responsibilities to the Bank including the time commitment we expect of them. We believe that Directors' external appointments benefit Barclays by providing them with a wider range of skills, experience and knowledge that will be relevant to their role on the Board.

The Board is responsible for ensuring compliance with the conflict of interest provisions of the Central Bank of Kenya Prudential Guidelines. In line with this obligation, the Board and Management have put in place a Compliance Code of Conduct and a Conflicts of Interest Policy which every Director and employee of the Bank is required to abide by. In particular, the Conflicts of Interest policy prescribes the manner in which conflicts whether real or perceived are to either be avoided entirely or properly managed if allowed to exist. The aim of the policy is to ensure that all Bank transactions are carried out with the necessary level of independence and objectivity to protect the interests of customers and shareholders.

(4) Board Leadership

The Board is responsible for providing strategic leadership for the Bank. According to the Bank's corporate governance guidelines, the Board is responsible to shareholders for creating and delivering sustainable shareholder value. In so doing the Board is required to have regard to the likely consequences of any decision in the long term, the interests of its employees, the need to foster the Bank's business relationships with suppliers and customers, the impact of the Bank's operations on the community and the environment and the desirability of the Bank maintaining a reputation for high standards of business conduct. The Board is also charged with the responsibility of identifying business opportunities as well as risks in the Bank's operating environment, overseeing major capital expenditures and advising on the management of regulatory relationships.

In carrying out its responsibilities the Board is empowered to obtain independent professional advice and where necessary invite professionals with relevant experience to attend Board and Board Committee meetings or to carry out such work as deemed necessary. The Directors owe both fiduciary duties and general duties of reasonable care, skill and diligence to the Bank and its shareholders.

Specific powers reserved to the Board include the following:

Strategy

- Approval of the Bank's strategy
- Monitoring the Bank's performance against clearly defined business objectives agreed between the Board and Management
- Approval of major acquisitions or disposals
- Approval of major capital projects

Lending, Capital and Liquidity Management

- Approval of lending policies and overall risk appetite for the Bank
- Approval of changes in capital structure
- Monitoring capital and liquidity measures to ensure regulatory compliance

Financial Results and Dividends

- Approval of quarterly and annual financial statements
- Recommending dividend payments and other corporate actions to shareholders for approval
- Approving information disseminated to shareholders

Board Administration and Governance

- Approving board appointments
- Succession planning for the Board and senior management
- Approving Board remuneration
- Delegating authority to Board Committees and Management
- Setting terms of reference for Board Committees and determining Board Committee membership
- Conducting Board and Board Committee evaluations
- Determination of independence of non-executive directors
- Approving the remuneration of auditors and recommending their appointment or removal

(5) Performance and Evaluation

Each director including myself is provided with a role profile and a charter of expectations on appointment and from time to time which clearly set out the behaviours and competencies expected from them including the anticipated time commitment. On average the time commitment for Non-Executive Directors is set at a minimum of 25 days per year. My own time commitment is a minimum of 45 days per year. High performance indicators are prescribed in the role profiles to guide the Directors on what is required from them.

During 2011 the Board carried out its annual performance evaluation exercises at Board, Committee and individual Director level. Performance at Board level was measured against the Board's annual Work Plan.

The Board Work Plan sets out the Board's primary objectives each year and these include for example improvement of shareholder returns, risk management, business development and regulatory compliance. Board Committee performance was evaluated against each Committee's Terms of Reference. At individual Director level, performance was assessed against the high performance indicators prescribed in their respective role profiles. Actions to address areas of improvement highlighted in the course of the evaluations are currently under discussion by the Board.

(6) Division of Responsibility

My role as Chairman is to provide leadership to the Board, ensuring that it satisfies its legal and regulatory responsibilities.

One of my key responsibilities as Chairman is to ensure that there is a clear division of responsibility between the Executive and Non-Executive Directors of the Board. The Executive Directors are Adan Mohamed, Managing Director, Nick Mbuvi, Corporate Banking Director and Yusuf Omari, Chief Financial Officer. They, together with the Country Management Committee are responsible for the day to day management of the Bank. The Board is fortunate to enjoy a strong partnership between the Executive Directors and Non-Executive Directors without detracting from the governance principles of accountability and independence that must exist to ensure the Bank's sustainable performance. Further details on the respective responsibilities of Executive and Non-Executive Directors are provided below:

Executive Directors	Non-Executive Directors
• Effectively lead the Bank towards the achievement of its strategic objectives and implement the strategic decisions taken by the Board. • Ensure that the Board receives relevant, accurate, clear and timely information necessary for it to fulfil its duties. • Report regularly to the Board on the performance of the Bank. • Use their technical knowledge and experience in the Bank and banking industry to assist the Board in consideration of strategic issues and to ensure that decisions taken are in the Bank's best interests. • Put the interests of the Bank before those of their specific area of responsibility and effectively manage any conflicts of interest that may arise.	• Provide constructive challenge to the executive Directors and senior management of the Bank. • Help develop proposals on strategy and then fully empower and support the executive Directors to implement the strategy. • Scrutinise the performance of Management in meeting agreed goals and objectives and monitor the reporting of performance, ensuring that individual business decisions conform to agreed strategies and policies. • Apply their judgement to the business of the Board, leveraging on their knowledge of the business and bringing to bear a different range of knowledge, experience and insight from other industries. • Satisfy themselves on the integrity of financial information and that financial controls and systems of risk management are robust and defensible.

(7) Company Secretary

The Company Secretary, Judy Nyaga, plays the critical role of coordinating the activities of the Board and Board Committees and is the primary liaison in the flow of information between the Management and the Board. The Company Secretary provides the Board with timely information and the support and guidance required for the discharge of the Board's responsibilities. Each Director has direct access to the Company Secretary. In conjunction with me as Chairman, the Company Secretary is responsible for developing and implementing processes that promote and sustain the highest standards of corporate governance. The Company Secretary is also responsible for assisting me in formulating and delivering a comprehensive induction programme for new Directors and liaising with Management and third parties for the delivery of suitable ongoing training programmes for all Non-Executive Directors.

(8) Board Induction and Professional Development

Upon joining the Board in July 2011 both Ashok Shah and John Waweru were comprehensively inducted to give them a deep business understanding of the Bank. Their induction programmes were personalised and included spending time with members of the Country Management Committee and other key senior managers to review the Bank's operations, products, services, human resource practices and community involvement. In addition, the Directors received an in depth briefing on their governance obligations.

In pursuit of continuous professional development, during 2011 the Non-Executive Directors received training in the following areas:

- Market risk management which was timely in view of the significant changes in macro economic indicators in 2011. The training provided an understanding of traded market risk (interest rate risk, foreign exchange risk, equity risk, commodity risk and credit spread risk) and non-traded market risk (banking interest rates, foreign exchange risk, equity investment risk in the banking book, defined benefit pension fund market risk and asset management structural market risk). The training also covered allocation of market risk capital, minimum regulatory capital requirements and those prescribed by Basel II and Basel II Advanced, market risk metrics and operational models;
- Sanctions; and
- Anti-Bribery and Anti-Corruption regulations under the UK Bribery Act and US Foreign Corrupt Practices Act of 1977.

(9) Board Attendance

During the year, the Board convened and held four (4) ordinary meetings and four (4) special meetings. All the meetings convened had sufficient quorum. In line with its corporate governance standards, the Board held one meeting in Eldoret and had the opportunity to interact with employees and customers living and operating in the country's North Rift Region. At least once a year the Board endeavours to visit a different region of the country to gain a better understanding of the perspectives and needs of its customers.

The attendance of individual Directors at Board meetings during 2011 is tabulated below:-

Directors	Ordinary (Scheduled) Meetings		Special (Adhoc) Meetings	
	Meetings Eligible to Attend	Meetings Attended	Meetings Eligible to Attend	Meetings Attended
Francis Okomo-Okello	4	4	4	4
Adan Mohamed	4	4	4	4
Yusuf Omari	4	4	4	4
Nicholas Mbuvi	4	4	4	4
Rose Ogega	4	4	4	2
Brown Ondego	4	4	4	1
Paul Chemng'orem	4	4	4	3
Jane Karuku	4	3	4	3
Ashok Shah	1	1	1	1
John Waweru	1	1	1	1

Where a Director misses a Board meeting an acceptable apology with a valid reason is sent to me as Chairman in advance.

During the meetings we regularly received reports from Management on the Bank's financial performance and the status of execution of the Bank's strategic plans by the business functions namely Corporate Banking, Consumer Banking, Treasury and the support functions.

(10) Board Committees

The Board has three Board Committees (Audit, Advances and External Relations) with delegated authority to assist the Board effectively carry out its obligations. The Audit Committee and the Advances Committee are mandatory Committees required by the Central Bank of Kenya Prudential Guidelines and Capital Markets Authority Listing Obligations. At each ordinary Board meeting, the chairpersons of the Board Committees are required to report to the Board on the highlights of the deliberations of the Committees and to escalate to the Board all matters requiring the Board's consideration and approval. The Committee chairpersons will provide you with more details on their deliberations in the course of 2011 in the pages that follow.

REPORT FROM THE CHAIRPERSON OF THE AUDIT COMMITTEE


Rose Ogega

The role of the Audit Committee

The Audit Committee has the Board's delegated authority to review the contents of quarterly and annual financial reports to ensure that the Board is satisfied with the integrity of the financial statements and particularly the key financial judgements within them. The Committee monitors the effectiveness of the internal control systems and regularly receives reports from the internal and external auditors as well as Management's Risk and Control Committee. We determine the scope and adequacy of audit assignments carried out by the external and internal auditors. The Audit Committee has direct access to the external Auditors, Barclays internal audit function, the Company Secretary as well as the authority to engage external professional advisors.

Committee Members

The Committee's membership comprises 5 independent Non-Executive Directors namely myself, Rose Ogega

(Chairperson), Jane Karuku, Paul Chemng'orem, Ashok Shah and John Waweru. The Managing Director, Head of Internal Audit, Chief Financial Officer, Chief Operating Officer, Head of Compliance and Audit Partner from our external auditors are regular invitees to Audit Committee meetings.

Chairperson's responsibilities

As Chairperson it is my responsibility to ensure that the Committee is able to provide appropriate assurance to the Board on issues within its Terms of Reference. In line with this, I ensure that at every Board meeting I provide a report to the Board on the work of the Committee including matters of concern and identification of solutions to the issues and concerns identified by the Committee. It is also my obligation to ensure that the Committee's members are kept up to date with international financial and accounting best practice developments. I do this with the assistance of the external auditors.

I meet regularly with the Audit Partner of the external auditors to discuss their audit work and any issues of concerns arising in between meetings of the Committee. I also meet regularly with the Head of Internal Audit to receive briefings on internal audit work and to provide support where necessary to ensure that the independence and integrity of the internal audit function is beyond reproach. Outside formal Committee meetings I convene private sessions between the Committee members in the absence of Management. In addition, I also convene private sessions between Committee Members, the external auditors and the internal auditors. The private sessions give the members and auditors the opportunity to raise any issues of concern and to follow up on any actions requiring the Committee's intervention.

Achievements in 2011

We held four (4) ordinary meetings and two (2) special meetings during 2011. The attendance of our meetings was as follows:

Directors	Ordinary (Scheduled) Meetings		Special (Adhoc) Meetings	
	Meetings Eligible to Attend	Meetings Attended	Meetings Eligible to Attend	Meetings Attended
Rose Ogega	4	3	2	2
Paul Chemng'orem	4	4	2	2
Jane Karuku	4	4	2	1
Ashok Shah	1	1	-	-
John Waweru	1	1	-	-

In accordance with the Committee's forward agenda for each meeting the Committee received and deliberated on reports and presentations from Management on the Bank's financial statements, principal risks, regulatory compliance, whistle blowing concerns from employees, tax issues, regulatory changes impacting the Bank and significant litigation. In addition the Committee reviewed reports from the internal and external auditors on audit work carried out during the year. Our key achievements during the year were as follows:-

- We reviewed the integrity of the Bank's financial statements before recommending them to the Board for approval.
- We monitored the remedial system works that needed to be put in place following the migration of the Bank's banking platform from BRAINS to Flexcube to ensure that the Bank's internal control environment and financial reporting processes remained robust.
- We assessed the capability of the Bank's disaster recovery sites.
- We reviewed the Bank's financial reporting systems and processes.
- We reviewed and approved the audit plans for the internal and external auditors and approved any changes to the plans.
- We reviewed the independence of the external auditor in line with the Bank's policy on provision of non-audit services by the external auditor. The policy governs the type of services the external auditor may provide to ensure that their objectivity and independence is always maintained. We also deliberated on the external auditor's fees and whether the external auditor should be considered for reappointment and made the appropriate recommendation to the Board.
- We reviewed our Terms of Reference and recommended them to the Board for approval. We also carried out an evaluation to assess the Committee's performance against its Terms of Reference.
- We assessed the performance of the internal and external auditors to ensure that they remain effective in carrying out their responsibilities.

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REPORT FROM THE CHAIRPERSON OF THE ADVANCES COMMITTEE

Brown Ondego

The role of the Advances Committee

The Advances Committee plays a critical role in the formulation and review of lending policies and ensures that such policies are in compliance with regulatory requirements. It assesses the credit quality and risk profile of the Bank's lending book by sector and by product and makes recommendations to the Board on remedial actions or on matters that may enhance the quality of the lending book.

Committee members

The Committee's membership comprises 5 independent Non-Executive Directors namely myself, Brown Ondego (Chairman), Francis Okomo-Okello, Jane Karuku, Ashok Shah and John Waweru. From Management the Committee's membership comprises the Managing Director, Corporate Banking Director, Head of Consumer Banking and Heads of Corporate Credit Risk and Consumer Credit Risk or their authorised representatives.

Achievements in 2011

During the year the Advances Committee convened four (4) ordinary meetings and one (1) special meeting. Attendance was as follows:

Directors	Ordinary (Scheduled) Meetings		Special (Adhoc) Meetings	
	Meetings Eligible to Attend	Meetings Attended	Meetings Eligible to Attend	Meetings Attended
Brown Ondego	4	4	1	1
Jane Karuku	4	3	1	-
Francis Okomo-Okello	4	4	1	1
Ashok Shah	1	1	-	-
John Waweru	1	1	-	-
Managing Director	4	4	1	1
Corporate Banking Director	4	4	-	-
Head of Consumer Banking	4	4	-	-
Head of Corporate Credit Risk	4	4	1	1
Head of Consumer Credit Risk	4	4	-	-

Our key achievements during the year included the following:-

- We were able to assist Management to negotiate an amicable settlement with Hillcrest Schools Limited after many years of a legal dispute surrounding the receivership and sale of assets. This was a great achievement for the Bank because the debt owed to the Bank was repaid ensuring preservation of the interests of the Bank's shareholders whilst accommodating the customer's needs.
- We carried out stress tests on our loan book to assess the potential impact of the volatile macro economic indicators such as inflation and foreign currency fluctuation on the ability of the Bank's borrowers to repay their loans.
- We reviewed the Bank's retail lending policy and policy initiatives aimed at ensuring continued growth in the retail lending book taking cognisance of the relevant risks and mitigating factors.
- We continued to monitor the status of the top 20 exposures on the Bank's balance sheet.
- We assessed the Bank's risk appetite for significant new business deals.
- We regularly reviewed the Bank's concentration risk by industry and portfolio segments and ensured an appropriate balance was maintained.
- We supported Management in unlocking high value debts and reaching workable solutions with customers who found themselves in difficult financial circumstances.
- We reviewed the performance of the Committee against its Terms of Reference.

REPORT FROM THE CHAIRPERSON OF THE EXTERNAL RELATIONS COMMITTEE

Jane Karuku

The Role of the External Relations Committee

A key deliverable of this Committee is to ensure that we keep a pulse on our brand position in the market. The

Committee is instrumental in guiding the Bank's policies on public relations, corporate social responsibility and marketing of the Bank's products and services. This Committee is also tasked with advising and supporting the Management of the Bank in the conduct of its relationship with key stakeholders such as regulators. The Committee monitors customer service levels to ensure delivery of the Bank's vision of making lives much easier for its customers.

Committee members

The Committee's membership comprises 4 independent Non-Executive Directors namely myself, Jane Karuku (Chairperson), Francis Okomo-Okello, Paul Chemng'orem and John Waweru. From Management the meetings are attended by the Managing Director, Corporate Banking Director, Head of Consumer Banking, Chief Operating Officer, Head of Corporate Affairs, Head of Marketing and Head of Customer Service or their authorised representatives.

During the year the External Relations Committee convened and held four (4) ordinary meetings. Attendance of the meetings was as follows:-

Directors	Ordinary (Scheduled) Meetings	
	Meetings Eligible to Attend	Meetings Attended
Jane Karuku	4	4
Paul Chemng'orem	4	4
Francis Okomo-Okello	4	3
John Waweru	1	1
Managing Director	4	4
Corporate Banking Director	4	4
Head of Consumer Banking	4	4
Chief Operating Officer	4	2
Head of Corporate Affairs	4	4
Head of Marketing	4	4
Head of Customer Service	4	4

Achievements in 2011

Our key achievements during the year included:

- On the customer service front, we continued to monitor customer satisfaction levels through systematic surveys.
- We supported Management in the tailoring of several marketing campaigns to promote the Bank's products and services. These included the free ATM services campaign to communicate that no charges are levied anymore for ATM transactions.
- Continued funding and support of different community projects under the three broad pillars of the Bank's citizenship agenda namely financial inclusion, environmental sustainability, and youth and entrepreneurship. In particular, through the Banking on Change programme, the Bank was able to fund the education and management of women groups to enhance an efficient and transparent savings culture.
- We were able to partner with the Friends of Karura Forest and the Centre for Environmental Action in a programme called Eco Champs which was aimed at creating and promoting awareness of environmental responsibility amongst school children as part of their school curriculum.
- Sponsorship of the Barclays Kenya Open Golf Tournament in March 2011 was a resounding success as it created significant brand visibility for the Bank.
- We also reviewed the performance of the Committee against its Terms of Reference.

(11) Management Committees

The Board and its Committees are supported by six key Management Committees (Country Management Committee, Assets and Liabilities Committee, Risk and Control Committee, Remuneration and Promotions Committee, Operating Committee and Brand and Reputation Committee). Final authority and responsibility for the direction of the Bank however rests with the Board.

The role and responsibilities of the various Management Committees are set out below.

Country Management Committee (CMC)

CMC meets twice every month. It is a key Management Committee in that it is responsible for the implementation of strategy and driving the overall performance of the Bank. It also reviews the work of other Management Committees. CMC works in tandem with the Board to formulate strategy and policy for the Bank. The Committee is also charged with the responsibility of identifying and coaching senior talent within the Bank for succession planning.

Assets & Liabilities Committee (ALCO)

ALCO is tasked with managing financial risk specifically liquidity, interest rates, market risk, capital management and balance sheet structure. The Committee meets at least once a month and is instrumental in ensuring that sustainable and stable returns are obtained from the deployment of the Bank's assets within a framework of financial risks and controls.

Risk and Control Committee (RCC)

This Committee is mandated to embed and implement policies and controls to provide assurance on the effectiveness of internal controls. RCC monitors credit risk exposures against defined appetite and thresholds. The Committee also monitors legal and regulatory changes in the external environment and oversees compliance with relevant laws, regulations and directives. The Committee meets once a month and periodically reports to the Board Audit Committee highlighting key risk and control issues and Management actions to address them.

Remuneration and Promotions Committee (RPC)

The primary aim of this Committee is to develop, motivate and retain employees within the Bank's talent pool. The Committee is tasked with the responsibility of ensuring good governance in the appointment of senior executives and managers and developing a framework of policies, practices and programmes to resource and reward the Bank's employees. RPC meets at least once every quarter.

Operating Committee (OPCO)

OPCO is charged with the responsibility of reviewing the operational capability of the Bank and ensuring the timely and robust delivery of Operations and IT projects within stipulated time lines and approved costs. In line with prudential requirements, OPCO also monitors the embedding of the Bank's business continuity management practices and policies to reduce the likelihood and impact of operational disruptions. This Committee meets monthly.

Brand and Reputation Committee (BRC)

This Committee is charged with the mandate of monitoring the implementation of the Bank's Corporate Social Responsibility agenda, issues that could negatively impact the brand and reputation of the Bank and ensuring the fair treatment of customers. BRC meets quarterly.

(12) Directors' Emoluments, Shareholding and Conflicts of Interest

The aggregate amount of emoluments and fees paid to directors during the year are disclosed in Note 33 of the financial statements. The amount of fees to Non-Executive Directors was based on a market survey carried out on the remuneration levels of 9 companies listed on the Nairobi Securities Exchange. No member of the Board holds shares in his or her personal capacity that exceeds 1% of the total equity of the Bank. A breakdown of the Directors personal shareholding in the Bank as at 31 December 2011 is shown below.

Name	Number of shares held
Adan Abdulla Mohamed	296,000
Nick Kaluve Mbuvi	12,500
Yusuf Kungu Omari	Nil
John Njuguna Waweru	Nil
Jane Karuku	Nil
Ashok Kumar Mepa Shah	474,380
Rose Nyaboke Ogega	4,000
Paul Kipkemboi Chemng'orem	27,320
Francis Okomo Okello	28,400
Brown Ondego Mmbai	34,180

(13) Relationship with Stakeholders

The Bank is committed to communicating openly with all its stakeholders and its shareholders in particular on its performance and addressing any other areas of concern that they may have. This is achieved through the publication of the annual report, holding of the Annual General Meeting (AGM) where shareholders have the opportunity to ask questions and freely interact with members of the Board as well as through briefing sessions held with key institutional investors and analysts on the Bank's half-year and full year financial results. The Bank's financial results are published in the media every quarter in compliance with regulatory requirements. On a day to day basis, all shareholders have direct access to the Company Secretary and the Shares Registrar who respond to shareholder queries on a variety of issues.

We now prefer to communicate with our shareholders electronically and beginning last year we published our Annual Report on the Bank's website *www.barclays.co.ke.* The Directors were able to attend the last AGM which was held on 27 May 2011 and were available to answer questions from shareholders. This year's AGM will be held on Wednesday, 6 June 2012 at Kenyatta International Conference Centre, Nairobi and the Board looks forward to interacting with as many shareholders as possible on that day. A Notice of the AGM is included in the Annual Report.

Francis Okomo-Okello
Chairman

16 February 2012

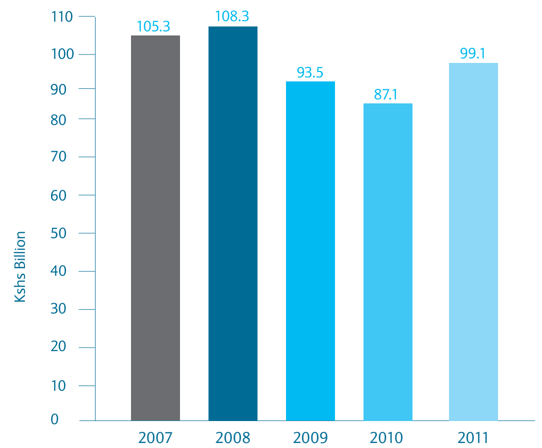
FIVE YEAR GROUP REVIEW

Shs Million	2007	2008	2009	2010	2011
Operating income	18,860	23,628	23,397	26,025	26,339
Operating expenses	(11,095)	(14,329)	(13,882)	(14,049)	(13,597)
Impairment losses on loans and advances	(687)	(1,282)	(513)	(1,200)	(729)
Profit before tax	7,078	8,017	9,002	13,553	12,013
Net profit	**4,910**	**5,558**	**6,091**	**10,599**	**8,073**
Earnings per share (Shs)	3.60	4.09	4.49	1.95	1.49
Dividends per share (Shs)	1.65	2.00	2.50	1.36	1.50
Loans and advances to customers (Net)	105,346	108,086	93,543	87,147	99,072
Cash and short term funds	10,774	13,695	9,751	13,131	12,212
Government securities	25,721	28,307	43,861	55,996	37,599
Property and Equipment	2,772	4,012	5,921	3,244	3,056
Other assets	13,043	14,412	11,799	12,897	15,090
Total Assets	**157,656**	**168,512**	**164,875**	**172,415**	**167,029**
Customer deposits	109,097	126,562	125,869	123,826	124,207
Other liabilities	30,995	21,455	14,797	17,124	13,599
Total Liabilities	**140,092**	**148,017**	**140,666**	**140,950**	**137,806**
Net Assets	**17,564**	**20,495**	**24,209**	**31,465**	**29,223**
Shareholder funds	**17,564**	**20,495**	**24,209**	**31,465**	29,223
Performance Ratios:					
Return on Capital employed	28.0%	27.1%	25.2%	33.7%	27.6%
Return on assets	3.1%	3.3%	3.7%	6.1%	4.8%
Impairment Charge/Loans and Advances	0.6%	1.2%	0.5%	1.4%	0.7%
Cost income ratio	58.8%	60.6%	59.3%	54.0%	51.6%
Balance Sheet Ratios:					
Net advances to deposits (%)	97%	85%	74%	70%	80%
Impairment allowances/Gross Advances	3.1%	3.0%	3.8%	4.2%	3.3%
Classified Debt/Gross Advances	5.0%	5.9%	6.0%	6.4%	4.5%
Others:					
Staff Numbers	6,900	5,724	5,325	5,039	4,205
FTEs	2,785	4,026	3,590	3,581	3,176
LGs	-	4,115	1,698	1,735	1,029
Number of shareholders	58,946	60,914	60,488	57,888	64,503
Branches	107	117	119	119	119
ATMs	193	234	234	231	229

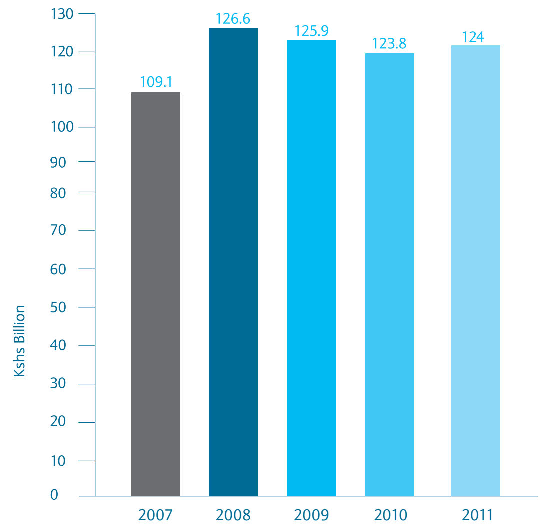
The Notes on pages 55 to 106 are an integral part of these financial statements

FINANCIAL GRAPHS AND CHARTS

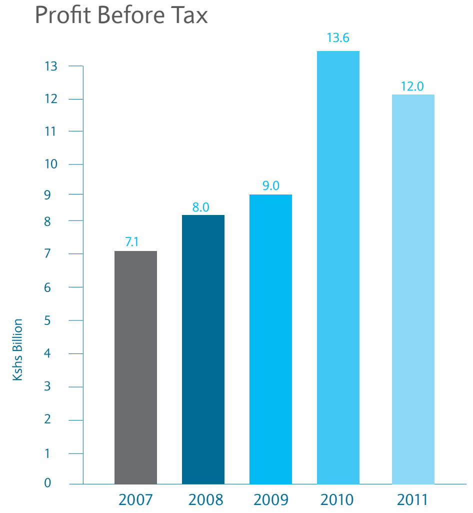
Net Advances to Customers



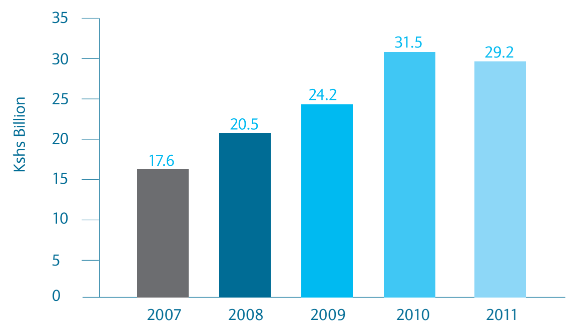
Customer Deposits



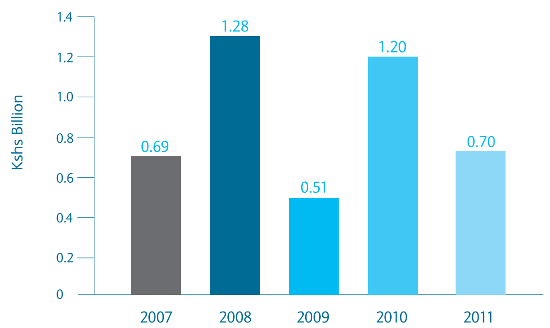
Profit Before Tax



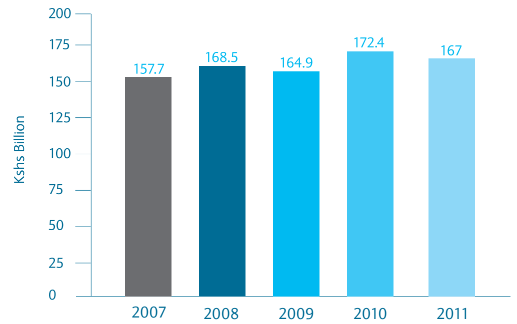
Shareholders Funds



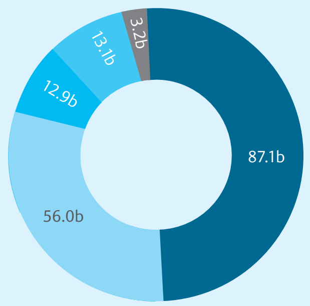
Impairment Charge



Total Assets



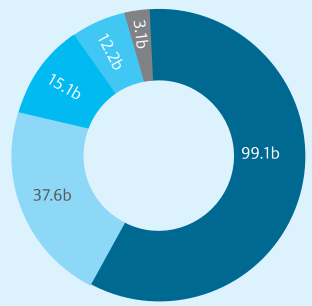
Distribution of Assets - 2010



- Loans and advances to customers (Net)
- Government Securities
- Other Assets
- Cash & Short Term Funds
- Property and Equipment

Total Assets: Shs 172.4B

Distribution of Assets - 2011



- Loans and advances to customers (Net)
- Government Securities
- Other Assets
- Cash & Short Term Funds
- Property and Equipment

Total Assets: Shs 167.0B

REACHING OUT *generation to generation*

Barclays continues to take the lead in the market with Islamic banking, which is growing at a phenomenal rate worldwide. We set the pace in Kenya in 2005 by pioneering the country's first Shariah-compliant product: Barclays La Riba.

We continue to introduce various products to meet the specific needs of the Islamic banking segment with products such as La Riba Business Club account, La Riba Current account, Al Hadaf savings account, La Riba Foreign Currency account, La Riba Premier, and a wide range of other accounts and vehicle finance.

REPORT OF THE INDEPENDENT AUDITOR TO THE MEMBERS OF BARCLAYS BANK OF KENYA LIMITED

Report on the consolidated financial statements

We have audited the accompanying consolidated financial statements of Barclays Bank of Kenya Limited (the "Bank") and its subsidiaries (together, the "Group"), as set out on pages 48 to 103.

These financial statements comprise the consolidated statement of financial position as at 31 December 2011 and the consolidated income statement, statement of other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, together with the separate statement of financial position of the Bank standing alone as at 31 December 2011 and the statement of changes in equity of the Bank for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and with the requirements of the Kenyan Companies Act and for such internal control, as the directors determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing.

Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements.

The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Bank's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.

An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion the accompanying financial statements give a true and fair view of the state of the financial affairs of the Group and of the Bank as at 31 December 2011 and of the profit and cash flows of the Group for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

The Kenyan Companies Act requires that in carrying out our audit we consider and report to you on the following matters. We confirm that:

i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
ii) in our opinion proper books of account have been kept by the Bank, so far as appears from our examination of those books;
iii) the Bank's statement of financial position is in agreement with the books of account.

Certified Public Accountants

PricewaterhouseCoopers

16 February 2012
Nairobi

TAARIFA YA MKAGUZI HURU WA MAHESABU KWA WENYEHISA WA BENKI YA BARCLAYS KENYA LIMITED

Ripoti kuhusu taarifa za jumla za fedha

Tumefanya ukaguzi wa mahesabu wa taarifa za fedha za Benki ya Barclays Kenya Limited ("Benki") na makampuni yake tanzu ("Muungano") kama zilivyochapishwa katika ukurasa wa 48 hadi 103. Taarifa hizi za fedha zinashirikisha taarifa ya jumla kuhusu hali ya kifedha kufikia tarehe 31 Disemba, 2011 na taarifa ya jumla ya mapato, taarifa ya mapato mengine yote, taarifa ya mabadiliko ya hisa zisizokuwa na riba ya kudumu na taarifa ya mapato halisi ya mwaka uliomalizika, pamoja na taarifa ilitenganishwa ya hali ya kifedha ya Benki pekee kama ilivyokuwa tarehe 31 Disemba, 2011 na taarifa ya mabadiliko katika hisa zisizokuwa na riba ya kudumu ya Benki katika mwaka uliomalizika, na muhtasari wa sera za uhasibu na ufafanuzi mwengine.

Jukumu la wakurugenzi katika taarifa za fedha

Wakurugenzi wana jukumu la kutayarisha na kuwasilisha taarifa za fedha kulingana na viwango vya kimataifa vya utoaji wa taarifa za fedha pamoja na masharti ya sheria za makampuni ya Kenya na udhibiti wa ndani, kama ambavyo wakurugenzi wataamua ni muhimu kuwezesha utayarishaji taarifa za fedha ambazo hazina kasoro, iwe ni za kutokana na udanganyifu au makosa.

Jukumu la wakaguzi wa mahesabu

Jukumu letu ni kueleza maoni huru kuhusu taarifa za fedha kulingana na ukaguzi wetu. Tuliendesha ukaguzi wetu wa mahesabu kuambatana na viwango vya kimataifa kuhusu ukaguzi wa mahesabu. Viwango hivyo vinashurutisha tufuate masharti ya maadili na kupanga na kutekeleza ukaguzi wetu wa mahesabu ili tuwe na hakikisho kuwa taarifa za fedha hazina maelezo ya kupotosha.

Ukaguzi wa mahesabu unahusu utekelezaji wa taratibu za kupata ushahidi kuhusu kiasi na ufichuzi katika taarifa za fedha. Taratibu zinazotumiwa zinategemea uamuzi wa mkaguzi wa mahesabu unaojumuisha tathmini ya hatari iliyopo kuhusu kukosea maelezo ya taarifa za fedha, iwe ni kutokana na ulaghai au makosa. Katika kutayarisha makadirio hayo ya hatari, mkaguzi wa mahesabu anazingatia udhibiti wa ndani unaohusiana na utayarishaji wa Benki na uwasilishaji wa haki wa taarifa za fedha ili kupanga taratibu za ukaguzi ambazo zinafaa katika hali iliyoko lakini sio kwa ajili ya kueleza maoni kuhusu uwezo wa udhibiti wa ndani wa Benki.

Ukaguzi wa mahesabu pia unashirikisha kutathmini sera za mahesabu zilizotumika na uridhishaji wa makadirio ya mahesabu yaliyofanywa na wakurugenzi pamoja na kutathmini uwasilishaji wa jumla wa taarifa za fedha.

Tunaamini kuwa ushahidi wa ukaguzi tuliopata unatosha na unafaa kutoa msingi wa maoni yetu.

Maoni

Kulingana na maoni yetu, taarifa za fedha zilizoambatanishwa zinaonyesha taswira kamili ya ukweli na maridhawa kuhusu hali ya kifedha ya Muungano na ya Benki kufikia 31 Disemba, 2011 na kuhusu faida na mapato halisi ya Muungano katika kipindi cha mwaka uliomalizika kulingana na viwango vya kimataifa vya utoaji wa taarifa za fedha na Sheria ya makampuni ya Kenya.

Taarifa kuhusu mahitaji mengine ya kisheria

Sheria kuhusu makampuni ya Kenya inashurutisha kuwa katika ukaguzi wetu wa mahesabu tunaofanya tunatakiwa tuzingatie na tukueleze kuhusu masuala yafuatayo. Tunathibitisha kuwa:

i) tumepokea habari na maelezo yote ambayo kulingana na tunavyofahamu yalikuwa muhimu kwa malengo ya ukaguzi wetu wa mahesabu;
ii) kwa maoni yetu madaftari sahihi ya mahesabu yamehifadhiwa vyema na Benki kama ilivyodhihiri katika upekuzi wetu wa madaftari hayo;
iii) na taarifa ya Benki ya hali ya kifedha inaafikiana na madaftari ya mahesabu.

Wahasibu wa Umma waliothibitishwa

pwc

Februari 16, 2012
Nairobi

The text above is a Kiswahili translation of the Report of the Independent Auditor to the Members of Barclays Bank of Kenya Limited which appears on page 46. In the event of any dispute over the interpretation, the English version shall be the authoritative version.

Barclays Bank of Kenya Limited | 2011 Annual Report & Financial Statements

CONSOLIDATED INCOME STATEMENT

	Notes	2011 Shs million	2010 Shs million
Interest income	4	17,632	17,131
Interest expense	5	(1,296)	(1,457)
Net interest income		**16,336**	**15,674**
Fees and commission income		7,601	7,892
Fees and commission expense		(698)	(518)
Net fees and commission income		**6,903**	**7,374**
Foreign exchange income		2,676	2,346
Other operating income	6	424	631
Impairment losses on loans and advances	15	(729)	(1,200)
Other operating expenses	7	(13,597)	(14,049)
Operating Profit		**12,013**	**10,776**
Restructuring expense		-	(767)
Net income from sale of custody business		-	3,544
Profit before income tax		**12,013**	**13,553**
Income tax expense	9	(3,940)	(2,954)
Profit for the year		**8,073**	**10,599**

The whole profit above has been dealt with in the books of the Bank.

	Notes	2011	2010
Earnings per share			
- Basic and diluted (Kshs per share)	10	1.49	1.95

The Notes on pages 55 to 103 are an integral part of these financial statements

CONSOLIDATED STATEMENT OF OTHER COMPREHENSIVE INCOME

	Notes	2011 Shs million	2010 Shs million
Profit for the year		8,073	10,599
Other comprehensive income			
Fair value movement on available for sale securities			
- Unrealised net (losses)/ gains arising during the year	13	(2,847)	390
Total comprehensive income for the year		**5,226**	**10,989**

The Notes on pages 55 to 103 are an integral part of these financial statements

Barclays Bank of Kenya Limited | 2011 Annual Report & Financial Statements

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	Notes	2011 Shs million	2010 Shs million
ASSETS			
Cash and balances with Central Bank of Kenya	12	12,212	13,131
Government securities: available-for-sale securities	13	37,599	55,996
Deposits and balances due from banking institutions	14	913	935
Balances due from group companies	33	4,531	3,285
Loans and advances to customers	15	99,072	87,147
Financial assets at fair value through profit or loss		542	350
Intangible assets	19	3,364	3,448
Property and equipment	18	3,056	3,244
Prepaid operating lease rentals	20	60	61
Deferred income tax assets	17	424	-
Retirement benefit asset	21	1,479	1,539
Other assets	22	3,777	3,279
Total assets		**167,029**	**172,415**
LIABILITIES			
Balances due to Central Bank of Kenya	23	-	3,105
Customer deposits	24	124,207	123,826
Deposits and balances due to banking institutions	25	123	92
Balance due to group companies	33	1,617	1,571
Current income tax payable		208	193
Deferred income tax liabilities	17	-	508
Long term liabilities	26	4,474	4,351
Other liabilities	27	7,177	7,304
Total liabilities		**137,806**	**140,950**
SHAREHOLDERS' EQUITY			
Share capital	28	2,716	2,716
Revaluation reserve: available-for-sale securities		(2,332)	515
Retained earnings		19,237	19,326
Statutory loan loss reserve		2,541	2,526
Proposed dividend	11	7,061	6,382
Total shareholders' equity		**29,223**	**31,465**
Total equity and liabilities		**167,029**	**172,415**

The financial statements on pages 48 to 103 were approved for issue by the board of directors on 16 February 2012 and signed on its behalf by:

Francis Okomo-Okello: Director

Adan Mohamed: Director

Yusuf Omari: Director

Judy Nyaga: Secretary

The Notes on pages 55 to 103 are an integral part of these financial statements

BANK STATEMENT OF FINANCIAL POSITION

	Notes	2011 Shs million	2010 Shs million
ASSETS			
Cash and balances with Central Bank of Kenya	12	12,212	13,131
Government securities: available-for-sale securities	13	37,599	55,996
Deposits and balances due from banking institutions	14	913	935
Balances due from group companies	33	4,531	3,285
Loans and advances to customers	15	99,072	87,147
Financial assets at fair value through profit or loss		542	350
Investments in subsidiary companies	16	275	275
Intangible assets	19	3,364	3,448
Property and equipment	18	3,056	3,244
Prepaid operating lease rentals	20	60	61
Deferred income tax assets	17	424	-
Retirement benefit asset	21	1,479	1,539
Other assets	22	3,777	3,279
Total assets		**167,304**	**172,690**
LIABILITIES			
Balances due to Central Bank of Kenya	23	-	3,105
Customer deposits	24	124,207	123,826
Deposits and balances due to banking institutions	25	123	92
Balances due to group companies	33	1,617	1,571
Current income tax payable		211	195
Deferred income tax liabilities	17	-	508
Long term liabilities	26	4,474	4,351
Other liabilities	27	7,449	7,577
Total liabilities		**138,081**	**141,225**
SHAREHOLDERS' EQUITY			
Share capital	28	2,716	2,716
Revaluation reserve : investment in subsidiaries		89	89
Revaluation reserve : available for sale securities		(2,332)	515
Retained earnings		19,148	19,237
Statutory loan loss reserve		2,541	2,526
Proposed dividend	11	7,061	6,382
Total shareholders' equity		**29,223**	**31,465**
Total equity and liabilities		**167,304**	**172,690**

The financial statements on pages 48 to 103 were approved for issue by the board of directors on 16 February 2012 and signed on its behalf by:

Francis Okomo-Okello: Director

Adan Mohamed: Director

Yusuf Omari: Director

Judy Nyaga: Secretary

The Notes on pages 55 to 103 are an integral part of these financial statements

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Notes	Share capital	Retained earnings	Statutory loan loss reserve	Revaluation reserve on available-for- sale securities	Proposed dividend	Total equity
		Shs Million	Shs Million	Shs Million	Shs Million	Shs Million	Shs Million
Year ended 31 December 2010							
At start of year		2,716	16,882	1,771	125	2,716	24,210
Comprehensive income							
Profit for the year		-	10,599	-		-	10,599
Net change in available-for-sale securities	13	-	-	-	390	-	390
Transfer to statutory loan loss reserve		-	(755)	755	-	-	-
Total comprehensive income		**-**	**9,844**	**755**	**390**	**-**	**10,989**
Transactions with owners							
Dividends:							
final for 2009 paid		-	-	-	-	(2,716)	(2,716)
interim for 2010 paid		-	(1,018)	-	-	-	(1,018)
proposed final for 2010	11	-	(6,382)	-	-	6,382	-
At end of year		**2,716**	**19,326**	**2,526**	**515**	**6,382**	**31,465**
Year ended 31 December 2011							
At start of year		2,716	19,326	2,526	515	6,382	31,465
Comprehensive income							
Profit for the year		-	8,073	-	-	-	8,073
Net change in available-for-sale securities	13	-	-	-	(2,847)	-	(2,847)
Transfer to statutory loan loss reserve		-	(15)	15	-	-	-
Total comprehensive income		**-**	**8,058**	**15**	**(2,847)**	**-**	**5,226**
Transactions with owners							
Dividends:							
final for 2010 paid		-	-	-	-	(6,382)	(6,382)
interim for 2011 paid		-	(1,086)	-	-	-	(1,086)
proposed final for 2011	11	-	(7,061)	-	-	7,061	-
At end of year		**2,716**	**19,237**	**2,541**	**(2,332)**	**7,061**	**29,223**

The Notes on pages 55 to 103 are an integral part of these financial statements

BANK STATEMENT OF CHANGES IN EQUITY

	Notes	Share capital	Revaluation reserve on investment in subsidiaries	Retained earnings	Statutory loan loss reserve	Revaluation reserve on available for sale securities	Proposed dividends	Total equity
		Shs Million	Shs Million	Shs Million	Shs Million	Shs Million	Shs Million	Shs Million
Year ended 31 December 2010								
At start of year		2,716	89	16,793	1,771	125	2,716	24,210
Comprehensive income								
Profit for the year		-	-	10,599	-	-	-	10,599
Net change in available-for-sale securities	13	-	-	-	-	390	-	390
Transfer to statutory loan loss reserve		-	-	(755)	755	-	-	-
Total comprehensive income		-	-	9,844	755	390	-	10,989
Transactions with owners								
Dividends:								
final for 2009 paid		-	-	-	-	-	(2,716)	(2,716)
interim for 2010 paid		-	-	(1,018)	-	-	-	(1,018)
proposed final for 2010	11	-	-	(6,382)	-	-	6,382	-
At end of year		2,716	89	19,237	2,526	515	6,382	31,465
Year ended 31 December 2011								
At start of year		2,716	89	19,237	2,526	515	6,382	31,465
Comprehensive income								
Profit for the year		-	-	8,073	-	-	-	8,073
Net change in available-for-sale securities	13	-	-	-	-	(2,847)	-	(2,847)
Transfer to statutory loan loss reserve		-	-	(15)	15	-	-	-
Total comprehensive income		-	-	8,058	15	(2,847)	-	5,226
Transactions with owners								
Dividends:								
final for 2010 paid		-	-	-	-	-	(6,382)	(6,382)
interim for 2011 paid		-	-	(1,086)	-	-	-	(1,086)
proposed final for 2011	11	-	-	(7,061)	-	-	7,061	-
At end of year		2,716	89	19,148	2,541	(2,332)	7,061	29,223

The Notes on pages 55 to 103 are an integral part of these financial statements

Barclays Bank of Kenya Limited | 2011 Annual Report & Financial Statements

CONSOLIDATED STATEMENT OF CASH FLOWS

	Notes	2011 Shs million	2010 Shs million
Cash flows from operating activities			
Interest receipts		17,322	16,884
Interest payments		(1,233)	(1,666)
Net fee and commission receipts		6,903	7,317
Other income received		2,907	6,764
Recoveries from loans previously written off	15	269	291
Payments to employees and suppliers		(12,226)	(13,638)
Tax paid		(3,636)	(3,154)
Cash flows from operating activities before changes in operating assets and liabilities		**10,306**	**12,798**
Changes in operating assets and liabilities:			
- loans and advances		(12,747)	6,411
- other assets		(497)	(1,487)
- CBK cash reserve requirement	31	(1,647)	(32)
- government securities maturing after 90 days		14,472	(15,173)
- lines of credit		-	(34)
- customer deposits		365	(1,863)
- other liabilities		(80)	3,407
- amounts due to group companies		47	(2,416)
Net cash from operating activities		**10,219**	**1,611**
Cash flows from investing activities			
Purchase of property and equipment		(241)	(287)
Purchase of intangibles		(734)	(1,102)
Proceeds from sale of property and equipment		-	1
Net cash used in investing activities		**(975)**	**(1,388)**
Cash flows from financing activities			
Dividends paid		(7,468)	(3,734)
Net cash used in financing activities		**(7,468)**	**(3,734)**
Net decrease in cash and cash equivalents		**1,776**	**(3,511)**
Cash and cash equivalents at beginning of year	31	8,640	12,151
Cash and cash equivalents at end of year	31	**10,416**	**8,640**

The Notes on pages 55 to 103 are an integral part of these financial statements

NOTES

1. General Information

The Company is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya. The address of its registered office is:

Barclays Plaza
Loita Street
PO Box 30120 code 00100
NAIROBI

The shares of the company are listed on the Nairobi Securities Exchange.

The financial statements for the year ended 31 December 2011 have been approved for issue by the Board of Directors on 16 February 2012.

For Kenyan Companies Act reporting purposes, the balance sheet is represented by statement of financial position and the profit and loss account by income statement, in these financial statements.

2. Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

a) Basis of preparation

The Group's financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board.

Additional information required by national regulations is included where appropriate. The financial statements have been prepared under the historical cost convention, except for available-for-sale financial assets, financial assets held at fair value through profit or loss and all derivative contracts, which have been measured at fair value.

The disclosures on risks from financial instruments are presented in the financial risk management report contained in Note 32.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires the directors to exercise judgement in the process of applying the Group's accounting policies.

Changes in assumptions may have a significant impact on the financial statements in the period the assumptions changed. The directors believe that the underlying assumptions are appropriate and that the Group's financial statements therefore present the financial position and results fairly.

The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 3.

i) New and amended standards adopted by the Group

The amendments to existing standards below that are part of the Annual Improvements Project and are relevant to the Group's operations:

Standard	Title	Applicable for financial year beginning on/after
IAS 1	Presentation of financial statements	1 January 2011
IAS 24	Related party disclosures	1 January 2011
IFRS 7	Financial Instruments: Disclosures	1 January 2011

The amendment to IAS 1, 'Presentation of financial statements' is part of the 2010 Annual Improvements and clarifies that an entity shall present an analysis of other comprehensive income for each component of equity, either in the statement of changes in equity or in the notes to the financial statements.

The application of this amendment has no significant impact as the Bank already discloses the analysis of other comprehensive income on its statement of changes in equity.

The amendment to IAS 24, 'Related party disclosures' clarifies and simplifies the definition of a related party and removes the requirement for government-related entities to disclose details of all transactions with the government and other government-related entities.

Notes (continued)
2) Summary of significant accounting policies (continued)
a) Basis of preparation (continued)

The amended definition means that some entities will be required to make additional disclosures, e.g., an entity that is controlled by an individual that is part of the key management personnel of another entity is now required to disclose transactions with that second entity. The application of this amendment does not have a significant impact to the Bank.

The amendments to IFRS 7, 'Financial Instruments - Disclosures' are part of the 2010 Annual Improvements and emphasises the interaction between quantitative and qualitative disclosures about the nature and extent of risks associated with financial instruments.

The amendments have also removed the requirement to disclose the following;

- Maximum exposure to credit risk if the carrying amount best represents the maximum exposure to credit risk;
- Fair value of collaterals; and
- Renegotiated loans that would otherwise be past due but not impaired.

The application of the above amendment simplified financial risk disclosures made by the Bank.

Other amendments and interpretations to standards became mandatory for the year beginning 1 January 2011 but had no significant effect on the Group's financial statements.

ii) Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group

Numerous new standards, amendments and interpretations to existing standards have been issued but are not yet effective.

Below is the list of new standards that are likely to be relevant to the Group. However, the directors are yet to assess the impact on the Group's operations.

Standard	Title	Applicable for financial year beginning on/after
IAS 1	Presentation of financial statements	1 July 2012
IAS 19	Employee benefits	1 January 2013
IFRS 13	Fair value measurement	1 January 2013
IFRS 9	Financial instruments	1 January 2015

IAS 1, 'Presentation of financial statements

The amendment changes the disclosure of items presented in other comprehensive income (OCI) in the statement of comprehensive income.

Entities will be required to separate items presented in other comprehensive income ("OCI") into two groups, based on whether or not they may be recycled to profit or loss in the future. Items that will not be recycled will be presented separately from items that may be recycled in the future.

Entities that choose to present OCI items before tax will be required to show the amount of tax related to the two groups separately.

The title used by IAS 1 for the statement of comprehensive income has changed to 'statement of profit or loss and other comprehensive income', though IAS 1 still permits entities to use other titles.

IAS 19, 'Employee benefits'

The amendment to IAS 19, 'Employee benefits' makes significant changes to the recognition and measurement of defined benefit pension expense and termination benefits and to the disclosures for all employee benefits and will have a significant impact on the Group's financial statements on adoption. Key features are as follows:

- Actuarial gains and losses are renamed 'remeasurements' and can only be recognised in 'other comprehensive income' without any recycling through profit or loss in subsequent periods.
- Past service costs will be recognised in the period of a plan amendment and curtailment occurs only when an entity reduces significantly the number of employees.

Notes (continued)

2) Summary of significant accounting policies (continued)

a) Basis of preparation (continued)

- The amendment clarifies the definition of termination benefits. Any benefit that has a future service obligation is not a termination benefit.

Annual benefit expense for a funded benefit plan will include net interest expense or income, calculated by applying the discount rate to the net defined benefit asset or liability.

IFRS 9, 'Financial instruments' part 1: Classification and measurement and part 2: Financial liabilities and Derecognition of financial instruments.

The application of this amendment will have a significant impact on the Group's statement of financial position on adoption.

IFRS 9, part 1 was issued in November 2009 and replaces those parts of IAS 39 relating to the classification and measurement of financial assets. Key features are as follows:

- Financial assets are required to be classified into two measurement categories: those to be measured subsequently at fair value, and those to be measured subsequently at amortised cost. The decision is to be made at initial recognition. The classification depends on the entity's business model for managing its financial instruments and the contractual cash flow characteristics of the instrument.

- An instrument is subsequently measured at amortised cost only if it is a debt instrument and both the objective of the entity's business model is to hold the asset to collect the contractual cash flows, and the asset's contractual cash flows represent only payments of principal and interest (that is, it has only 'basic loan features'). All other debt instruments are to be measured at fair value through profit or loss.

- All equity instruments are to be measured subsequently at fair value. Equity instruments that are held for trading will be measured at fair value through profit or loss. For all other equity investments, an irrevocable election can be made at initial recognition, to recognise unrealised and realised fair value gains and losses through other comprehensive income rather than profit or loss. There is to be no recycling of fair value gains and losses to profit or loss. This election may be made on an instrument-by-instrument basis. Dividends are to be presented in profit or loss, as long as they represent a return on investment.

IFRS 9, part 2 was issued in October 2010 and includes guidance on financial liabilities and derecognition of financial instruments. The accounting and presentation of financial liabilities and for derecognising financial instruments has been relocated from IAS 39, 'Financial instruments: Recognition and Measurement', without change except for financial liabilities that are designated at fair value through profit or loss.

- Under the new standard, entities with financial liabilities at fair value through profit or loss recognise changes in the liability's credit risk directly in other comprehensive income. There is no subsequent recycling of the amounts in other comprehensive income to profit or loss, but accumulated gains or losses may be transferred within equity.

While adoption of IFRS 9 is mandatory from 1 January 2015, earlier adoption is permitted. The Group is considering the implications of the Standard, the impact on the Group and the timing of its adoption by the Group.

IFRS 13, 'Fair value measurement'

- IFRS 13 explains how to measure fair value and aims to enhance fair value disclosures; it does not say when to measure fair value or require additional fair value measurements. A fair value measurement assumes that the transaction to sell the asset or transfer the liability takes place in the principal market for the asset or liability or, in the absence of a principal market, in the most advantageous market for the asset or liability.

- The principal market is the market with the greatest volume and level of activity for the asset or liability that can be accessed by the entity.

2) Summary of significant accounting policies (continued)

a) Basis of preparation (continued)

The guidance includes enhanced disclosure requirements that could result in significantly more work for the Group. The requirements are similar to IFRS 7, 'Financial instruments: Disclosures' but apply to all assets and liabilities measured at fair value, not just financial ones.

(b) Consolidation

The consolidated financial statements comprise the financial statements of Barclays Bank of Kenya Limited and its subsidiary companies made up to 31 December. Subsidiary undertakings have been fully consolidated. All intercompany transactions, balances and unrealised surpluses and deficits on transactions between group companies have been eliminated. The accounting policies for the subsidiaries are consistent with the policies adopted by the Bank.

A listing of the Bank's subsidiaries is set out in Note 16.

(c) Interest income and expense

Interest income and expense are recognised in the income statement for all interest bearing financial instruments measured at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial asset or a financial liability and of allocating the interest income or interest expense over the relevant period.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability.

The calculation includes all fees paid or received between parties to the contract that are an integral part of the effective interest rate, transaction costs and all other premiums or discounts.

When loans and advances become doubtful of collection, they are written down to their recoverable amounts and interest income is thereafter recognised based on the rate of interest that was used to discount the future cash flows for the purpose of measuring the impairment loss.

(d) Fees and commission

Unless included in the effective interest calculation, fees and commissions income are generally recognised on an accrual basis when the service has been provided. Loan appraisal fees together with related direct costs are deferred and recognised using the effective interest rate method.

Fees and commission expenses are generally deferred and recognised on an accrual basis when incurred.

(e) Translation of foreign currencies

(a) Functional and presentation currency

The accounting records are maintained in the currency of the primary economic environment in which the Group operates (the "functional currency"). The financial statements are presented in Kenya Shillings, which is the Group's presentation currency. The figures shown in the financial statements are stated in Kenya Shillings (Shs), rounded to the nearest million.

(b) Transactions and balances

Transactions in foreign currencies during the year are translated into the functional currency using the exchange rates prevailing at the dates of the transaction or valuation where items are re-measured.

Monetary items denominated in foreign currency are translated at the closing rate as at the reporting date.

Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the income statement.

Translation differences on non-monetary financial instruments, such as equities held at fair value through profit or loss, are reported as part of the fair value gain or loss. Translation differences on non-monetary financial instruments, such as equities classified as available-for-sale financial assets, are included in other comprehensive income.

Notes (continued)

2) Summary of significant accounting policies (continued)

(f) Financial assets and liabilities

All financial assets and liabilities – which include derivative financial instruments – have to be recognised in the statement of financial position and measured in accordance with their assigned category.

Financial assets

The Group classifies its financial assets into the following categories: financial assets at fair value through profit or loss; loans, advances and receivables and available-for-sale financial assets. Management determines the appropriate classification of its financial assets at initial recognition.

(i) Financial assets at fair value through profit or loss (FVTPL)

This category comprises two sub-categories: financial assets classified as held for trading, and financial assets designated by the Group as at fair value through profit or loss upon initial recognition.

A financial asset is classified as held for trading if it is acquired or incurred principally for the purpose of selling or repurchasing it in the near term or if it is part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking.

Derivatives are also categorised as held for trading unless they are designated and effective as hedging instruments.

The Group designates certain financial assets upon initial recognition as at fair value through profit or loss (fair value option).

This designation cannot subsequently be changed and can only be applied when the following conditions are met:

- the application of the fair value option reduces or eliminates an accounting mismatch that would otherwise arise or
- the financial assets are part of a portfolio of financial instruments which is risk managed and reported to senior management on a fair value basis or
- the financial assets consists of debt host and an embedded derivatives that must be separated.

Financial assets at fair value through profit or loss are carried at fair value. Purchases and sales of financial assets at fair value through profit or loss are recognized on trade-date, the date on which the Group commits to purchase or sell the asset.

Fair value changes relating to financial assets designated at fair value through profit or loss are recognized in the income statement in the year in which they arise.

(ii) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market.

They arise when the Bank provides money, goods or services directly to a debtor with no intention of trading the receivable.

Loans and receivables are initially recognised at fair value – which is the cash consideration to originate the loan including any transaction costs – and measured subsequently at amortised cost using the effective interest method.

Loans and receivables are reported in the statement of financial position as loans and advances to customers. Interest on loans is included in the income statement and is reported as 'Interest income'. In the case of impairment, the impairment loss is reported as a deduction from the carrying value of the loan and recognised in the income statement as 'impairment losses on loans and advances'.

(iii) Available-for-sale financial assets

Available-for-sale financial assets are financial assets that are intended to be held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices or that are not classified as loans and receivables, held-to-maturity investments or financial assets at fair value through profit or loss.

Available-for-sale financial assets are initially recognised at fair value, which is the cash consideration including any transaction costs, and measured subsequently at fair value with gains and losses being recognised

Notes (continued)

2) Summary of significant accounting policies (continued)

(f) Financial Assets and Liabilities (continued)

in the statement of comprehensive income, except for impairment losses and foreign exchange gains and losses, until the financial asset is derecognised. If an available-for-sale financial asset is determined to be impaired, the cumulative gain or loss previously recognised in the statement of comprehensive income is recognised in the income statement.

However, interest is calculated using the effective interest method, and foreign currency gains and losses

on monetary assets classified as available for sale are recognised in the income statement.

(iv) Recognition

The Bank uses trade date accounting for regular way contracts when recording financial asset transactions.

(v) De-recognition

Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or where the Group has transferred substantially all risks and rewards of ownership.

Financial liabilities

All the Bank's financial liabilities are measured at amortised cost these include deposits from banks or customers or balances due to Group, long term debt instruments and subordinated debts.

Financial liabilities are initially recognised at their fair value, being their issue proceeds (fair value of consideration received), net of transaction costs incurred and subsequently measured at amortised cost. Financial liabilities are derecognised when extinguished.

Determination of fair value

For financial instruments traded in active markets, the determination of fair values of financial assets is based on quoted market prices or dealer price quotations. This includes listed equity securities and quoted debt instruments on major exchanges and broker quotes.

A financial instrument is regarded as quoted in an active market if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

If the above criteria are not met, the market is regarded as being inactive. Indicators that a market is inactive are when there is a wide bid-offer spread or significant increase in the bid-offer spread or there are few recent transactions.

For all other financial instruments, fair value is determined using valuation techniques. These include the use of recent arm's length transactions, discounted cash flow analysis and other valuation techniques commonly used by market participants.

The Bank uses widely recognised valuation models for determining fair values of government securities. For these financial instruments, inputs into models are generally market-observable.

The fair values of the Bank's financial assets and liabilities approximate the respective carrying amounts, due to the generally short periods to contractual re-pricing or maturity dates.

Fair values are based on discounted cash flows using a discount rate based upon the borrowing rate that directors expect would be available to the company at the reporting date.

The fair value of foreign exchange forwards is generally based on current forward exchange rates.

The fair values of contingent liabilities correspond to their carrying amounts.

(g) Leases

Leases are divided into finance leases and operating leases.

(a) The Bank is the lessor

(i) Finance lease

Assets leased to customers under agreements, which transfer substantially all the risks and rewards of ownership, with or without ultimate legal title, are classified as finance leases.

Notes (continued)
2) Summary of Significant Accounting Policies (continued)
(g) Leases (continued)

When assets are held subject to a finance lease, the present value of the lease payments, discounted at the rate of interest implicit in the lease, is recognised as a receivable. The difference between the total payments receivable under the lease and the present value of the receivable is recognised as unearned finance income, which is allocated to accounting periods under the pre-tax net investment method to reflect a constant periodic rate of return.

(ii) Operating lease

Assets leased to customers which do not transfer substantially all the risks and rewards of ownership are classified as operating leases. The leased assets are included within property, plant and equipment on the Bank's statement of financial position and depreciation is provided on the depreciable amount of these assets on a systematic basis over their estimated useful lives.

Lease income is recognised on a straight-line basis over the period of the lease unless another systematic basis is more appropriate.

(b) The Bank is the lessee

For operating lease where the Bank is the lessee, payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to the income statement on a straight-line basis over the period of the lease.

(h) Impairment of financial assets

(i) Assets carried at amortised cost

The Bank assesses at each reporting date whether there is objective evidence that a financial asset or group of financial assets is impaired.

A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

The criteria that the Bank uses to determine that there is objective evidence of an impairment loss include:

(a) significant financial difficulty of the issuer or obligor;
(b) a breach of contract, such as a default or delinquency in interest or principal payments;
(c) the lender, for economic or legal reasons relating to the borrower's financial difficulty, granting to the borrower a concession that the lender would not otherwise consider;
(d) it becomes probable that the borrower will enter bankruptcy or other financial reorganisation;
(e) the disappearance of an active market for that financial asset because of financial difficulties; or
(f) observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of financial assets since the initial recognition of those assets, although the decrease cannot yet be identified with the individual financial assets in the portfolio, including:

(i) adverse changes in the payment status of borrowers in the portfolio; and

(ii) national or local economic conditions that correlate with defaults on the assets in the portfolio.

The estimated period between a loss occurring and its identification is determined by local management for each identified portfolio. In general, the periods used vary between 1 and 6 months; in exceptional cases, longer periods are warranted.

The Bank first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and collectively for financial assets that are not individually significant.

If the Bank determines no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment.

Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment of impairment.

Notes (continued)
2) Summary of Significant Accounting Policies (continued)
(h) Impairment of Financial Assets (continued)

If there is objective evidence that an impairment loss on loans carried at amortised cost has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial instrument's original effective interest rate.

The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the income statement. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract.

As a practical expedient, the Bank may measure impairment on the basis of an instrument's fair value using an observable market price.

The calculation of the present value of the estimated future cash flows of a collateralised financial asset reflects the cash flows that may result from foreclosure less costs for obtaining and selling the collateral, whether or not foreclosure is probable.

For the purposes of a collective evaluation of impairment, financial assets are grouped on the basis of similar credit risk characteristics (i.e. on the basis of the bank's grading process that considers asset type, industry, geographical location, collateral type, past-due status and other relevant factors). Those characteristics are relevant to the estimation of future cash flows for groups of such assets by being indicative of the debtors' ability to pay all amounts due according to the contractual terms of the assets being evaluated.

Future cash flows in a group of financial assets that are collectively evaluated for impairment are estimated on the basis of the contractual cash flows of the assets in the group and historical loss experience for assets with credit risk characteristics similar to those in the group. Historical loss experience is adjusted on the basis of current observable data to reflect the effects of current conditions that did not affect the period on which the historical loss experience is based and to remove the effects of conditions in the historical period that do not exist currently.

Estimates of changes in future cash flows for groups of assets should reflect and be directionally consistent with changes in related observable data from period to period (for example, changes in unemployment rates, property prices, payment status, or other factors indicative of changes in the probability of losses in the Bank and their magnitude).

The methodology and assumptions used for estimating future cash flows are reviewed regularly by the Bank to reduce any differences between loss estimates and actual loss experience.

When a loan is uncollectible, it is written off against the related provision for loan impairment. Such loans are written off after all the necessary procedures have been completed and the amount of the loss has been determined.

Impairment charges relating to loans and advances to customers are included in loan impairment charges. Subsequent recoveries of amounts previously written off decrease the amount of the provision for loan impairment in the income statement.

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised (such as an improvement in the debtor's credit rating), the previously recognised impairment loss is reversed by adjusting the allowance account.

The amount of the reversal is recognised in the income statement.

(ii) Assets classified as available-for-sale

The Bank assesses at each reporting date whether there is objective evidence that a financial asset or a group of financial assets is impaired. In the case of equity investments classified as available for sale, a significant or prolonged decline in the fair value of the security below its cost is objective evidence of impairment resulting in the recognition of an impairment loss.

If any such evidence exists for available-for-sale financial assets, the cumulative loss – measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from equity and recognised in the income statement. Impairment losses recognised in the income statement on equity instruments are not reversed through the income statement. If, in a subsequent period, the fair

Notes (continued)
2) Summary of Significant Accounting Policies (continued)
(h) Impairment of Financial Assets (continued)

value of a debt instrument classified as available for sale increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed through the income statement.

Renegotiated loans

Renegotiated loans are loans that are either subject to collective impairment assessment or individually significant whose terms have been renegotiated and are no longer considered past due but are treated as new loans. In subsequent years the renegotiated terms apply in determining whether the asset is considered past due.

(i) Impairment of non-financial assets

Intangible assets that have an indefinite useful life are not subject to amortisation and are tested annually for impairment. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount.

The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows (cash-generating units). The impairment test also can be performed on a single asset when the fair value less cost to sell or the value in use can be determined reliably.

Non-financial assets other than goodwill that suffered impairment are reviewed for possible reversal of the impairment at each reporting date. No non-financial assets were impaired in 2011.

(j) Investments in subsidiaries

Investments in subsidiary companies are carried only in the Bank's accounts at fair value. Changes in fair value of the investments are recognised in equity in "revaluation reserve on investments in subsidiaries" and subsequent recycling into the income statement on disposal or impairment.

(k) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

(l) Property and equipment

Land and buildings comprise mainly branches and offices. All property and equipment is stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of these assets.

Subsequent expenditures are included in the asset's carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably.

The carrying amount of the replaced part is derecognised. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred.

Freehold land is not depreciated. Depreciation on other assets is calculated on the straight line basis to write down their cost to their residual values over their estimated useful lives, as follows:

Buildings	25 – 40 years
Leasehold improvements	Over the remaining lease period
Fixtures, fittings and equipment	3 – 15 years
Motor vehicles	5 – 8 years

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each balance sheet date.

The Bank assesses at each reporting date whether there is any indication that any item of property and equipment is impaired. If any such indication exists, the Bank estimates the recoverable amount of the relevant assets. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds

Notes (continued)
2) Summary of Significant Accounting Policies (continued)
(l) Property and Equipment (continued)

its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

Gains and losses on disposal of property and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit.

(m) Intangible assets

Intangible assets comprise computer software and other intangible assets. Intangible assets are recognised at cost. Intangible assets with a definite useful life are amortised using the straight-line method over their estimated useful economic life, generally not exceeding 10 years.

Generally, the identified intangible assets of the Bank have a definite useful life. At the end of each reporting period, intangible assets are reviewed for indications of impairment or changes in estimated future economic benefits. If such indications exist, the intangible assets are analysed to assess whether their carrying amount is fully recoverable. An impairment loss is recognised if the carrying amount exceeds the recoverable amount.

The Bank chooses to use the cost model for the measurement after recognition.

(i) Computer software

Costs associated with maintaining computer software programmes are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Bank are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software product so that it will be available for use;
- management intends to complete the software product and use or sell it;
- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured.

Directly attributable costs that are capitalised as part of the software product include the software development employee costs and an appropriate portion of relevant overheads.

Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period.

(ii) Goodwill

Goodwill arises on the acquisition of subsidiary and associated entities and joint ventures. It represents the excess of fair value of the purchase consideration and direct costs of making the acquisition, over the fair value of the share of the assets acquired and the liabilities and contingent liabilities assumed on the date of acquisition.

(iii) Other intangible assets

Other intangible such as Brands and other contracts have not been recognised in the Financial statements.

The Bank does not have intangible assets with an indefinite useful life as at 31 December 2011 and 31 December 2010.

(n) Sale and repurchase agreements

Securities sold subject to repurchase agreements ('repos') are classified in the financial statements as pledged assets when the transferee has the right by contract or custom to sell or repledge the collateral; the counterparty liability is included in amounts due to Central Bank of Kenya, due to other banks, deposits from banks, other deposits or deposits due to customers, as appropriate.

Securities purchased from Central Bank of Kenya under agreements to resell ('reverse repos') are disclosed separately as they are purchased and are not negotiable/discounted during their tenure. The difference between sale and repurchase price is treated as interest and accrued over the life of the agreements using the effective interest method.

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Notes (continued)
2) Summary of Significant Accounting Policies (continued)

(o) Employee benefits

(i) Retirement benefit obligation

The Group operates both a defined benefit plan and defined contribution plan. The assets of these schemes are held in separate trustee administered funds that are funded by contributions from the Group and the employees. Certain of the employees are members of the parent bank's defined benefit scheme. The Group and all its employees also contribute to the National Social Security Fund, which is a defined contribution scheme.

A defined contribution plan is a retirement benefit plan under which the Group pays fixed contributions into a separate entity. The Group has no legal or constructive obligation to pay further contributions if the fund does hold sufficient assets or pay all employees the benefits relating to employee service in the current and prior periods. A defined contribution plan is a retirement benefit plan that is not a defined contribution plan

The Group's contribution to the defined contribution scheme is charged to the income statement in the year in which they fall due. The Group has no further payment obligation once the contributions have been paid.

A defined benefit plan is a pension plan that defines an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors, such as age, years of service and compensation.

The asset recognised in the consolidated statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the reporting date less the fair value of plan assets, together with adjustments for unrecognised actuarial gains or losses and past service costs. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method.

The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating the terms of the related pension liability.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions in excess of the greater of 10% of the value of plan assets or 10% of the defined benefit obligation are charged or credited to income statement over the employees' expected average remaining working lives. Past-service costs are recognised immediately in income, unless the changes to the pension plan are conditional on the employees remaining in service for a specified period of time (the vesting period). In this case, the past-service costs are amortised on a straight-line basis over the vesting period.

(ii) Termination benefits

Termination benefits are payable when employment is terminated by the Bank before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Bank recognises termination benefits when it is demonstrably committed to either: termination the employment of current employees according to a detailed formal plan without possibility of withdrawal; or providing termination benefits as a result of an offer made to encourage voluntary redundancy.

(iii) Other employee entitlements

The estimated monetary liability for employees accrued annual leave entitlement at the reporting date is recognised as an expense accrual.

(p) Income tax

(i) Current income tax

The tax expense for the period comprises current and deferred income tax.

Income tax expense is the aggregate of the charge to the income statement in respect of current income tax and deferred income tax. Tax is recognised in the income statement, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

Current income tax is the amount of income tax payable on the profit for the year determined in accordance with the Kenyan Income Tax Act.

Notes (continued)
2) Summary of Significant Accounting Policies (continued)
(p) Income Tax (continued)

Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

(ii) Deferred income tax

Deferred income tax is provided in full, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes.

However, if the deferred income tax arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss, it is not accounted for. Deferred income tax is determined using tax rates enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilised.

(q) Share capital

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value of the shares is classified as share premium in equity.

(r) Statutory loan loss reserve

Where impairment losses required by the regulators exceeds those computed under IFRS, the excess is recognised as a statutory loan loss reserve and is accounted for as an appropriation of retained earnings . The statutory loan loss reserve is not distributable.

(s) Dividends payable

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

(t) Derivative financial instruments

Derivatives, which comprise forward foreign exchange contracts and foreign exchange swaps, are initially recognised at fair value on the date the derivative contract is entered into and are subsequently measured at fair value.

The fair value is determined using forward exchange market rates at the reporting date or appropriate pricing models. The derivatives do not qualify for hedge accounting. Changes in the fair value of derivatives are recognised immediately in the income statement.

(u) Provisions

Provisions are recognised for present obligations arising as consequences of past events where it is more likely than not that a transfer of economic benefits will be necessary to settle the obligation, and these can be reliably estimated.

When a leasehold property ceases to be used in the business, a provision is made where the unavoidable costs of the future obligations relating to the lease are expected to exceed anticipated rental income. The net costs are discounted using market rates of interest to reflect the long-term nature of the cash flows.

Provision is made for the anticipated cost of restructuring, including redundancy costs when an obligation exists. An obligation exists when the group has a detailed formal plan for restructuring a business and has raised valid expectations in those affected by the restructuring by starting to implement the plan or announcing its main features. The provision raised is normally utilised within nine months.
Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is uncertain or cannot be reliably measured. Contingent liabilities are not recognised but are disclosed unless they are remote.

(v) Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition including: cash and balances with central banks, treasury bills and amounts due from other banks. Cash and cash equivalents exclude the cash reserve requirement held with the Central Bank of Kenya.

Notes (continued)
2) Summary of Significant Accounting Policies Notes (continued)

(w) Acceptances and letters of credit

Acceptances and letters of credit are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

(x) Fiduciary activities

The Group commonly acts as trustee, nominee or agent and in other fiduciary capacities that result in the holding or placing of assets on behalf of individuals, trusts, retirement benefit plans and other institutions. These assets and income arising thereon are excluded from these financial statements, as they are not assets of the Group.

(y) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker who is responsible for allocating resources and assessing the performance of the operating segments has been identified as the Country management Committee that makes strategic decisions.

All transactions between business segments are conducted on an arm's length basis, with intra-segment revenue and costs being eliminated in head office. Income and expenses directly associated with each segment are included in determining business segment performance.

In accordance with IFRS 8, the Bank has the following business segments: Consumer banking and Corporate banking.

(z) Comparatives

Except when a standard or an interpretation permits or requires otherwise, all amounts are reported or disclosed with comparative information.

3. Critical Accounting Estimates

IFRS require that the Group adopts accounting policies and estimation techniques that the Directors believe are most appropriate in the circumstances for the purpose of giving a true and fair view of the state of the Group's financial affairs, its profit and cash flows. However different policies, estimation techniques and assumptions in critical areas could lead to materially different results.

The following are estimates which are considered to be complex and involve significant amounts of management valuation judgements, often in areas that are inherently uncertain.

(i) Impairment of financial assets

The estimation of potential credit losses is inherently uncertain and depends upon many factors, including general economic conditions, changes in individual customers' circumstances, structural changes within industries that alter competitive positions and other external factors such as legal and regulatory requirements.

Identified impairment is raised when the Group considers that the credit worthiness of a borrower has deteriorated such that recovery of the whole or part of an outstanding advance is in serious doubt.

For larger accounts, this is done on an individual basis and all relevant considerations that have a bearing on the expected future cash flows are taken into account, for example the business prospects for the customer, the realisable value of collateral, the group's position relative to other claimants and the reliability of customer information. Subjective judgements are made in this process that may vary from person to person and team to team. Judgements may also change with time as new information becomes available.

Within the retail and small business portfolio, which comprise a large number of small homogeneous assets, statistical techniques are used to raise identified impairment on a portfolio basis, based on historical recovery rates. These statistical techniques use as primary inputs the extent to which accounts in the portfolio are in arrears and historical information on the eventual losses encountered from such delinquent portfolios. The models do not contain judgemental inputs but judgement and knowledge is needed in selecting the statistical methods to use when the models are developed or revised.

Unidentified impairment is raised to cover losses which are known from previous historical experience to be present in loans and advances at the balance sheet date, but which have not yet been specifically identified.

Notes (continued)
3) Critical Accounting Estimates (continued)

(ii) Fair value of financial instruments

The fair value of a financial instrument is the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale. Some of the Group's financial instruments are carried at fair value and include swaps, forwards and debt securities held as available for sale.

Financial instruments are either priced with reference to a quoted market price for that instrument or by using a valuation model. These models use as their basis independently sourced market parameters including for example interest rate yield curves. Most market parameters are either directly observable or are implied from instrument prices. However, where no observable price is available then instrument fair value will include provision for the uncertainty in the market parameter based on sale price or subsequent traded levels.

The sensitivity information for these financial instruments is shown in Note 32.

(iii) Income taxes

Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made. Refer to the disclosure on contingent tax liabilities in note 29.

Significant judgement has also been exercised in determining the likelihood of liability crystallising in respect of disputes with the tax authority.

iv) Retirement benefits

The present value of the retirement benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. Any changes in these assumptions will impact the carrying amount of pension obligations. The assumptions used in determining the net cost (income) for pensions are disclosed in note 21.

The Group determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. In determining the appropriate discount rate, the Group considers the interest rates of high-quality corporate bonds that are denominated in Kenya Shillings in which the benefits will be paid and that have terms to maturity approximating the terms of the related pension liability.

The retirement benefit asset in the financial statements has been measured on a combined basis due to existence of an option by defined contribution members to convert to the DB scheme on retirement. The directors considered that this option would be largely exercised.

Other key assumptions for pension obligations are based in part on current market conditions and are discussed in Note 21 of these financial statements.

Notes (continued)

	Group 2011 Shs million	Group 2010 Shs million
4 Interest income		
Loans and advances	13,694	13,553
Government securities	3,000	3,099
Cash and short term funds	82	42
Other	856	437
	17,632	17,131

There is no interest accrued on impaired financial assets

	2011	2010
5 Interest expense		
Customer deposits	736	1,071
Deposits by banks	267	99
Subordinated debt	31	30
Medium term note	248	256
Other	14	1
	1,296	1,457
6 Other operating income		
Net changes on financial instruments designated at fair value through profit or loss account	185	(62)
Other operating income	239	693
	424	631
7 Other operating expenses		
Staff costs (note 8)	7,347	8,398
Other administrative expenses	6,250	5,651
	13,597	14,049

Other administrative expenses include:

	2011	2010
Amortisation of intangibles (note 19)	482	432
Depreciation (note 18)	765	744
Amortisation of leasehold land (note 20)	1	1
Operating lease rentals	609	868
Auditor's remuneration	18	17

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Notes (continued)

	Group 2011 Shs million	Group 2010 Shs million
8 Staff costs		
Salaries and accrued incentive payments	5,754	6,353
Temporary staff costs	3	17
Social security costs	11	14
Retirement benefit costs (note 21)	488	756
Staff training	87	95
Staff medical costs	346	363
Other staff costs	658	800
Total staff costs	7,347	8,398
9 Income tax expense		
Current income tax	3,652	3,232
Deferred income tax (note 17)	288	(278)
	3,940	2,954

The tax on the Group's profit before income tax differs from the theoretical amount that would arise using the statutory tax rate as follows:

	2011 Shs million	2010 Shs million
Profit before income tax	12,013	13,553
Tax calculated at the statutory tax rate of 30% (2010: 30%)	3,604	4,066
Tax effect of:		
Income not subject to tax	(286)	(1,242)
Expenses not deductible for tax purposes	675	220
Overprovision of deferred tax in prior years	(53)	(90)
Income tax expense	3,940	2,954

There is a deferred tax credit of Shs 1,220 million (2010: debit of Shs 167 million) that has been dealt with in the statement of other comprehensive income relating to available-for-sale assets (Note 13).

Notes (continued)

10 Earnings per share

Basic earnings per share is calculated by dividing the profit at tributable to shareholders of Shs 8,073 million (2010: Shs 10,599 million) by the number of ordinary shares outstanding at the end of the year.

	Group and Bank	
	2011	2010
Net profit attributable to shareholders (Shs million)	8,073	10,599
Number of ordinary shares in issue (millions)	5,432	5,432
Basic earnings per share (Shs)	1.49	1.95

There were no potentially dilutive shares outstanding at 31 December 2011 or 2010. Diluted earnings per share are therefore the same as basic earnings per share.

11 Dividends per share

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting. At the forthcoming annual general meeting to be held on 06 June 2012, a final dividend in respect of the year ended 31 December 2011 of Shs 1.30 per share amounting to a total of Shs 7,061 million (2010: Shs 6,382) is to be proposed. During the year an interim dividend of Shs 0.20 per share, amounting to a total of Shs 1,086 million was paid (2010: Shs 1,018 million).

The total dividend for the year is therefore Shs 1.50 per share (2010: Shs 1.36), amounting to a total of Shs 8,147 million (2010: Shs 7,400 million).

Payment of dividends is subject to withholding tax at a rate of 5% for residents and 10%, for non-resident shareholders.

12 Cash and balances with Central Bank of Kenya

	Group and Bank	
	2011	2010
	Shs million	Shs million
Cash in hand	5,032	5,642
Balances with Central Bank of Kenya	7,180	7,489
	12,212	13,131

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Notes (continued)

13 Government securities: available-for-sale securities

	Group and Bank	
	2011	2010
	Shs million	Shs million
Treasury bills and bonds:		
Maturing within 90 days	63	19
Maturing after 90 days	37,536	55,977
	37,599	**55,996**

Treasury bills and bonds are debt securities issued by the Government of Kenya and are classified as available-for-sale. The weighted average effective interest rate on the Government securities as at 31 December 2011 was 6.0% (2010: 6.4%).

A fair value loss of Shs 2,847 million (Gross, Shs 4,067 million less deferred tax of Shs 1,220 million) has been dealt with in the Statement of Other Comprehensive Income. In 2010, a fair value gain of Shs 390 million (Gross, Shs Shs 557 million less deferred tax of Shs 167 million) was recognised in the Statement of Other Comprehensive Income.

14 Deposits and balances due from banking institutions

	Group and Bank	
	2011	2010
	Shs million	Shs million
Items in course of collection from other banks	648	835
Placements with other banks	265	100
	913	**935**

The weighted average effective interest rate on deposits and balances due from banking institutions as at 31 December 2011 was 4.0% (2010: 1.8%).

Notes (continued)

15 Loans and advances to customers

	Group and Bank	
	2011	2010
	Shs million	Shs million
Overdrafts	6,506	7,846
Commercial loans	75,300	73,180
Advances under finance lease agreements	3,228	3,196
Bills discounted	17,304	6,661
Bills negotiated	-	1
La Riba	110	46
Gross loans and advances to customers	**102,448**	**90,930**
Less:		
Allowances for impairment of loans and advances		
- Identified	(2,995)	(3,550)
- Unidentified	(381)	(233)
Loans and advances to customers net of provisions	**99,072**	**87,147**

The aggregate amount of impaired loans included in the balance sheet (net of impairment losses) is Shs 1,656 million (2010: Shs 2,269 million). All such loans have been written down to the present value of their recoverable amount.

Movements in provisions for impairment of loans and advances are as follows:

	Group and Bank		
	Identified provisions	Unidentified provisions	Total Shs million
Year ended 31 December 2010			
At 1 January 2010	3,515	211	3,726
New impairment provisions	1,696	-	1,696
Increase in impairment provisions	110	22	132
Recoveries and impairment provisions no longer required	(337)	-	(337)
Net increase in impairment provisions	1,469	22	1,491
Amounts written off during the current year	(1,434)	-	(1,434)
At 31 December 2010	3,550	233	3,783
Net Increase in impairment provisions above	1,469	22	1,491
Amounts recovered previously written off	(291)	-	(291)
Net impairment charge to the income statement	**1,178**	**22**	**1,200**

Notes (continued)

15 Loans and advances to customers (continued)

	Group and Bank		
	Identified provisions	Unidentified provisions	Total Shs million
Year ended 31 December 2011			
At 1 January 2011	**3,550**	**233**	**3,783**
New impairment provisions	1,044	-	1,044
Increase in impairment provisions	126	148	274
Recoveries and impairment provisions no longer required	(320)	-	(320)
Net increase in impairment provisions	850	148	998
Amounts written off during the current year	(1,405)	-	(1,405)
At 31 December 2011	**2,995**	**381**	**3,376**
Net increase in impairment provisions above	850	148	998
Amounts recovered previously written off	(269)	-	(269)
Net impairment charge to the income statement	**581**	**148**	**729**

The weighted average effective interest rate on loans and advances as at 31 December 2011 was 15.0% (2010: 14.8%)

Impaired Loans and advances to customers

As at 31 December	Group and Bank	
	2011	2010
	Shs million	Shs million
Loans and advances individually and collectively assessed as impaired	4,651	5,819
Impairment allowance	(2,995)	(3,550)
Loans and advances to customers individually impaired - net	1,656	2,269
Unidentified impairment allowance	**(381)**	**(233)**

Notes (continued)

15 Loans and advances to customers (continued)

Economic sector risk concentrations within the customer loan portfolio were as follows:

	Group and Bank 2011 %	Group and Bank 2010 %
Manufacturing	9	6
Wholesale and retail trade	3	5
Transport and communications	1	1
Business services	-	3
Agricultural	3	2
Private individuals	50	48
Other	34	35
	100	100

16 Investments in subsidiary companies

	Percentage Shareholding	Bank 2011 Shs million	Bank 2010 Shs million
Barclays Financial Services Limited	100%	275	275
Barclays (Kenya) Nominees Limited	100%	-	-
Barclays Bank Insurance Agency Limited	100%	-	-
		275	275

Barclays (Kenya) Nominees Limited, Barclays Financial Services Limited (formerly Barclays Mortgages Limited) and Barclays Bank Insurance Agency Limited (formerly Barclays Mercantile Limited) are dormant companies. The subsidiaries, all of which are unlisted, are incorporated in Kenya and have the same year end as the company.

17 Deferred income tax

Deferred income tax is calculated, in full, on all temporary differences under the liability method using the enacted income tax rate of 30% (2010 : 30%). The movement on the deferred tax account is as follows:

	Group and Bank 2011 Shs million	Group and Bank 2010 Shs million
At start of year	(508)	(619)
Statement of other comprehensive income	1,220	(167)
Income statement charge (Note 9)	(288)	278
At end of year	**424**	**(508)**

Consolidated deferred income tax assets and liabilities and deferred income tax credit in the income statement and statement of other comprehensive income are attributable to the following items.

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Notes (continued)

17 Deferred income tax (continued)

	1.1.2011	Cr/(Dr) to income statement	Cr/(Dr) to other comprehensive income	31.12.2011
Deferred tax liabilities				
Unrealised fair value gain on FVTPL	(104)	(59)	-	(163)
Retirement benefit asset	(462)	18	-	(444)
Fair value on available-for-sale instruments	(221)	-	1,220	999
Deferred tax assets				
Provisions	75	45	-	120
Property and equipment at historical cost	(26)	(62)	-	(88)
Restructuring expense	230	(230)	-	-
Net deferred tax liability	**(508)**	**(288)**	**1,220**	**424**

	1.1.2010	Cr/(Dr) to income statement	Cr/(Dr) to other comprehensive income	31.12.2010
Deferred tax liabilities				
Unrealised fair value gain on FVTPL	(123)	19	-	(104)
Retirement benefit asset	(551)	89	-	(462)
Available-for-sale fair value movement	(54)	-	(167)	(221)
Deferred tax assets				
Provisions	76	(1)	-	75
Property and equipment at historical cost	33	(59)	-	(26)
Restructuring expense	-	230	-	230
Net deferred tax liability	**(619)**	**278**	**(167)**	**(508)**

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Notes (continued)

18 Property and equipment

Group and Bank

	Freehold land and buildings	Leasehold land and buildings	Fixtures fittings & equipment	Motor vehicles	WIP	Total
	Shs Million	Shs Million	Shs Million	Shs Million	Shs Million	Shs Million
At 1 January 2010						
Acquisition cost	122	3,080	5,316	40	2,610	11,168
Accumulated depreciation	(35)	(1,221)	(3,964)	(27)	-	(5,247)
Opening net book value	**87**	**1,859**	**1,352**	**13**	**2,610**	**5,921**
Year ended 31 December 2010						
Opening net book value	87	1,859	1,352	13	2,610	5,921
Additions	5	92	190	-	1,102	1,389
Disposals	-	-	-	-	-	-
Transfers			(75)	-	(3,247)	(3,322)
Depreciation charge	(1)	(284)	(455)	(4)	-	(744)
Closing net book value	**91**	**1,667**	**1,012**	**9**	**465**	**3,244**
At 31 December 2010						
Acquisition cost	127	3,172	5,431	40	465	9,235
Accumulated depreciation	(36)	(1,505)	(4,419)	(31)	-	(5,991)
Closing net book value	**91**	**1,667**	**1,012**	**9**	**465**	**3,244**
Year ended 31 December 2011						
Opening net book value	91	1,667	1,012	9	465	3,244
Additions	-	40	201	-	734	975
Disposals	-	-	-	-	-	-
Transfers	-	-	-	-	(398)	(398)
Depreciation charge	(1)	(304)	(456)	(4)	-	(765)
Closing net book value	**90**	**1,403**	**757**	**5**	**801**	**3,056**
At 31 December 2011						
Acquisition cost	127	3,212	5,632	40	801	9,812
Accumulated depreciation	(37)	(1,809)	(4,875)	(35)	-	(6,756)
Closing net book value	**90**	**1,403**	**757**	**5**	**801**	**3,056**

Notes (continued)

19 Intangible assets

	Group and Bank		
	Goodwill	Computer software	Total
	Shs million	Shs million	Shs million
At 1 January 2010			
Acquisition cost	160	787	947
Accumulated amortisation	(32)	(229)	(261)
Opening net book value	**128**	**558**	**686**
Year ended 31 December 2010			
Opening net book value	128	558	686
Additions	-	3,322	3,322
Amortisation charge	-	(432)	(432)
Written off on disposal of custody business	(128)	-	(128)
Closing net book value	**-**	**3,448**	**3,448**
At 31 December 2010			
Acquisition cost	-	4,109	4,109
Accumulated amortisation	-	(661)	(661)
Closing net book value	**-**	**3,448**	**3,448**
Year ended 31 December 2011			
Opening net book value		3,448	3,448
Additions	-	398	398
Amortisation charge		(482)	(482)
Closing net book value	**-**	**3,364**	**3,364**
At 31 December 2011			
Acquisition cost	-	4,507	4,507
Accumulated amortisation	-	(1,143)	(1,143)
Closing net book value	**-**	**3,364**	**3,364**

Notes (continued)

20 Prepaid operating lease rentals

Leasehold land is disclosed as prepaid operating lease rentals and carried at cost less amortisation over the period of the lease.

	Group and Bank	
	2011	2010
	Shs million	Shs million
At start of the year	61	62
Amortisation charge for the year	(1)	(1)
At end of year	**60**	**61**

21 Retirement benefit assets

The amounts recognised in the statement of financial position are determined as follows:

	Group and Bank	
	2011	2010
	Shs million	Shs million
Present value of funded obligations	(10,076)	(10,738)
Fair value of scheme assets	8,881	10,683
Fund deficit	(1,195)	(55)
Unrecognised actuarial losses	2,674	1,594
Asset in the balance sheet	**1,479**	**1,539**

The amounts recognised in the income statement for the year are as follows:

	2011	2010
Current service cost	472	491
Interest cost	1,083	1,176
Expected return on plan assets	(1,125)	(1,148)
Amortisation of actuarial losses	58	237
Net charge for the year included in staff costs (Note 8)	488	756
Contributions paid	(428)	(458)
Movement in the asset recognised in the statement of financial position	**60**	**298**

Notes (continued)

21 Retirement benefit assets (continued)

	Group and Bank	
Changes in the present value of the defined benefit obligation over the year:	2011	2010
	Shs million	Shs million
Defined benefit obligation at start of year	10,738	8,773
Service cost	472	491
Employee contributions	233	234
Interest cost	1,083	1,176
Actuarial gains	(534)	801
Benefits paid	(1,916)	(737)
Defined benefit obligation at end of year	**10,076**	**10,738**

Changes in the fair value of plan assets over the year:

	2011	2010
Assets at start of year	10,683	8,714
Expected return on plan assets	1,125	1,148
Actuarial gains and /(losses)	(1,672)	866
Employer contributions	428	458
Employee contributions	233	234
Benefits paid	(1,916)	(737)
Assets at end of year	**8,881**	**10,683**

			2011	2010
	Shs million	%	Shs million	%
Equity instruments	2,016	23%	4,273	40%
Debt instruments and fixed deposits	4,512	50%	3,846	36%
Property	2,353	27%	2,564	24%
	8,881	**100%**	**10,683**	**100%**

Pension plan assets include buildings occupied by the bank with a fair value of Shs 1,410 million (2010: Shs 1,595 million). The actual return on scheme assets was a negative 14% (2010: a positive return of 20%).

Five Year Summary

	2011	2010	2009	2008	2007
	Shs Million	Shs Million	Shs Million	Shs Million	Shs Million
Present value of funded obligation	(10,076)	(10,738)	(8,773)	(8,021)	(7,033)
Fair value of scheme assets	8,881	10,683	8,714	7,061	8,090
(Deficit) /surplus in plan	(1,195)	(55)	(59)	(960)	1,057
Unrecognised actuarial losses	2,674	1,594	1,896	2,980	653
	1,479	**1,539**	**1,837**	**2,020**	**1,710**

Notes (continued)

21 Retirement benefit assets (continued)

The principal actuarial assumptions used were as follows:

	2011	2010
- discount rate	13.5%	9.5%
- expected rate of return on scheme assets	14.5%	10.5%
- future salary increases	11.0%	10.0%
- future pension increases	6.0%	2.0%

22 Other assets

	Group and Bank	
	2011	2010
	Shs million	Shs million
Financial guarantee	122	75
Deferred costs	24	24
Other assets	3,631	3,180
	3,777	**3,279**

23 Balances due to Central Bank of Kenya

Reverse repo	-	**3,105**

In the normal course of business, the Group borrows overnight from Central Bank of Kenya. On 31 December 2010 the effective interest rate was 1%.

24 Customer deposits

	Group and Bank	
	2011	2010
	Shs million	Shs million
Current and demand deposits	82,740	78,472
Savings accounts	20,264	19,497
Fixed deposit accounts	17,170	23,023
La Riba accounts	4,033	2,834
	124,207	**123,826**

The weighted average effective interest rate on customer deposits as at 31 December 2011 was 0.6% (2010: 0.9%).

Notes (continued)

24 Customer deposits (continued)

Business sector risk concentrations within the customer deposit portfolio were as follows:-

	Group and Bank	
	2011	2010
	%	%
Non financial public enterprises	1.7	3.2
Private enterprises	54.9	51.8
Non-profit enterprises & individuals	26.4	28.3
Foreign currency	15.7	15.0
Other	1.3	1.7
	100	**100**

25 Deposits and balances due to banking institutions

	Group and Bank	
	2011	2010
	Shs million	Shs million
Balances due to local banks	123	92

The weighted average effective interest rate on deposits and balances due to banking institutions as at 31 December 2011 was 9.9% (2010: 2.9%).

26 Long term liabilities

	Group and Bank	
	2011	2010
	Shs million	Shs million
Fixed and floating rate medium term notes	3,113	3,058
Subordinated debt	1,361	1,293
	4,474	**4,351**

The medium term notes are an unsecured five year term note issued by the Bank for the development of its business and to strengthen its capital base. They are registered with the Capital Markets Authority. These notes bear interest at rates referenced to the Government of Kenya Treasury bill rates. Effective interest rate at 31 December 2011 was 8.3% (December 2010: 8.6%).

The subordinated debt is an unsecured 10 year loan capital issued by Barclays Bank Plc to enhance the Bank's capital base. The debt obligation of the Bank ranks ahead of the interest of holders of equity and is redeemable on maturity. These notes bear interest at rates referenced to the Libor. The effective interest rate on the subordinated debt as at 31 December 2011 was 2.1% (December 2010: 2.4%)

Notes (continued)

27 Other liabilities

	Group 2011 Shs million	Group 2010 Shs million	Bank 2011 Shs million	Bank 2010 Shs million
Bills payable	869	846	869	846
Unclaimed dividends	573	384	573	384
Deferred income	109	62	109	62
Restructuring expense	-	767	-	767
Cheques for collection	3,280	3,728	3,280	3,728
Other	2,346	1,517	2,618	1,790
	7,177	7,304	7,449	7,577

28 Share capital

Issued and fully paid	Number of shares in millions	Ordinary shares Shs million
Balance at 1 January 2010	1,358	2,716
Balance at 1 January 2011	1,358	2,716
Balance at 31 December 2011	5,432	2,716

The authorised share capital of Barclays Bank of Kenya Limited is Shs 2,716 million comprising 5,432 million ordinary shares with a par value of Shs 0.50 per share. The issued share capital comprises 5,432 million ordinary shares with a par value of Shs 0.5 each. During the year, a 1:4 share split was carried out increasing the number of shares from 1,358 million shares of Shs 2 each to 5,432 million shares of Shs 0.5 each. All issued shares are fully paid for.

Capital management

Barclays Bank of Kenya operates a capital management model that considers both regulatory and economic capital. The capital management strategy is to continue to maximise shareholder value through optimising both the level and mix of capital resources in order to:

- meet the individual capital ratios required by our regulators plus a prudent buffer.
- maintain a high credit rating.
- generate sufficient capital to support asset growth.
- manage the currency exposure to its overall equivalent capital requirement.

Decisions on the allocation of capital resources are based on a number of factors including return on economic and regulatory capital. This is conducted as part of the strategic planning review.

Capital resources

The Group manages both its debt and equity capital actively.

	2011 Shs million	2010 Shs million
Shareholders' equity	29,223	31,465
Total capital resources	**29,223**	**31,465**

Notes (continued)
28 Share capital (continued)

Regulatory capital

Supervision and regulation
Barclays Bank of Kenya Limited is a financial services group involved primarily in Banking and Asset Management, and has 119 branches across the Country. The Group's operations are subject to rules and regulations, including reserve and reporting requirements and conduct of business requirements imposed by the Central Bank of Kenya and other regulatory authorities.

Regulatory capital and capital adequacy
Capital adequacy and the use of regulatory capital are monitored by the Group, employing techniques based on the guidelines developed by the Basel Committee on Banking Supervision (the Basel Committee), as implemented by the Central Bank of Kenya for supervisory purposes. These techniques include the risk asset ratio calculation. The ratio calculation involves the application of designated risk weightings to reflect an estimate of credit, market and other risks associated with broad categories of transactions and counterparties.

Regulatory guidelines define two 'tiers' of capital resources. Tier 1 capital, comprising mainly shareholders' funds used to meet trading and banking activity requirements. Tier 2 includes perpetual, medium-term and long-term subordinated debt, general provisions for bad and doubtful debts and fixed asset revaluation reserves. Tier 2 capital can also be used to support both trading and banking activities. Tier 2 capital included in the risk asset ratio calculation may not exceed tier 1 capital.

Capital ratios
The Groups capital ratio and its weighted risk assets as at 31 December 2011 and 2010 were as follows:-

	Group and Bank 2011 Shs million	Group and Bank 2010 Shs million
Capital ratios		
Core capital to risk assets	24.1%	26.6%
Minimum	8.0%	8.0%
Total capital to risk assets	27.8%	31.2%
Minimum	12.0%	12.0%
	Shs million	Shs million
Weighted risk assets		
On balance sheet	108,232	95,279
Off balance sheet	12,133	11,649
Total weighted risk assets	**120,365**	**106,928**

Shareholders as at 31 December 2011 were as follows:

Share range	Number of shareholders	Shares held	%
Less than 500	10,007	3,030,162	0.06
501 to 5,000	24,977	55,632,351	1.02
5,001 to 10,000	7,932	57,796,002	1.06
10,001 to 100,000	20,328	586,421,653	10.80
100,001 to 1,000,000	1,101	306,029,204	5.63
Above 1,000,000	158	4,422,626,628	81.42
Total	**64,503**	**5,431,536,000**	**100**

Notes (continued)

28 Share capital (continued)

The shareholders with the largest shareholding as at 31 December 2011 were:

Name	Share held	%
Barclays Bank Plc	3,720,816,000	68.50
National Social Security Fund Board of Trustees	150,245,820	2.77
Standard Chartered Nominees Non-Resd. A/C 9867	30,950,400	0.57
Standard Chartered Nominees A/C 9230	21,049,620	0.39
The Jubilee Insurance Company of Kenya Limited	17,927,820	0.33
Standard Chartered Nominees A/C 1256B	15,793,388	0.29
Kenya Reinsurance Corporation Limited	13,399,280	0.25
Old Mutual Life Assurance Company Limited	12,014,660	0.22
Standard Chartered Nominees A/C 1256	11,554,712	0.21
Others	1,481,054,972	26.47

29 Off balance sheet financial instruments, contingent liabilities and commitments

In common with other banks, the group conducts business involving acceptances, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for the purchase and sale of foreign currencies, the nominal amounts for which are not reflected in the consolidated balance sheet.

	Group and Bank	
	2011	2010
	Shs million	Shs million
Contingent liabilities		
Acceptances and letters of credit	10,146	3,770
Guarantee and performance bonds	13,674	12,083
	23,820	**15,853**

An acceptance is an undertaking by a bank to pay a bill of exchange drawn on a customer. The group expects most acceptances to be presented and reimbursement by the customer is normally immediate. Letters of credit commit the bank to make payments to third parties on production of documents, which are subsequently reimbursed by customers.

Guarantees and assets pledged as security are generally written by a bank to support the performance of a customer to third parties. The group will only be required to meet these obligations in the event of the customers' default.

Similarly the bank has obtained undertakings from Barclays PLC to the following extent:

- Documentary credits facility of Shs 2,150,807,692
- Bonds, guarantees and indemnities facility and letters of credit of Shs 915,991,632

Notes (continued)

29 Off balance sheet financial instruments, contingent liabilities and commitments (continued)

	Group and Bank	
	2011	2010
	Shs million	Shs million
Commitments		
Undrawn formal stand-by facilities, credit lines and other commitments to lend	1,214	1,374
Forwards and SWAPS	2,602	2,739
Foreign exchange spot settlement agreements	2,644	814
	6,460	**4,927**

Commitments to lend are agreements to lend to a customer in future subject to certain conditions. Such commitments are normally made for a fixed period. The bank may withdraw from its contractual obligation for the undrawn portion of agreed overdraft limits by giving reasonable notice to the customer. Undelivered spot transactions represent commitment either to buy or sell foreign currency and are recognised at cost on the trade date.

Contingent tax liabilities

There are a number of open tax issues that are currently the subject of discussion between Barclays Bank of Kenya Limited and the Kenya Revenue Authority and appropriate provisions have been made where the Bank considers that it is probable that a liability may crystallise. Based on appropriate professional advice, the directors are of the opinion that currently no significant loss is expected on the rest of the matters as at the reporting date, beyond the amounts provided for. The directors will continue to review the position when new information becomes available and as discussions with KRA progress.

30 Segment analysis

In accordance with IFRS 8, operating segments are reported in accordance with the internal reporting provided to the Country Management Committee (the chief operating decision-maker), which is responsible for allocating resources to the reportable segments and assesses its performance.

The Group has two main business segments:

- **Consumer banking** – incorporating private customer current accounts, savings, deposits, credit and debit cards, consumer loans and mortgages; and
- **Corporate banking** – incorporating direct debit facilities, current accounts, deposits, overdrafts, loan and other credit facilities, foreign currency dealings and derivative products.

Given the majority of the Group revenues are derived from interest and dealing activities and the Country Management Committee (CMC) relies primarily on net interest revenue and dealing income to assess the performance of the segments, the total interest income and expense for all reportable segments is presented on a net basis.

There were no changes in the reportable segments during the year. The revenue from external parties reported to the CMC is measured in a manner consistent with that in the consolidated income statement.

Funds are ordinarily allocated between segments, resulting in funding cost transfers disclosed in inter-segment net interest income. Revenue-sharing agreements are used to allocate external customer revenues to a business segment on a reasonable basis.

Notes (continued)

30 Segment analysis

The Group's management reporting is based on a measure of operating profit comprising net interest income, loan impairment charges, net fee and commission income, other income and non-interest expenses.
This measurement basis excludes the effects of non-recurring expenditure from the operating segments such as restructuring costs, legal expenses.

The information provided about each segment is based on the internal reports about segment profit or loss, assets and other information, which are regularly reviewed by the CMC. Segment assets and liabilities comprise operating assets and liabilities, being the majority of the consolidated statement of financial position, but exclude items such as taxation, property and equipment.

The segment results for the year ended 31 december 2011 are as follows:

At 31 December 2011	Total Segment Shs million	Corporate Banking Shs million	Consumer Banking Shs million	Unallocated Shs million
Net interest income	16,336	6,892	9,444	-
Non interest income	10,003	4,592	5,411	-
Inter segment interest	-	(387)	387	-
Operating income	**26,339**	**11,097**	**15,242**	
Impairment losses on loans and advances	(729)	41	(770)	-
Depreciation and amortisation	(1,247)	-	-	(1,247)
Other operating expenses	(12,350)	(895)	(6,472)	(4,983)
Operating profit	**12,013**	**10,243**	**8,000**	**(6,230)**
Profit before income tax				
Income tax expense	(3,940)	-	-	(3,940)
Profit after tax	**8,073**	**10,243**	**8,000**	**(10,170)**
Total assets	**167,029**	**90,946**	**56,087**	**19,996**
Total liabilities	**137,806**	**39,883**	**89,058**	**8,865**
Additions of non-current assets	**975**	**-**	**-**	**975**

All revenues are earned in Kenya.

There are no revenues derived from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

Notes (continued)

30 Segment analysis (continued)

The segment results for the year ended 31 December 2010 are as follows:

At 31 December 2010	Total Segment Shs million	Corporate Banking Shs million	Consumer Banking Shs million	Unallocated Shs million
Net interest income	15,674	6,430	9,244	-
Non interest income	10,351	4,718	5,633	-
Inter segment interest	-	336	(336)	-
Operating income	26,025	11,484	14,541	-
Impairment losses on loans and advances	(1,200)	(6)	(1,194)	-
Depreciation and amortisation	(1,176)	-	-	(1,176)
Restructuring expense	(767)	-	-	(767)
Other operating expenses	(12,873)	(960)	(4,668)	(7,245)
Operating profit	10,009	10,518	8,679	(9,188)
Net income from sale of custody business	3,544	3,544	-	-
Profit before income tax	13,553	14,062	8,679	(9,188)
Income tax expense	(2,954)	-	-	(2,954)
Profit after tax	10,599	14,062	8,679	(12,142)
Total assets	172,415	106,899	50,604	14,912
Total liabilities	140,950	39,001	84,818	17,131
Additions of non-current assets	1,389	-	-	1,389

All revenues are earned in Kenya.

There are no revenues derived from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

Notes (continued)

31 Analysis of the balances of cash and cash equivalents as shown in the consolidated cash flow statement

	2011 Shs million	2010 Shs million
Cash and balances with Central Bank of Kenya	12,212	13,131
Treasury bills maturing within ninety days (note 13)	63	19
Balances due from group companies	4,531	3,285
Deposit and balances due from banking institutions (Note 14)	913	935
Deposits and balances due to banking institutions (Note 25)	(123)	(92)
Balances due to Central Bank of Kenya (Note 23)	-	(3,105)
Less: Central Bank of Kenya cash reserve requirement	(7,180)	(5,533)
	10,416	8,640

For the purposes of the cash flow statement, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition including: cash and balances with central banks, treasury bills and amounts due from other banks. Cash and cash equivalents exclude the cash reserve requirement held with the Central Bank of Kenya

Banks are required to maintain a prescribed minimum cash balance with the Central Bank of Kenya that is not available to finance the bank's day-to-day activities. The amount is determined as %age of the average outstanding customer deposits over a cash reserve cycle period of one month. At the end of year 2011, the cash ratio was 5.25% (2010: 4.5%).

32 Financial risk management

Barclays Bank of Kenya is a major financial services provider engaged in consumer and commercial banking. Managing risk is a fundamental part of its business activity and an essential component of the planning process. The Bank achieves its risk management goals by keeping risk management at the centre of the Country Management Committee (CMC) and Risk and Control Committee (RCC) agenda and by building a culture that meshes risk management within everyday business decision-making. The Bank ensures that it has the capacity to manage the risk in its established businesses as well as new and growing ones and that its business plans are consistent with risk appetite, that is, the level of risk the Bank is willing to accept in fulfilling its business objectives

The main sources of financial risk that the Group faces are those arising from financial instruments, ie. credit risk, liquidity risk and market risk. The Group devotes considerable resources to maintaining effective controls to manage, measure and mitigate each of these risks and regularly reviews its risk management procedures and systems to ensure that they continue to meet the needs of the business. .

Financial instruments are fundamental to the Group's business and constitute the core element of its operations. The risks associated with financial instruments are a significant component of the risks faced by the Group. Financial instruments create, modify or reduce the liquidity, credit and market risks of the Group's statement of financial position. These risks and the Group's policies and objectives for managing such risks are outlined below.

The Bank's risk management policies and processes are designed to identify and analyse these risks, to set appropriate risk appetite, limits, and controls, and to monitor the risks and adherence to limits by means of reliable and up-to-date data. Risk management policies, models and systems are regularly reviewed to reflect changes to markets, products and best market practice. Individual responsibility and accountability, instilled through training, are designed to deliver a disciplined, conservative and constructive culture of risk management and control.

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Notes (continued)

32 Financial risk management (continued)

Risk responsibilities

On a day-to-day basis risks are managed through a number of management committees. Through this process the Group monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date. Risk management information is provided on a regular basis to the CMC and RCC and the Board.

The Board approves risk appetite and the Board Audit Committee monitors the Group's risk profile against this appetite. In more detail:

- The Board Audit Committee has responsibility for ensuring effective risk management and control;
- Business heads are responsible for the identification and management of risk in their businesses;
- Business risk teams are responsible for assisting Business Heads in the identification and management of their business risk profiles for implementing appropriate controls.
- Internal Audit is responsible for the independent review of risk management and the control environment.

a) Market risk

Market risk is the risk that the Bank's earnings or capital, or its ability to meet business objectives, will be adversely affected by changes in the level or volatility of market rates or prices such as interest rates, credit spreads, commodity prices, equity prices and foreign exchange rates. The main market risks arise from trading activities.

Categorisation of market risks

To facilitate the management, control, measurement and reporting of market risk, the Bank has grouped market risk into three broad categories:

- Trading market risk. These risks arise in trading transactions where the Bank acts as principal with clients or with the market. Barclays' policy is that market risks arising from trading activities are concentrated in Barclays Capital, a related party.

- Asset and liability risk. These risks arise from banking activities, including those incurred on non-trading positions such as customer assets and liabilities and capital balances, comprising:
    - Interest rate risk.
    - Foreign currency risk.

- Other market risks. In some instances, the Bank also incurs market risks that do not fall into the above categories. The principal risks of this type are defined benefit pension scheme risk and the price risk.

Market risk measurement

The measurement techniques used to measure and control market risk include:

- Stress Tests;
- Annual Earnings at Risk;
- Economic capital.

Stress Tests

Stress tests provide an indication of the potential size of losses that could arise in extreme conditions. The stress tests carried out include risk factor stress testing, where stress movements are applied to each of the five risk categories namely interest rate, inflation, credit spread, equity and foreign exchange rate and ad hoc stress testing. If potential stressed losses exceed the trigger limit, the positions captured by the stress test are reviewed and discussed. The stress testing is tailored to the business and is typically scenario analysis and historical stress movements applied to respective portfolios.

Notes (continued)

32 Financial risk management (continued)

a) Market risk (continued)

Annual Earnings at Risk (AEaR)

AEaR measures the sensitivity of annual earnings to shocks in market rates at the 99th percentile for change over a one-year period. This shock is consistent with the standardised interest rate shock recommended by the Basel II framework for assessing banking book interest rate risk.

i) Interest rate risk

The Group is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The responsibility of managing risk lies with the Assets and Liabilities Committee ("ALCO"). Through this process the Group monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date. Risk management information is provided on a regular basis to the CMC and the Board.

Interest rate risk arises from the variability of income from non-interest bearing products, managed variable rate products and equity. Interest rate exposures and other market risks may be managed through the use of derivatives.

The table below summarises the exposure to interest rate risks. Included in the table are the Bank's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The Bank does not bear any interest rate risk on off balance sheet items. All figures are in millions of Shillings.

Notes (continued)

32 Financial risk management (continued)

a) Market risk (continued)

(i) Interest rate risk (continued)

As at 31 December 2011	Up to 1 month	1-3 Months	3-12 Months	Over 1 year	Non-interest Bearing	Total
Assets						
Cash and balances with Central Bank of Kenya	-	-	-	-	12,212	12,212
Government securities	8,424	7,912	13,616	7,647	-	37,599
Deposits and balances due from banking institutions	913	-	-	-	-	913
Balances due from group companies	4,531	-	-	-	-	4,531
Other assets	-	-	-	-	4,319	4,319
Loans and advances to customers	96,275	2,797	-	-	-	99,072
Property and equipment	-	-	-	-	3,056	3,056
Prepaid operating lease rentals	-	-	-	-	60	60
Intangibles	-	-	-	-	3,364	3,364
Deferred income tax	-	-	-	-	424	424
Retirement benefit asset	-	-	-	-	1,479	1,479
Total assets	**110,143**	**10,709**	**13,616**	**7,647**	**24,914**	**167,029**
Liabilities & equity						
Customer deposits	76,530	5,480	3,102	1,040	38,055	124,207
Deposits and balances due to banking institutions	123	-	-	-	-	123
Other liabilities	-	-	-	-	7,177	7,177
Amounts due to group companies	1,617	-	-	-	-	1,617
Current tax payable	-	-	-	-	208	208
Long term liabilities – medium term note	-	4,474	-	-	-	4,474
Shareholders' equity	-	-	-	-	29,223	29,223
Total liabilities and equity	**78,270**	**9,954**	**3,102**	**1,040**	**74,663**	**167,029**
Interest sensitivity gap	**31,873**	**755**	**10,514**	**6,607**	**(49,750)**	**-**

As at 31 December 2010	Up to 1 month	1-3 Months	3-12 Months	Over 1 year	Non-interest Bearing	Total
Total assets	92,500	22,190	20,540	12,133	25,052	172,415
Total liabilities and equity	80,181	10,987	2,712	1,031	77,504	172,415
Interest sensitivity gap	**12,319**	**11,203**	**17,828**	**11,102**	**(52,452)**	**-**

Notes (continued)

32 Financial risk management (continued)
a) Market risk (continued)
(i) Interest rate risk (continued)

The impact on income from financial instruments of a 1% increase or decrease in interest rates would be as follows:-

	As at 31 December 2011			As at 31 December 2010		
Assets	Carrying amounts	1% increase	1% decrease	Carrying amounts	1% increase	1% decrease
Cash and balances with Central Bank of Kenya	12,212	-	-	13,131	-	-
Government securities	37,598	(376)	376	55,996	(560)	560
Deposits and balances due from banking institutions	913	(9)	9	935	(9)	9
Balances due from group companies	4,531	(45)	45	3,285	(33)	33
Other assets	3,777	-	-	3,279	-	-
Loans and advances to customers	99,072	(991)	992	87,147	(871)	871
Property and equipment	3,056	-	-	3,244	-	-
Prepaid operating lease rentals	60	-	-	61	-	-
Intangibles	3,364	-	-	3,448	-	-
Deferred income tax	424	-	-	-	-	-
Retirement benefit asset	1,479	-	-	1,539	-	-
Liabilities & Equity						
Balances due to Central Bank of Kenya	-	-	-	3,105	31	(31)
Customer deposits	124,207	862	(862)	123,826	870	(870)
Deposits and balances due to banking institutions	123	1	(1)	92	1	(1)
Other liabilities	7,177	-	-	7,304	-	-
Amounts due to group companies	1,617	816	(16)	1,571	16	(16)
Deferred income tax	-	-	-	508	-	-
Current income tax payable	208	-	-	-	-	-
Long term liabilities	4,474	45	(45)	4,351	44	(44)
Shareholders' equity	29,223	-	-	31,465	-	-
Net interest income increase/ (decrease)		(497)	497		(511)	511
Tax charge at 30%		149	(149)		153	(153)
Impact on profit after tax		**348)**	**348**		**(358)**	**358**

At 31 December 2011 if interest rates were to increase/decrease by 1% with all other variables held constant the after tax profit would have been Shs 349 million (2010: Shs 358 millions) higher/lower with other components of equity remaining the same.

Notes (continued)

32 Financial risk management (continued)
a) Market risk (continued)
(i) Interest rate risk (continued)

ii) Currency risk

The group operates wholly within Kenya and its assets and liabilities are carried in the local currency. The Group maintains trade with the majority shareholder and other correspondent banks and its foreign currency exposure as at 31 December 2011 was an asset of Shs 1,591 million (2010: liability of Shs 408 million).

Non-structural

Non-structural (transactional) foreign exchange exposures represent exposure on banking assets and liabilities, the functional currencies of which are currencies other than shillings.

Concentrations of currency risk- on and off balance sheet financial instruments

The various currencies to which the Bank was exposed as at 31 December 2011 are summarised in the table below (all amounts expressed in millions of Kenya Shillings):

As at 31 December 2011	USD	GBP	Euro	Other	T otal
Assets					
Cash and bank balances	412	20	57	14	503
Loans and advances to customers	13,781	58	911	664	15,414
Other assets	1,718	1,535	1,020	-	4,273
Total assets	**15,911**	**1,613**	**1,988**	**678**	**20,190**
Liabilities					
Balances due to banking institutions and group companies	-	-	-	634	634
Customer deposits	14,695	1,650	1,986	157	18,488
Other liabilities	487	49	93	198	827
Total liabilities	15,182	1,699	2,079	989	19,949
Net balance sheet position	**729**	**(86)**	**(91)**	**(311)**	**241**
Off balance sheet net notional position	(15)	7	111	(25)	78
Overall net position	**714**	**(79)**	**20**	**336)**	**319**

As at 31 December 2010	USD	GBP	Euro	Other	T otal
Total assets	13,706	3,163	2,543	471	19,883
Total liabilities	15,590	3,218	2,205	462	21,475
Net balance sheet position	(1,884)	(55)	338	9	(1,592)
Off balance sheet net notional position	65	457	619	(5)	1,136
Overall net position	**(1,819)**	**402**	**957**	**4**	**(456)**

Notes (continued)

32 Financial risk management (continued)
a) Market risk (continued)
(ii) Currency risk (continued)

Currency risk sensitivity analysis
The impact on profit after tax of a 10% appreciation or depreciation of the shilling would be as follows:-

	As at 31 December 2011			As at 31 December 2010		
	Currency carrying amount	10% appreciation	10% Depreciation	Currency carrying amount	10% appreciation	10% Depreciation
Assets						
USD	15,911	(1,591)	1,591	13,706	(1,371)	1,371
GBP	1,613	(161)	161	3,163	(316)	316
EURO	1,988	(199)	199	2,543	(254)	254
Other currencies	678	(68)	68	471	(47)	47
Liabilities						
USD	15,182	1,518	(1,518)	15,590	1,559	(1,559)
GBP	1,699	170	(170)	3,218	322	(322)
EURO	2,079	208	(208)	2,205	221	(221)
Other currencies	989	99	(99)	462	46	(46)
Total increase / (decrease)		24	(24)		160	(160)
Tax charge of 30%		(7)	7		(48)	48
Effect on profit for the year		17	(17)		112	(112)
As percentage of net profit after tax		0.21%	0.21%		1.06%	1.06%

At 31 December 2011 if the shilling had weakened /strengthened by 10% against the major trading currencies with all other variables held constant after tax profit would have been Shs 17 million (2010: Shs 112 million) lower/higher.

iii) Price risk

Price risk arises from open positions in equity securities, which are exposed to specific market movements.

The sensitivity analysis for equity risk illustrates how changes in the fair value of equity securities will fluctuate because of changes in market prices. Management monitors movements of equity price risk movements on a monthly basis by assessing the expected changes in the price of the equity securities.

The equity securities held in the statement of financial position are quoted and are classified as financial assets at fair value through profit. An increase or a decrease of 20% in the price of the securities would result in an impact on the after-tax income statement and financial assets of Shs 108 million (2010: Shs 70 million).

Notes (continued)

32 Financial risk management (continued)

b) Liquidity risk

Liquidity risk is the risk that the Bank is unable to meet its payment obligations associated with its financial liabilities as they fall due and to replace funds when they are withdrawn.

The Bank is exposed to daily calls on its available cash resources from overnight deposits, current accounts, maturing deposits, and calls on cash settled contingencies. The Bank does not maintain cash resources to meet all of these needs as experience shows that a minimum level of reinvestment of maturing funds can be predicted with a high level of certainty. The Central Bank requires that the Bank maintains a cash reserve ratio. In addition, the Board sets limits on the minimum proportion of maturing funds available to meet such calls and on the minimum level of inter-bank and other borrowing facilities that should be in place to cover withdrawals at unexpected levels of demand. The Treasury department monitors liquidity ratios on a daily basis. Sources of liquidity are regularly reviewed by a separate team in the Treasury department to maintain a wide diversification by provider, product and term.

Non-derivative financial liabilities and assets held for managing liquidity risk

The table below presents the undiscounted cash flows payable by the Bank under non-derivative financial liabilities and assets held for managing liquidity risk by remaining contractual maturities at the date of consolidated balance sheet.

As at 31 December 2011	Up to 1 month	1-3 Months	3-12 Months	1-3 years	3-5 years	Over 5 years	Total
Liabilities							
Customer deposits	114,585	5,480	3,102	1,040	-	-	124,207
Deposits and balances due to banking institutions	123	-	-	-	-	-	123
Balances due to group companies	1,617	-	-	-	-	-	1,617
Other liabilities	7,385	-	-	4,474	-	-	11,859
Total financial liabilities (Contractual maturity dates)	123,710	5,480	3,102	5,514	-	-	137,806
Assets held for managing liquidity (contractual maturity dates)	26,079	7,912	13,616	4,867	1,521	1,259	55,254

As at 31 December 2010	Up to 1 month	1-3 Months	3-12 Months	1-3 years	3-5 years	Over 5 years	Total
Liabilities							
Balances due to Central Bank of Kenya	3,105	-	-	-	-	-	3,105
Customer deposits	114,663	6,636	2,712	1,031	-	-	125,042
Deposits and balances due to banking institutions	92	-	-	-	-	-	92
Balances due to group companies	1,571	-	-	-	-	-	1,571
Other liabilities	7,577	-	-	604	4,351	-	12,532
Total financial liabilities (Contractual maturity dates)	127,008	6,636	2,712	1,635	4,351	-	142,342
Assets held for managing liquidity (contractual maturity dates)	24,627	16,046	20,540	9,592	1,655	887	73,347

Notes (continued)

32 Financial risk management (continued)

(c) Credit risk

Credit risk is the risk of suffering financial loss from any of the Group's customers, clients or market counterparties failing to fulfil their contractual obligations to the Group. Credit risk mainly arises from loans and advances.

There is a risk management team which is charged with devising and implementing group risk policy, such as ensuring maximum exposure guidelines are in place relating to the exposures to any individual customer or counterparty and policies are in place that limit lending to certain industries, for example, commercial real estate.

This functional team manages the resolution of all significant credit policy issues and runs the Credit Committee, which approves credit decisions. The Board Advances Committee reviews the group credit policy and the impairment allowance as part of financial reporting. The exposure to any one borrower including banks is further restricted by sub – limits covering on and off –balance sheet exposures and daily delivery risk limits in relation to trading items such as forward exchange contracts. Actual exposures against limits are monitored daily.

Exposure to credit risk is managed through regular analysis of the ability of borrowers and potential borrowers to meet interest and capital repayment obligations and by changing lending limits where appropriate. Exposure to credit risk is also managed in part by obtaining collateral and corporate guarantees. Credit risk is spread over a diversity of consumer and commercial customers as set out in Note 15. The credit risk exposure relating to contingencies and commitments is further outlined in Note 29.

Credit risk measurement

The Group's credit rating systems use statistical modelling techniques throughout its business which assist the Group in front line credit decisions, such as managing its existing portfolios and making new commitments.

The Group assesses the credit quality and assigns an internal risk rating to all borrowers and other counterparties, including retail customers. Each internal rating corresponds to the statistical probability of a customer in that rating class defaulting within the next 12-month period. The probability of default, the exposure at default and the loss given default are calculated for all loan portfolios. This allows the Group to monitor its exposures, enabling it to derive measures such as Risk Tendency. Risk Tendency is a statistical estimate of the average loss for each loan portfolio for a 12-month period, taking into account the size of the portfolio and its risk characteristics under current economic conditions, and is used to track the change in risk as the portfolio of loans changes over time. The Group monitors its financial exposure to individual counterparties, to industries and countries to ensure that no undue concentrations of credit arise.

Guarantees and irrevocable loan commitments

The Group is exposed to loss through the financial guarantees it issues to clients and commitments to provide loan finance which cannot be withdrawn once entered in to. The credit risks associated with such contracts are managed in a similar way to loans and advances, and form part of the exposure at default measure.

Settlement risk

The Bank is also exposed to settlement risk in its dealings with other financial institutions. These risks arise, for example, in foreign exchange transactions when the Bank pays away its side of the transaction to another bank or other counterparty before receiving payment from the other side. The risk is that the counterparty may not meet its obligation. While these exposures are of short duration, they can be large. In recent years settlement risk has been reduced by several industry initiatives that have enabled simultaneous and final settlement of transactions to be made. The Bank has worked with its peers in the development of these arrangements. Increasingly the majority of high value transactions are settled by such mechanisms. Where these mechanisms are not available, the risk is further reduced by dealing predominantly with highly rated counterparties, holding collateral and limiting the size of the exposures according to the rating of the counterparty, with smaller exposures to those of higher risk.

Notes (continued)

32 Financial risk management (continued)

(c) Credit risk (continued)

The following table represents the credit risk exposure to the Group at 31 December 2011 and 2010, without taking account of any collateral held or other credit enhancements attached. For on-balance sheet assets the exposures set out above are based on net carrying amounts as reported in the balance sheet.

Maximum exposure to credit risk before collateral held or other credit enhancements
The Group's maximum exposure to credit risk is set out in the table below:

An analysis of financial assets subject to credit risk is set below

As at 31 December 2010

	Loans and advances to customers	Loans and advances to banks	Balances with Central Bank	Balances due from group companies	Available for sale debt securities	Totals
	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million
Neither past due nor impaired	80,970	935	7,489	3,285	55,996	148,675
Past due but not impaired						
Past due 30 to 90 days	2,372	-	-	-	-	2,372
Past due over 90 days	1,769	-	-	-	-	1,769
Impaired						
Individually assessed	5,819	-	-	-	-	5,819
Total	**90,930**	**935**	**7,489**	**3,285**	**55,996**	**158,635**
Impairment allowances						
Identified impairment	(3,550)	-	-	-	-	(3,550)
Unidentified impairment	(233)	-	-	-	-	(233)
Total carrying value	**87,147**	**935**	**7,489**	**3,285**	**55,996**	**154,852**

Notes (continued)

32 Financial risk management (continued)

(c) Credit risk (continued)

As at 31 December 2011

	Loans and advances to customers	Loans and advances to banks	Balances with Central Bank	Balances due from group companies	Available for sale debt securities	Totals
	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million
Neither past due nor impaired	95,928	913	7,180	4531	37,599	146,151
Past due but not impaired						
Past due 30 to 90 days	1,021	-	-	-	-	1,021
Past due over 90 days	848	-	-	-	-	848
Impaired						
Individually assessed	4,651					4,651
Total	**102,448**	**913**	**7,180**	**4,531**	**37,599**	**152,671**
Impairment allowances						
Identified impairment	(2,995)	-	-	-	-	(2,995)
Unidentified impairment	(381)	-	-	-	-	(381)
Total carrying value	**99,072**	**913**	**7,180**	**4,531**	**37,599**	**149,295**

Collateral and other credit enhancements

Financial assets that are past due or individually assessed as impaired are at least partially collateralised or subject to other forms of credit enhancement. The effects of such arrangements are taken into account in the calculation of the impairment allowance held against them.

Collateral and other credit enhancements obtained

The carrying value of assets held by the group as at 31 December as collateral was as follows:-

	Group and Bank	
	2011	2010
Carrying amount	Shs million	Shs million
Nature of assets		
Commercial and industrial property	3,775	3,811

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Notes (continued)

32 Financial risk management (continued)

(d) Fair value of financial assets and liabilities

Fair value estimation

Fair value measurements are grouped by level of the following fair value measurement hierarchy:
Level 1- Quoted prices (unadjusted) in active markets for identical assets or liabilities.
Level 2- Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices) .
Level 3- Inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs).

The fair value of financial instruments traded in active markets is based on quoted market prices at the balance sheet date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in level 1. Instruments included in level 1 comprise primarily equity investments classified as trading securities.

The fair value of financial instruments that are not traded in an active market (for example, government debt instruments) is determined by using valuation techniques. These valuation techniques maximise the use of observable market data where it is available and rely as little as possible on Bank specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3. The following table presents the group's assets and liabilities that are measured at fair value at 31 December 2011.

31 December 2011	Level 1	Level 2	Level 3	Total Balance
	Shs million	Shs million	Shs million	Shs million
Assets				
Financial assets at fair value through profit or loss				
– Trading securities	542	-	-	542
Available-for-sale financial assets				
– Debt investments	-	37,599	-	37,599
Total assets	**542**	**37,599**	**-**	**38,141**

There are no financial liabilities measured at fair value through profit and loss as at 31 December 2011.

31 December 2010	Level 1	Level 2	Level 3	Total Balance
Assets				
Financial assets at fair value through profit or loss				
– Trading securities	350	-	-	350
Available-for-sale financial assets				
– Debt investments	-	55,996	-	55,996
Total assets	**350**	**55,996**	**-**	**56,346**

Notes (continued)

33 Related party transactions

The group is controlled by Barclays Bank Plc incorporated in the United Kingdom. The ultimate parent of the Group is Barclays Plc incorporated in the United Kingdom. There are other companies which are related to Barclays Bank of Kenya Limited through common shareholdings or common directorships.

In the normal course of business, placings of foreign currencies are made with the parent company and other companies at interest rates in line with the market. The relevant balances are as shown below:-

	Group and Bank	
	2011	2010
Balances with Group Companies	Shs million	Shs million
Due from:		
Barclays Bank Plc	4,454	3,217
Other group companies	77	68
	4,531	3,285
Interest income earned on the above	**48**	**34**
Due to:		
Barclays Bank Plc	552	559
Other group companies	1,065	1,012
	1,617	1,571
Interest expense incurred on the above	**127**	**78**

The weighted average effective interest rate at 31 December 2011 on amounts due from group companies was 0.8% (2010:0.5%) and on amounts due to group companies was 4.3% (2010: 1.0%).

The subordinated debt issued by Barclays Bank Plc to enhance the Bank's capital base has been dealt with in Note 26.

Group companies provide support services from time to time for which they recharge the costs incurred at the country of origin.

	Group and Bank	
Value of services provided	2011	2010
	Shs million	Shs million
Barclays Bank Plc	857	723
Due to:		
Barclays Bank Plc	**-**	**161**

The value of the services provided has been debited to the income statement and is included in total expenditure of the Group.

Subordinated debt
The disclosures on the subordinated debt from Barclays plc are included in Note 26.

Amounts due from directors
Advances to customers as at 31 December 2011, include loans to directors, loans to companies controlled by directors or their families, as follows:-

	2011	2010
Value of services provided	Shs million	Shs million
At the start of the year	84	105
Amounts advanced during the year	31	5
Repayments received	(25)	(26)
At the end of year	**90**	**84**

At 31 December 2011 advances to directors or companies controlled by directors or their families amounted to Shs 90 million (2010: Shs 84 million).

No provisions have been recognised in respect of loans given to the directors. (2010: Nil).

Deposits by directors

During the year the directors maintained various deposit accounts with the Bank which included current, savings and fixed deposit accounts. At 31 December 2011 balances relating to directors deposits amounted to Shs 14 million (2010: Shs 16.2 million).

Notes (continued)

33 Related party transactions (continued)

Key management compensation	2011 Shs million	2010 Shs million
Salaries and other short –term employment benefits	343	330
Directors emoluments		
- Fees for services as directors	15	12
- other emoluments (included in key management compensation above)	86	65
- Barclays Plc share options scheme (amount recharged to Barclays Bank of Kenya)	**-**	**6**

Staff pension scheme

Barclays Bank of Kenya Limited Staff Pension Fund and Barclays Bank of Kenya Limited Staff Retirement Benefits (DC) Scheme 2009 (the "Funds") are sponsored by Barclays Bank of Kenya Limited. The Funds' foreign investments are managed by Barclays Private Banking & Trust Limited, which is a related entity to the Fund by virtue of shareholding.

The Bank provides normal banking services to the Funds in order to facilitate the day to day financial administration of the Funds.

Transactions during the year	2011 Shs million	2010 Shs million
Rent expense	57	64
Interest on fixed and time deposits	10	2
Custodian fee – Barclays Security Services Limited	-	(11)
Dividends on Barclays Bank of Kenya shares	38	18

The transactions were at similar terms and conditions to those offered to other customers.

	2011 Shs million	2010 Shs million
Outstanding balances		
Investment balances	**959**	**659**

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PROXY FORM

Custody and Registrars Services Limited
Bruce House, 6th Floor, Standard Street
P. O Box 8484-00100, Nairobi

*I/We____of________

____being *a member/members of

Barclays Bank of Kenya Limited, hereby appoint:- ____

of (address) ____

or failing *him/her ____

of (address) ____

and failing *him/her the Chairman of the meeting as *my/our proxy to vote for *me/us on *my/our behalf at the thirty-third Annual General Meeting of the Company to be held on Wednesday, 6 June 2012 and at any adjournment thereof.

As witness *I/we affix *my/our *hand/hands this ____________________day of ______________________2012.

Signature(s) ____

Unless otherwise instructed, the proxy will vote as *he/she thinks fit.

*Delete whichever is not applicable.

NOTE 1. A member entitled to attend and vote at the meeting is entitled to appoint a proxy on his or her behalf. A proxy need not be a member of the Company.

NOTE 2. In case of a member being a corporation this proxy must be executed under its common seal or signed on its behalf by an officer or attorney of the corporation duly authorised in writing.

NOTE 3. To be valid, this proxy form must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Monday 4 June 2012.

FOMU YA UWAKILISHI

Custody and Registrars Services Limited
Bruce House, 6th Floor, Standard Street
P. O Box 8484-00100, Nairobi

*Mimi/Sisi____wa____

____kama *mwanachama/wana-

chama wa Benki ya Barclays Kenya Limited, namteua/tunamteua:- ____

wa (anwani) ____

au akikosa* yeye ____

wa (anwani) ____

na *akikosa yeye Mwenyekiti wa mkutano kama mwakilishi *wangu/wetu *anipigie/atupigie kura kwa niaba *yangu/yetu katika mkutano mkuu wa thelathini na tatu wa kampuni hii ambao utafanyika Jumatano tarehe 6 Juni 2012 na katika ahirisho lolote litakalotokea baadaye.

Kama ushahidi *ninatia/tunatia saini *yangu/yetu siku hii ya _________ya mwezi wa ______________2012.

Sahihi ____

Labda kuwe na maagizo, lakini mwakilishi atakuwa huru kupiga kura apendavyo

*Futa yasiyofaa

MAELEZO YA 1. Mwanachama mwenye haki ya kuhudhuria na kupiga kura katika mkutano ana haki ya kumteua mwakilishi wake. Sio lazima mwakilishi awe mwanachama wa kampuni.

MAELEZO YA 2. Iwapo mwanachama ni shirika fomu hii ya uwakilishi lazima ipigwe muhuri au iwe na saini ya afisa au mwanasheria wa shirika aliyeruhusiwa kwa maandishi.

MAELEZO YA 3. Ili ikubalike, fomu hii lazima ijazwe kikamilifu na mwanachama na lazima iwasilishwe kwa msajili wa kampuni katika Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi au itumwe kwa njia ya posta kwa Custody and Registrars Services, S.L.P. 8484-00100 Nairobi, ili imfikie msajili kabla ya au ifikiapo saa tano asubuhi siku ya Alhamisi tarehe 4 Juni 2012.

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